

ACRC KOREA

Annual Report 2010

We will make a fair and just society
focusing on field-oriented administration



Anti-Corruption &
Civil Rights Commission
Korea, Republic

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FOREWORD



It has been three years since the Anti-Corruption and Civil Rights Commission (ACRC) was launched as of February 2011. There have been a lot of improvements in protecting the people's rights so far. Before the ACRC was established, several government agencies separately dealt with the tasks of resolving complaints and preventing corrupt practices. The creation of the ACRC represents the Korean government's innovative approach to fulfill its role and implement policies to enhance the people's rights in a systematic manner.

Given that the *raison d'être* of a government is to protect its people's rights, the foundation of the ACRC is all the more meaningful. The ACRC integrated three separated agencies—working for resolving complaints, preventing corruption, and adjudicating administrative appeals—and has newly defined and developed those tasks from the perspective of protecting the people's rights.

First of all, to resolve complaints, we established a principle that "we must resolve our people's grievances even though we need to revise laws and systems" and have strived to follow that principle. The recognition that any single law or system of a country exists for its people is not new, but it is true that it also has been easily ignored in the front lines of the

administration. In addition, I believe that the ACRC has identified and solved the problems and pains of the vulnerable classes of our society, including ordinary people, showing the true meaning of the government in a practical way.

In preventing corruption, the ACRC has made it clear that raising the national integrity is a prerequisite and a core strategy for advancing our nation, and the commission also worked hard to disseminate this message across the country. Such efforts will help all the people, starting from opinion leaders of our society, realize the necessity of preventing corruption, and that will create a social environment to implement anti-corruption measures in earnest.

Furthermore, the ACRC has strived to reflect the livelihood of ordinary people in the procedures and standards for adjudicating administrative appeals, so that the people truly understand that the administration is not just a collection of rules and regulations. An administrative technician mechanically implements laws and regulations, while a true administrator utilizes the same laws and regulations for every individual of the country. The role of administrative appeals goes beyond strict applications of laws and regulations, and it now serves as a tool to close legal loopholes, which unavoidably we face in real life.

This Annual Report of the ACRC will be a valuable source to related policy makers and researchers since the ACRC faithfully has recorded the efforts and concerns of the government to protect civil rights.

In 2011, all the member staff of the ACRC will do our utmost, putting our top priorities on making “policies for ordinary people,” “anti-corruption measures,” and “a fair society.” We promise that all of us will work earnestly to protect the people’s rights more than ever, so that we can proudly report more meaningful results of our blood, sweat and tears in the next year’s annual report.

February 2011



Kim Young-ran
Chairperson

Anti-Corruption & Civil Rights Commission

About ACRC

The Anti-Corruption and Civil Rights Commission (ACRC) was launched on February 29, 2008 by the integration of the Ombudsman of Korea, the Korea Independent Commission Against Corruption and the Administrative Appeals Commission.

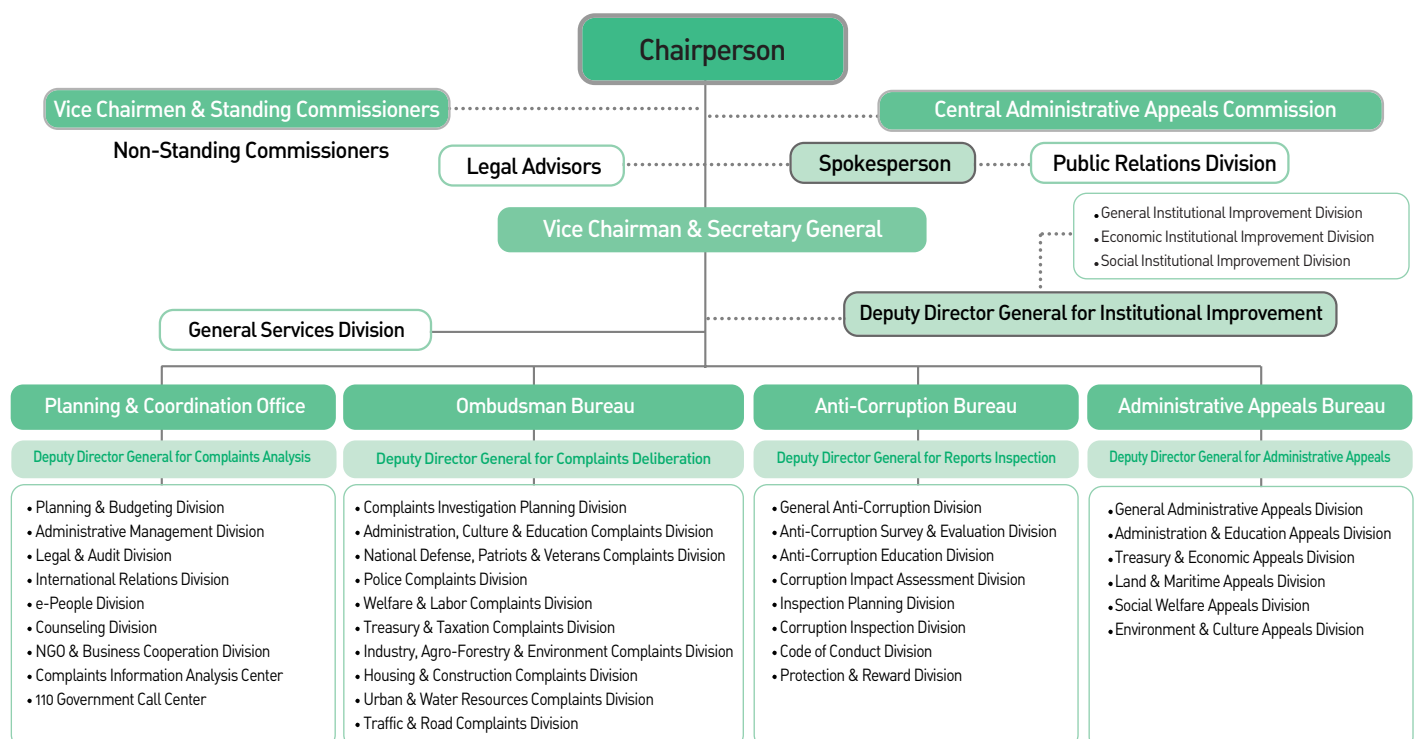
With the consolidation of these three organizations, citizens can be provided with one-stop service of addressing public complaints, filing administrative appeals and fighting corruption by a single organization in a speedier and more convenient manner.

The ACRC overhauls a legal and institutional framework to offer more convenient and efficient public service to the people, resolves people's grievances, and seeks to spread a culture of integrity throughout the society.

The decision-making body of the ACRC consists of fifteen Commissioners including 1 Chairperson (minister-level), 3 Vice-Chairmen (vice minister-level), 3 Standing Commissioners and 8 Non-standing Commissioners, all of whom are appointed by the President. Each member serves a three year term and may be reappointed for an additional term. The ACRC's Commissioners are granted independence in fulfilling their duties and guaranteed their public positions.

The Secretariat of the ACRC is comprised of Policy and Coordination Office, Ombudsman Bureau, Anti-Corruption Bureau, Administrative Appeals Bureau, and Institutional Improvement Bureau. As of February 2011, the ACRC employs 469 public servants.

Organization of the ACRC





Major Functions of the ACRC

Handling Complaints

Receiving complaints

Citizens may file complaints with the ACRC on illegal and unfair practices of administrative agencies, infringed rights and grievances caused by the lack of appropriate systems and policies.

Investigation

Investigators of the ACRC may demand that the administrative agencies concerned give explanation on the filed complaints and submit relevant materials and documents. They may also request attendance and testimony of complainants, stakeholders, reference persons and relevant staff members. The ACRC investigators may also conduct on-site investigations at the agencies concerned.

Deliberation & decision-making

Upon the completion of investigation, the ACRC deliberates opinions and evidence submitted. Based on the deliberation results, it recommends corrective measures or issues official opinions on the complaints or the relevant laws, institutions, and policies.

Improving ineffective systems

The ACRC seeks to root out the cause of people's grievances by identifying systems and policies that burden the people. Based on the analysis of complaints, review of suggestions made by citizens, and media monitoring, the ACRC recommends institutional improvements or issues official opinions to

relevant government agencies. Furthermore, the ACRC reviews the implementation of its recommendations on a regular basis to make sure that the recommended improvements are incorporated into the legal and institutional framework.

“e-People” (www.epeople.go.kr)

“E-People” is the system handling civil complaints online at the pan-governmental level to provide people easier access to public service. The online government portal connects all the 43 national administrative organizations, all the 246 local government agencies, 14 major public companies, and 144 overseas missions. Using e-People, citizens and foreigners living in Korea can submit grievances, proposals, reports of corruption, and administrative appeals related to government service. The automatic classification feature allows received complaints to be sent to the suitable agencies that can most effectively deal with these complaints. Currently, the multilingual service of e-People is provided in 7 languages: Chinese, English, Indonesian, Japanese, Mongolian, Thai and Vietnamese.

“110 Government Call Center”

Those who have enquiries about civil services provided by any administrative agencies can call 110 anywhere in Korea. The public organizations connected to this call center include 56 central administrative agencies, 16 metropolitan and provincial governments, and 234 municipalities. The center also provides text message counseling service, and operates the video counseling system for those with hearing disabilities.

Fighting Corruption

Coordinating nationwide anti-corruption initiatives

The ACRC formulates national anti-corruption policies to be implemented at every level of government. And, it discusses and coordinates government-wide measures designed to prevent corruption in the long term. Every year, the ACRC conducts the Integrity Assessment to measure the levels of integrity of public sector organizations, as well as the Anti-Corruption Initiatives Assessment. The fundamental objective of these assessments is to encourage public organizations to make voluntary efforts to tackle corruption.

Removing corruption risks from laws and systems

The ACRC makes recommendations to help government agencies to amend ambiguous, corruption-prone laws and institutions, and regularly checks the implementation of ACRC's recommendations. Under the Corruption Impact Assessment system, the ACRC examines every proposed enactment and amendment for any factors that could contribute to the occurrence of corrupt practices.

Receiving and handling reports on suspected corruption

Any person may report an act of corruption to the ACRC. If there is a need to investigate a reported case of corruption, the ACRC may refer the case to an investigative authority. Then, the investigative agency is required to notify the ACRC of the results of investigation. The ACRC may ask the agency to reinvestigate the case. Additionally, it may directly file an accusation of corruption cases involving high-ranking public officials.

Monitoring the violation of the Code of Conduct for Public Officials

The Code of Conduct for Public Officials was enacted in February 2003 as an ethical guideline for public officials. Based on this model code, public sector agencies have introduced their own codes of conduct. The ACRC monitors compliance with and investigates violations of these codes by public sector employees.

Protecting and rewarding whistle-blowers

For those who have suffered or are expected to suffer any disadvantage due to the reporting of corruption, the ACRC guarantees their employment and takes measures to protect their

physical safety. It also provides them with financial rewards in case that the reporting of corruption directly contributed to recovering or increasing revenues or reducing costs of public agencies.

Raising public awareness and promoting partnerships against corruption

The ACRC carries out a variety of public awareness programs including anti-corruption training and campaigns to encourage citizens' cooperation and participation in enhancing national integrity. It also conducts various activities to promote public-private partnership to fight corruption by lending support to the Policy Council for Transparent Society. The ACRC works closely with international organizations and anti-corruption agencies of other countries to join global efforts for fighting corruption, including the implementation of the United Nations Convention against Corruption, OECD Anti-Bribery Convention, and G20 Anti-Corruption Action Plan.

Adjudicating Administrative Appeals

Administrative Appeals System

The administrative appeals system is a mechanism allowing people whose legal rights have been violated or who have experienced any form of injustice by government agencies to file appeals to the agency concerned.

Subjects of administrative appeals

The general public may make an administrative appeal when their legal rights have been infringed or they have experienced any form of illegal and unfair exercise of public power ("disposition") or "nonfeasance".

- "Disposition" is a legal act performed by administrative agencies directly related to the people's rights and duties. It includes granting specific rights or designating duties to people in accordance with the law.
- "Nonfeasance" is a failure to perform an act requested by the party concerned and required by law.

Procedures for administrative appeals

- **Submission of appeals**

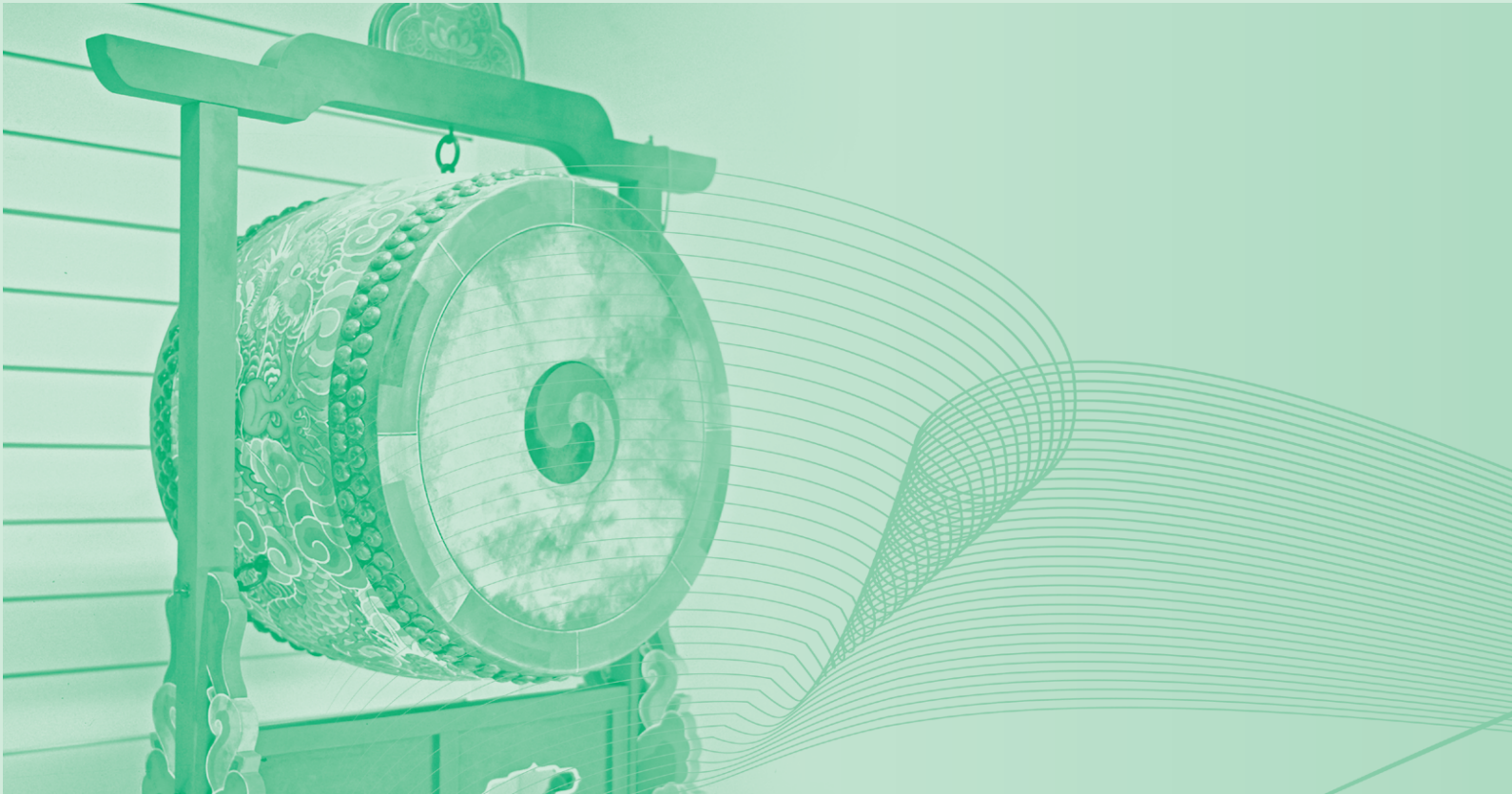
An appellant can submit administrative appeals to the disposition agency or the ACRC via direct visit, mail, or Internet (www.simpan.go.kr).

- **Response to appeals**

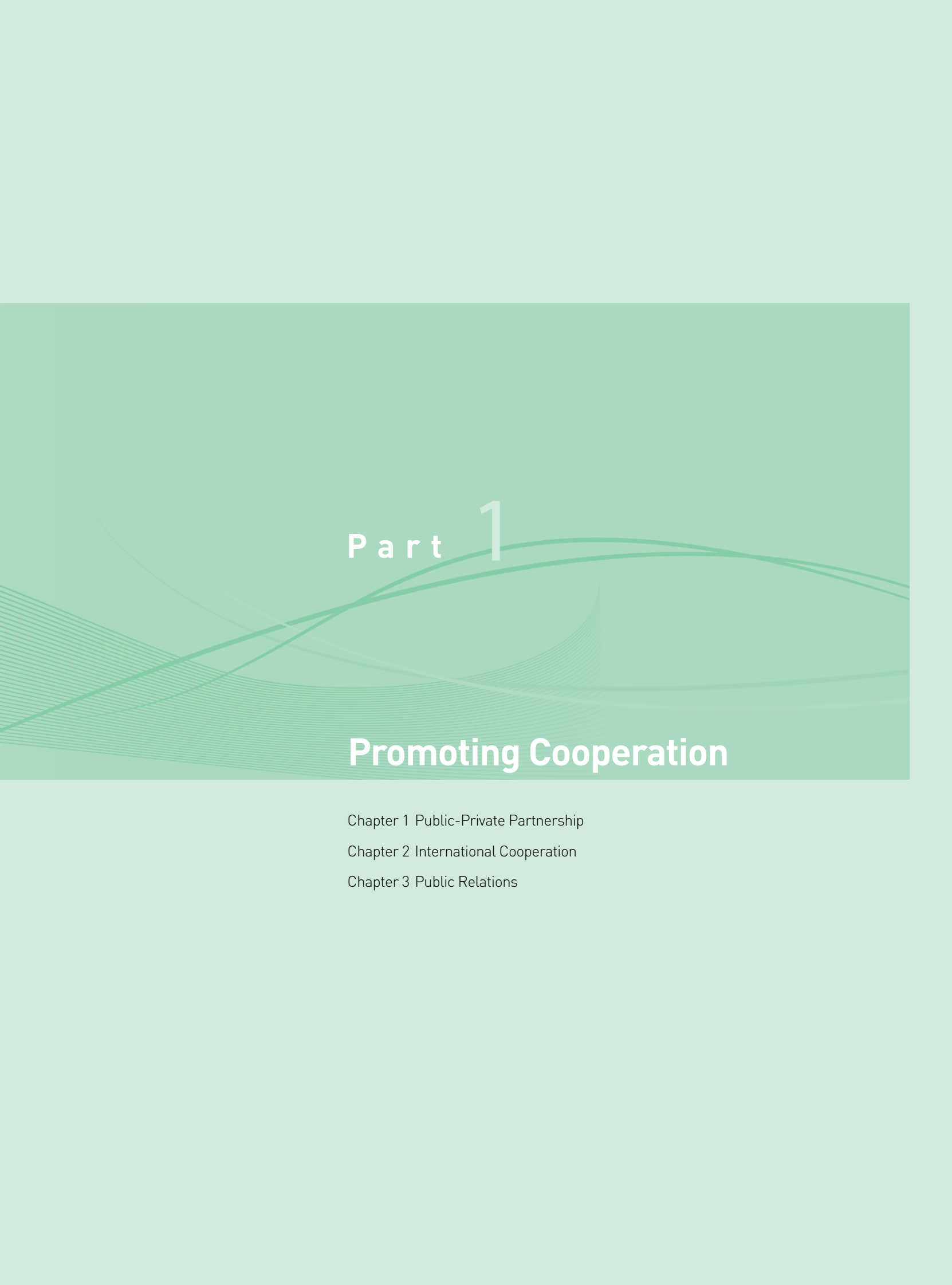
The disposition agency writes an answer regarding the appellant's appeals within ten days after receiving his/her application, and presents it to the ACRC. Then, the Central Administrative Appeals Committee within the ACRC sends the answer to the appellants to enable them to understand the opinion of the disposition agency concerned.

- **Deliberation & adjudication**

The ACRC thoroughly examines statements of both sides, and sets the date for deliberation. After deliberating whether the appealed case is illegal and unfair, it notifies the results to the disposition agency and the appellant through a written document.



King Taejong, the third King of the Joseon dynasty, hang Sinmungo, a big drum, outside of the royal palace in 1401 in an effort to resolve his people's complaints directly and stabilize their lives. By beating the drum, people suffering from injustice could voice their complaints. For a long time, Sinmungo had served as a channel for the government to listen to the people's complaints and solve them.

The background of the entire page is a light green color. A large, dark green rectangular area covers the middle section. Within this area, there are several thin, white, flowing lines that create a sense of movement and depth. The text 'Part 1' is centered in this area, with 'Part' in a smaller font and '1' in a larger font.

Part 1

Promoting Cooperation

Chapter 1 Public-Private Partnership

Chapter 2 International Cooperation

Chapter 3 Public Relations

Part 1

Promoting Cooperation

Chapter 1

Public-Private Partnership

1. Overview

The launch of the Policy Council for Transparent Society on December 9, 2009, played a key role in establishing a new governance paradigm based on public-private partnerships. The Council acts as a cooperation network of various sectors of society including government, politics, business, civil society, academia, and local communities, with the common goal of raising transparency of the nation.

Public participation projects were designed to support civilians in voluntarily uncovering creative programs aimed at complementing and connecting the government's anti-corruption policies, and are being managed to create synergies with private and public cooperation in connection with the ACRC's main policies.

The ACRC also engaged in activities that would help support corporations' voluntary efforts toward transparent and ethical management. Such activities included offering information related to ethical management, developing training programs, and creating a network amongst ethical management officers.

Another important accomplishment was increasing the number of ACRC honorary consultants and providing them with the education that would support their activities. The ACRC also was able to expand communication channels to make it more accessible for those in need, and reflect their opinions in policies.

2. Major Accomplishments in 2010

Launch of the "Policy Council for Transparent Society"

The "Policy Council for Transparent Society" comprises 26 institutions and/or groups from 9 sectors including government, politics, businesses, civil society, public enterprises, academia, media, professional associations, and local communities. Along with its inauguration ceremony on Dec 9, 2009, the Council held a policy symposium aimed at enhancing national integrity, where members were able to gather ideas on how to run the Council going forward.

The Council signed an MOU with Korea Broadcasting System (KBS) to strengthen the ties with the media, and also led "World of Integrity" campaigns in 5 major cities including Seoul in order to establish a culture of integrity throughout society. The Council also held 4 symposiums, including the "Policy Symposium for an Integrity Leading Country," where members identified policy-related tasks for acquiring transparency and trust. Moreover, the Council engaged in various cooperative efforts with political, economic, and civilian fields through events including integrity pledge made by the candidates for the June 2 regional election, corporate ethics workshops, and a convention for establishing a mature insurance industry.



"World of Integrity" Campaign



Public participation projects

Public participation was designed to support general citizens in voluntarily uncovering creative programs aimed at complementing and connecting the government's anti-corruption policies. Since 2007, the ACRC has selected a group each year to lead such efforts, and has provided them with financial aid.

In 2010, under the theme "National Movement to Enhance Integrity for a Greater Korea," the Korea Manifesto Center led the main project which was titled "June 2 Regional Election Candidates' Integrity Pledge." Starting off with pledging ceremonies and meetings with the heads of the 4 major political parties, various projects were carried out, including manifesto pledge conventions involving mayors of 11 metropolitan cities, superintendent candidates, the National Election Commission, the media, and citizens.

Supporting voluntary efforts for corporate ethical management

In accordance with the adoption of the "Global Guidance on Social Responsibility (ISO 26000)" and many other changes in ethical management, the ACRC continued its efforts in 2010 in designing various projects aimed at developing a transparent and fair corporate environment as well as establishing a ethical management culture.

First of all, the ACRC has been distributing newsletters titled "Corporate Ethics Brief" in order to convey the most recent international and domestic trends related to ethical management, and also to introduce best practices.

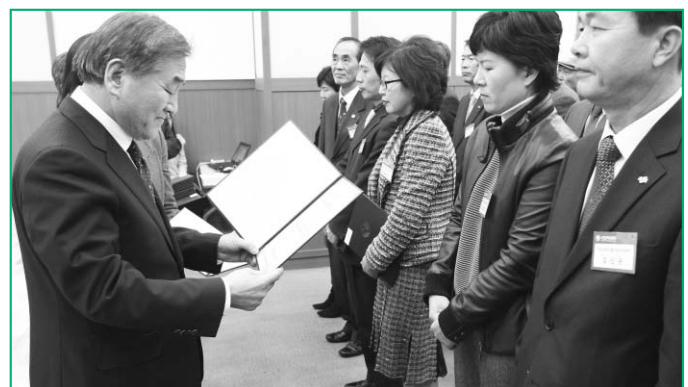
In 2010, the ACRC provided educational programs for ethical management officers, helping solve any related problems and systematically supporting the proliferation of ethical management.

In addition, the ACRC has been hosting a "Corporate Ethics Workshop" each year since 2008 for ethical management officers at public institutions, private corporations and related groups, enabling them to form a network to share information and collaborate when needed.

Cooperation with private organizations to promote civil rights and communication

The ACRC has been appointing honorary consultants, and increasing the number of communication channels and strengthening the cooperation network between various fields, in order to make their civil rights services more accessible for those in need.

In 2010, the ACRC expanded its regional and occupational coverage by appointing ACRC honorary consultants from anti-corruption civil society groups, regional welfare organizations, and occupational fields that are more closely related to the every day lives of citizens. As a result, the coverage was expanded to 228 local towns from 16 metropolitan cities, by appointing approximately 1600 consultants.



Appointment ceremony for the ACRC honorary consultants

These consultants engaged in activities such as promoting ACRC functions, attending to civil petitions, drawing up sug-

gestions for policy changes, and spreading the anti-corruption integrity culture. Through such efforts, they were able to address 2,265 civilian complaints, propose changes of 123 policies, and distribute 110,000 copies of promotional newsletters.

Strengthening civil rights relief via MOU with professional associations

The ACRC signed an MOU with the Korean Medical Association and the Korean Bar Association, respectively. Advice from specialized health care professionals has enhanced the credibility of addressing complaints related to complaints, administrative appeals, and corruption cases, so that law professionals help the underprivileged receive legal help for cases that could not be handled by the ACRC. The ACRC received advice for 68 medical cases as well as legal advice for cases related to a workplace accident.

Chapter 2

International Cooperation

1. Overview

As the host of the G20 Summit in 2010, Korea was able to display its global leadership in international anti-corruption cooperation, and to expand the foundation for both anti-corruption and Ombudsman projects.

As Korea's chief representative for the "G20 Anti-corruption Working-level Group," the ACRC actively participated in discussions to draw up the "G20 Anti-corruption Action Plan," and also played a key role to include anti-corruption issues in both the G20 declaration and the summit agenda. Moreover, the ACRC held a global anti-corruption symposium in October of 2010, in which it aimed to articulate the future direction of international cooperation by strengthening the alliance among the members of the G20, OECD, and APEC.

The ACRC played a leading role in international and regional discussions and cooperation for fighting against corruption by participating in various meetings on the United Nations Convention against Corruption (UNCAC), OECD Working Group on Bribery, APEC Anti-Corruption and Transparency Experts' Task Force, and the ADB/OECD Anti-Corruption Initiative for Asia-Pacific. Also, as the secretariat of the Asia-Pacific ACA Forum, the ACRC opened the official ACA Forum website in July of 2010, in order to introduce the best practices of member countries to the world, and to promote sharing of information among members.

In February 2010, the ACRC signed bilateral MOUs with the anti-corruption bodies of Vietnam and Mongolia, following those with Indonesia and Thailand, expanding its technical assistance for developing nations. In the first half of the year, the ACRC held training workshops for Thailand, Vietnam, and Mongolia respectively, to transfer anti-corruption programs including "Integrity Assessment" to those countries. In July, the ACRC offered consulting services to Indonesia so that Korea's various anti-corruption measures including "Integrity Assessment," "Anti-corruption Initiatives Assessment," and "Corruption Impact Assessment," which have already been introduced to Indonesia, could be successfully implemented in the local context.

In addition, in February 2010, the ACRC signed the first MOU ever in Ombudsman cooperation with Indonesia, opening the doors for bilateral cooperation in enhancing the rights of, and helping resolve the grievances of overseas nationals. Following such an agreement, joint visits were made to both Indonesia and Korea in efforts to help solve any hardships of each country's expatriates.

The ACRC has acted as the vice-chair (Asian Region) of the International Ombudsman Institute (IOI) as well as the chief financial director of the Asian Ombudsman Association (AOA). In this capacity, the ACRC exhibited its leadership, revising the IOI's code of operations and coming up with ideas for the future direction of the AOA. In particular, for the second year in a row in 2010, the ACRC successfully implemented the Regional Technical Assistance (RETA) program with the support of the Asian Development Bank (ADB), strengthening the Asian Ombudsman association and leading the way for policy exchange.

Moreover, the ACRC has strived to spread the Korean government's genuine drive for anti-corruption and integrity policy at home and abroad. It organized in March a policy presentation meeting with foreign enterprises doing business in Korea and operated a campaign booth at the 14th International Anti-Corruption Conference (IACC) in Bangkok in November.

2. Major Accomplishments in 2010

G20 Anti-Corruption Agenda

ACRC's role in bringing anti-corruption to the G20 agenda

As Korea's comprehensive anti-corruption organization, the ACRC proposed to the G20 summit preparation committee that anti-corruption be put on the agenda. This was back in February of 2010, even before anti-corruption had become an issue for discussion on the G20 level. The ACRC continued to advocate the need for anti-corruption to be raised to the agenda, emphasizing G20's role in global governance as well as the importance of eliminating corruption in achieving sustainable economic growth.

As Korea's primary representative, the ACRC has participated in the G20 anti-corruption working group, which was formed at the Toronto summit. The ACRC has been working closely with

related departments including the Ministry of Justice, Korea Financial Intelligence Unit, Ministry of Foreign Affairs and Trade, and Ministry of Knowledge Economy, in establishing Korea's stance toward the G20 Anti-Corruption Action Plan, and has been acting as a consensus builder between developed and developing countries, emphasizing support for anti-corruption efforts among working group member nations.

The ACRC will continue to monitor Korea's anti-corruption regulations and policies for constant improvement and successful execution of action plans, and will also actively participate in anti-corruption discussions in the G20 realm.



International Anti-Corruption Symposium in the wake of G20 Summit

Ahead of the G20 Summit which was scheduled to take place in Seoul in November 2010, the ACRC held its "Symposium on Strengthening Global Leadership & Cooperation against Corruption" on October 5th and 6th, in Seoul and Pyeongchang, respectively. Approximately 200 people gathered for the event, with participants including government representatives from 25 countries, including the G20 member nations; anti-corruption specialists from international organizations including the UN, World Bank, and OECD; and leading figures from the government, academia, and civil groups.

The symposium addressed issues such as forming and developing an international anti-corruption round, G20 nations' efforts to enhance integrity and the potential to be spread globally, and the role of G20 nations and international organizations in improving transparency in the international society.



Symposium on Strengthening Global Leadership & Cooperation against Corruption (October 5-6, 2010)

Taking on the role of ACA Forum Secretariat

The Anti-Corruption Agency (ACA) Forum was launched as a forum for heads of anti-corruption organizations in the Asia Pacific region to enhance cooperation among such organizations and to strengthen anti-corruption efforts. The first meeting was held in Seoul in November 2002. The ACA Forum currently has 7 member countries (Korea, Hong Kong, Indonesia, Malaysia, Australia, Singapore, Philippines). The ACRC has been carrying out the role of secretariat, which involved in drawing up the Terms of Reference for the systematic operation of the forum.

The participants of the 5th ACA Forum, which was held in Seoul on September 15, 2009, adopted the 'Seoul Statement,' of which the main message was to promote further cooperation to strengthen the efforts of anti-corruption organizations. Furthermore, the Seoul Statement states that an official ACA Forum website is to be created, in order to introduce and share best practices of anti-corruption policies and regulations.

As such, the ACRC launched the official website of the ACA Forum (www.aca-forum.org) in July 2010. This website details various information including best practices for anti-corruption policy, anti-corruption policies by area, current state and trends of member countries.



Official website of the ACA Forum (www.aca-forum.org)

Ombudsman MOU signing between Korea and Indonesia

The ACRC began reviewing potential cooperation opportunities with overseas Ombudsman organizations with the aim to expand the boundaries of civil rights protection to overseas residents and to Korean businesses operating overseas. On February 1, 2010, the ACRC signed an MOU with the Ombudsman of Indonesia in order to protect the civil rights and resolve difficulties frequently experienced by expatriates. This was the first attempt ever to establish a cooperation system between Ombudsman organizations to protect and enhance the activities of overseas residents.



Signing of Korea-Indonesia Ombudsman MOU
(February 1, 2010, Jakarta, Indonesia)

With the signing of the MOU, both countries' Ombudsman organizations agreed to actively resolve any difficulties or problems of the counterparty's nationals or businesses. Results of complaints filed by expatriates of the counterparty country will be reported back to the complainant. Also, both organizations will visit businesses, workers, and multi-cultural families of the counterpart country, to give counseling and other services to resolve their difficulties. In addition, both parties agreed to

accept and deal with complaints in the counterparty's native language, and to also share information on the status of complaints filed by the counterparty's nationals or businesses. The two organizations met in both July and August to establish detailed cooperation plans of carrying out the MOU. On August 31, Indonesia's Chief Ombudsman visited the ACRC to discuss cooperation plans and agreed with ACRC's business proposal. As such, the two organizations agreed to visit the expatriates of the counterparty to file and address their complaints on the ground, while sharing information on the status of the complaints counterparty's nationals or businesses.

An on-site consultation crew, comprising of 10 members, including ACRC complaint deliberators and investigators, visited the Ansan City Residents' Center on November 14th. The consultants met with the Indonesian expatriates, and received 15 complaints from 69 counseling sessions.

At the request of the Indonesian Ombudsman, the ACRC officials visited Indonesia from November 29 to December 2 to offer counseling services to Korean residents jointly with the Indonesian Ombudsman and to hold a Korea-Indonesia Ombudsman Cooperation Meeting. In addition, the ACRC demonstrated the Indonesian language website of "e-People," a complaint-filing system, and presented the results of the visit to Indonesian residents in Ansan City on November 14.

After the bilateral meeting, the ACRC visited the Korean Association along with the Indonesian Ombudsman to meet with Korean expatriates in Indonesia. At the event, the Deputy Chief Ombudsman of Indonesia counseled the Koreans and addressed their complaints.

3. Future plans

Korea has gained a higher status in the international community, becoming a member of the OECD Development Assistance Committee (DAC) in November 2009, and hosting the G20 Summit in 2010.

Moreover, the expectation for the Korean government's role and contribution has increased in line with such changes. The ACRC aims to fulfill the responsibilities of a "mature global nation" by exhibiting its leadership in international anti-corruption Ombudsman activities and extending technical support to developing nations, and to ultimately contribute to Korea's national dignity.

With the first anniversary of the UNCAC implementation review, phase 3 evaluation of the implementation of the OECD Anti-Bribery Convention, and the G20 Anti-Corruption Action Plan proposal in 2010, efforts to implement international anti-corruption regulations are expected to accelerate in 2011. In particular, each G20 member country will be reporting the progress in implementing the action plan at the G20 Summit starting in 2011. In preparation for such developments, the ACRC, along with the G20 Planning Committee, Ministry of Justice, and the Ministry of Foreign Affairs and Trade, plans to examine and improve Korea's anti-corruption regulations and policies, and also actively partake in G20 anti-corruption working group meetings. Also, as Korea is expected to receive its phase 3 evaluation regarding the OECD Anti-Bribery Convention in 2011, the ACRC plans to take the necessary preparation measures, including publicizing the OECD Convention to Korean corporations, in cooperation with the Ministry of Justice, and the Ministry of Foreign Affairs and Trade, and related departments.

With the growing number of partner countries, the ACRC is planning to sign an MOU with the Korea International Cooperation Agency (KOICA) in the first half of 2011 to offer its technical assistance to developing countries in a more systematic and efficient manner.

The ACRC plans to establish an IOI general assembly of the Asian region and host the first meeting in Seoul, as part of the efforts to play a leading role in strengthening ties among Asian Ombudsman organizations. In addition, the ACRC, along with its MOU counterparty, Indonesia Ombudsman, will have regular on-site visits for its expatriates, counseling and receiving complaints and sharing information regarding the results, in order to support the civil rights of our expatriates and businesses operating overseas. In addition, the ACRC will aim to expand its Ombudsman cooperation network to the ASEAN nations, including Thailand and the Philippines, where there is a large population of Korean expatriates. The ACRC also will do its best to establish the first Ombudsman cooperation system as the cooperation model of the Asian region.

Chapter 3

Public Relations

1. Overview

In its third year since inception, the ACRC engaged in a wide spectrum of promotional activities, including media publicity, in order to raise public awareness and credibility. The ACRC produced and aired a public campaign advertisement in collaboration with KOBACO, and also placed free ads on subway and train facilities with support from KORAIL and Seoul Metro to raise public awareness of the ACRC. In addition, in step with the on-line trend, the ACRC is expanding its on-line promotion activities, opening 2 additional blogs, and expanding the number of social network sites (SNS) up to 4.

2. Major Accomplishments in 2010

Raising awareness through media activities

Gaining recognition of the Commission among citizens was the task at hand for the ACRC, which was only in its third year since launch. Raising awareness of the ACRC and its services was a prerequisite for gathering and processing citizens' petitions aimed at eliminating any injustice in society.

The ACRC has accordingly used various methods, including media publicity, on-line publicity, and direct publicity activities. First off, in order to disseminate information on the various activities via the media, the ACRC released 300 press reports in 2010. The ACRC introduced in detail its "World of Integrity" campaign, Ombudsman Outreach, on-site mediation, and its integrity training sessions for public officials, to promote integrity consciousness in the society.

In order to promote the "World of Integrity" campaign, the ACRC signed an MOU with Korea's public broadcasting corporation, KBS, and agreed to join efforts in spreading the integrity culture. Also, the ACRC aired the e-People Awards, which is held each year around the anniversary of the ACRC's foundation, live on KBS. Moreover, the ACRC launched co-campaigns or wrote feature articles with approximately 30 media including the Segye Daily, Herald Business, and the Munhwa Daily.

The ACRC launched a fixed segment titled "Off to the Spot, Into the People" on KTV, which aired 42 episodes from March till

December. It also introduced recurring segments on the radio via stations including TBS, WBS, BBS, and PBC, and actively used such channels to raise awareness of the ACRC's policies.

Publishing PR materials including "ACRC Quarterly"

The ACRC published its own newsletter, "ACRC Quarterly." The ACRC has been publishing the newsletter every two months since its launch in 2008. It prints 12,000 copies for each issue and distributes them to places including libraries, citizen centers, and citizen complaint centers of public organizations. Since the publication of the first issue in March 2008, the ACRC has published 17 issues as of 2010. In addition, the English edition of "ACRC Quarterly" is also published and distributed to foreign residents and foreign embassies.



English Quarterly Newsletter "ACRC Quarterly"

The ACRC also produces an on-line web magazine "ACRC Plus," and distributes it to approximately 80,000 people every month. "ACRC Plus" has received an average 94.7% satisfaction rate in the surveys conducted each month after the articles are sent out.

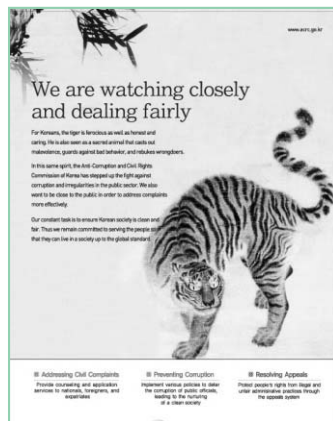
Public advertising aimed to raise awareness of the ACRC

In order to improve the ACRC's image as a communication channel for citizens and as a citizen-friendly policy leader, the ACRC aired TV commercials and printed and distributed ads depicting its various activities. First of all, the ACRC produced a commercial about "110 Government Call Center," which was aired by multiple stations including MBC, regional broadcasting systems, YTN, OBS, and MBN. Also, using e-People as subject material, the ACRC ran a public ad titled "Knock harder! The door to happiness will open" 28 times in the major

newspapers. In addition, it ran a public ad 45 times in each region, promoting the “Ombudsman Outreach,” which involves the ACRC visiting each region once a month to gather complaints and handle them. Other activities included running radio ads emphasizing integrity via TBS, and running English ads in English newspapers such as the Korea Herald and the Korea Times.



110 Government Call Center commercial aired on terrestrial TVs



ACRC introduction ad featured in English newspaper

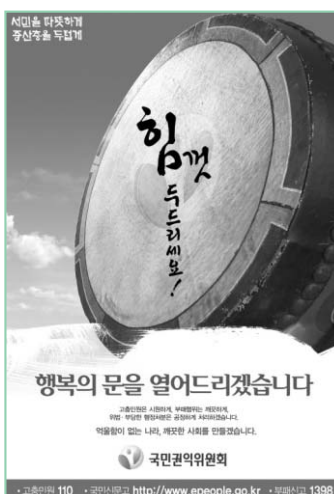


ACRC ad on e-People (top) & Ombudsman Outreach program (bottom)



Advertising on public transportations

The ACRC, to gain “low cost, high efficiency,” aired free public campaign ads aimed at increasing recognition of the Commission. It posted free public campaign ads on various facilities including subway cars and trains run by KORAIL; 14 nationwide airports including Incheon International Airport and Gimpo Airport; highway service areas; subway line maps; and 31 electronic sign board across the country.



ACRC full page ad featured in Korea Cadastral Survey's newsletter



ACRC informational ads run on train facilities operated by KORAIL



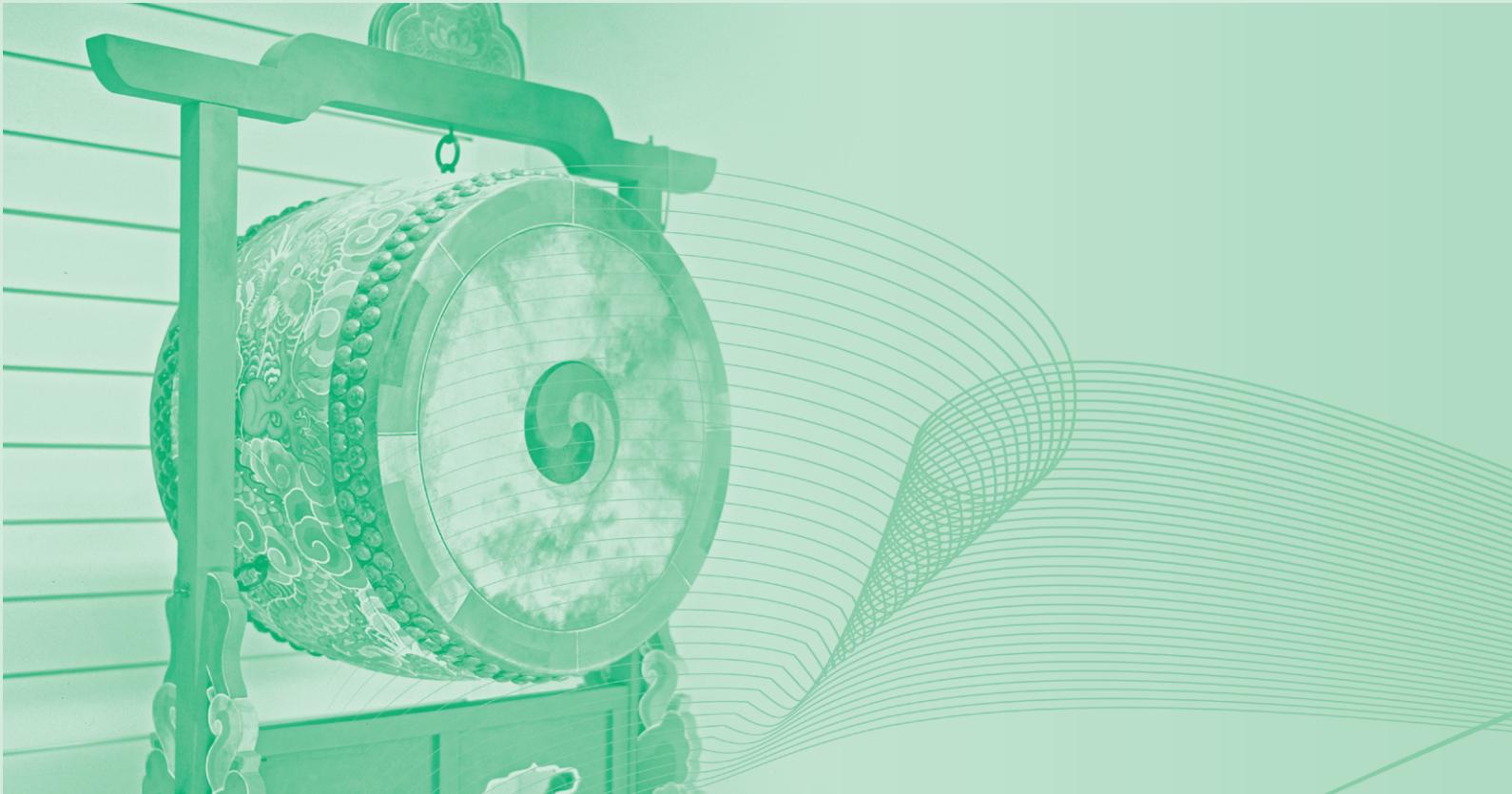
ACRC public ad displayed on Seoul Newspaper's electronic billboard for free

Public campaign advertisement

The ACRC produced a public campaign advertisement about undue solicitations in collaboration with KOBACO which was aired 4152 times nationwide from March 1, 2010 to April 12 on terrestrial TV channels including KBS, MBC, SBS, EBS, KTV and on the radio. This campaign relayed the message that accepting favors prohibits one from making independent decisions and thus makes one more susceptible to corruption, contributing to spreading a culture of integrity.

On-line publicity including “ACRC” blog

As the media has increasingly moved from traditional channels including newspapers and TV to new media including on-line, the ACRC has focused on on-line publicity. As such, it launched its blog on Daum in 2009 and strengthened two-way communication by opening blogs on both Naver and Yahoo in 2010. Also, in-line with the proliferation of social networking sites, the ACRC has opened 4 communication channels including Twitter, Me2day, Yozm, and Facebook. As a result of such efforts, the number of visitors to the ACRC's blogs grew from 870,000 in 2009 to 2,410,000 in December 2010.



Part 2

Handling Complaints

Chapter 1 Overview of Annual Performance

Chapter 2 Integrated Handling of Complaints

Chapter 3 Investigation of Complaints

Chapter 4 Implementation of Complaint Handling Policies

Handling Complaints

Chapter 1

Overview of Performance

1. Complaint Resolution by Field Visit

The Ombudsman Outreach

Background

The ACRC started operating the ombudsman outreach to provide door-to-door complaint services to residents who live in remote and disadvantaged areas. The objectives are to contribute to protect civil rights, improve public trust against the government, reflect public opinions in administration and serve as a window for communicating with the public.

The ombudsman outreach played an important role for people who have had difficulty due to incorrect or wrong administrative handling of central government agencies or public agencies by listening, receiving and investigating complaints. When there was any problem with administrative handling or systems concerned, the ACRC recommended relevant agencies to correct or improve institutions. To address complaints on administrative handling of local autonomies, it actively mediated or arbitrated the concerned issue for smooth resolution. As for groundless chronic complaints, it reviewed the appropri-

ateness of administrative handling and kindly responded to complainants with detailed information, which led to enhanced trust in administration. The ombudsman outreach also served as a channel to listen to concerns on the law enforcement process of local governments; and various voices for improving administrative systems from all walks of life including civil organizations and institutes. The collected opinions were delivered to relevant agencies or reflected in enactment process.

Progress

Starting from Cheongju (Sangdang-Gu), Chungbuk in October 2003, the ACRC handled 5,115 cases of 136 areas until 2010 for 8 years. Out of them, 1,098 were received as grievances or complaints while 63 cases were resolved on the spot through agreement. In particular, the ACRC successfully resolved 290 cases on the spot through mediation between administrative agencies and complainant. The areas visited by the ACRC included those of city redevelopment areas with high expectation of complaints, state-led projects and regional development. The visiting days were selected to offer convenience to residents like open market days and region's cultural events. To attract more participation from local residents, the ACRC also conducted wide and in-depth PR activities with support from local PR personnel and media as well as cooperation of representatives of villages or communities.

<The performance of the Ombudsman Outreach by year >

(Unit: No. of cases)

Division		Total	2003	2004	2005	2006	2007	2008	2009	2010
Cities visited		136	4	8	8	17	18	20	28	33
Consulting	Complaints received	1,098	12	57	75	255	142	86	272	199
	Agreement	630	-	-	-	-	-	96	244	290
	Consulting info	3,387	65	98	112	385	342	381	1,004	1,000
	Total	5,115	77	155	187	640	484	563	1,520	1,489



<Ombudsman Outreach of 2010 >

(Unit: No. of cases)

Month	Total	Jan	Feb	Mar	Apr	Jun	Jul	Aug	Sept	Oct	Nov	Dec
# of city	33	3	3	3	4	3	3	3	3	2	3	3
# of total consulting cases	1,489	237	121	187	138	142	135	92	118	114	124	81
Agreement	290	55	41	73	21	16	23	8	15	6	14	18
Complaints received	199	32	28	26	15	30	12	8	10	25	7	6
Completed	1,000	150	52	88	102	96	100	76	93	83	103	57

On-site Mediation

Mediation

One of alternative dispute resolution methods, mediation is institutionalized by "Act on Anti-Corruption and the Establishment and Operation of the Anti-Corruption & Civil Rights Commission (hereinafter referred to the "ACRC Act"). Mediation refers to a process where a third party in a neutral position intervenes in a dispute to help interest parties reach to acceptable resolution through negotiation or discussion. In this sense, mediation is the most appropriate tool for the ACRC, an ombudsman organization to utilize as it regards neutrality, independency and expertise as basic values. In accordance with Article 45 of the ACRC Act, the chairman and the commissioners lead mediation, and when mediation is realized, it has the same effect as conciliation of civil law.

Field-centered complaint handling

The ACRC in handling complaints is field-centered in principle. That is, it tries to visit places concerned, heed stakeholders' opinions and search for solutions from their point of view. Even for difficult complaints, it makes effort in handling them in an earnest manner by listening to and communicating with all the parties concerned. By visiting areas where the disadvantaged

and the underprivileged suffer, the public earn livelihoods and state-led projects are conducted, it tries to see issues from their perspective and find a resolution.

With a commitment of "problems and their solutions are always in the place in question," all the staff as well as the chairman of the ACRC have made efforts in finding solutions by visiting places concerned, studying problems in person, heeding opinions of complainants and relevant organizations and finding solutions together. In particular, the complaints pending for a long time were targeted for resolution through persuasion and mediation. Responsible staff members and investigators had field visits for, in particular, collective complaints pending for a long time after reviewing the possibility of resolution through mediation upon receiving complaints. Thanks to such efforts, 18 collective complaints(pending for a long time) were resolved through field mediation in 2010.

< Complaints resolved thru On-site Mediation in 2010 >

Complaints resolved

- Use permit for Busan Daemyeong Villa, whose construction was not completed for a long time (Guemjeong-Gu, Busan)
- Request for a road running through railwas & flyover (Suncheon city, Jeonnam)
- Compensation request for damages from construction of moving submarine cables by Uljin KT(Uljin-Gun, Gyeongbuk)
- Sale of national property in Eoryong-dong Pochen(Pocheon city, Gyeonggi)
- Expansion of access road to the Uiri Bridge of Goryeong(Goryeong-Gun, Gyeongbuk)
- Bridge construction for a railway in Haengchi county of Jeonju(Jeonju-city, Jeonbuk)
- Request for allowing local residents to use Yeongwol KBS(Yeongwol-Gun, Gangwon)
- Request for soundproof wall along the railway of Hwangryul county of Boryeong(Boryeong-Gun, Chungnam)
- Replacement of stone bridge & construction of bridges for railways in Youngju and Yecheon of Gyeongbuk(Youngju city, Gyeongbuk)
- Maintenance of vicinity roads (Youngcheon city, Gyeongbuk)
- Formation of arbitration committee for conflicts related to Baekma shooting range(Goyang city, Gyeonggi)
- Removal of air-defence strongholds in Bongsan(Eunpyeong-Gu, Seoul)
- Military consultation for Chongsan Industrial Complex, etc.(Yeoncheon-Gun, Gyeonggi)
- Release of military facility protection areas in Daebul Industrial Complex(Yeongam-Gun, Jeonnam)
- Bridge construction for the Jageum IC Ramp-A section(Jangam-Jageum field office, Uijeongbu city, Gyeonggi)
- Soundproof wall & underway underground car road due to Gyeongbu-line passing Geumho county(Milyang city, Gyeongnam)
- Countermeasure for noise occurring due to the Gogi tunnel of Gyeongsu Expressway(Dongchen-Dong Community Center, Gyeonggi)
- Countermeasure for the moving of vinyl greenhouse in Dohwa area(Namgu, Incheon)

2. Evaluation of Annual Performance

Major achievements

Handling of complaints

As there has been an increasing expectation for the ACRC, received complaints are increased in number and diversified in types. It is partly because public awareness of the Commission is raised, but mainly thanks to its effort to listen to minor grievances in a sincere manner and handle them from the perspective of complainants.

< Complaints handled by the ACRC >

	2007	2008	2009	2010
Handled	23,573	27,509	28,163	34,510
Received	25,437	29,433	31,621	36,034

In 2010, the ACRC received 36,034 complaints (those carried forward included) in total and handled 34,510 of them. The number of complaints received increased by 14.0% and complaints handled by 22.5% year-on-year. As for the number of handled cases per investigator, it increased by 31.6%.

Although the number of handled cases greatly increased, public satisfaction about complaint handling increased by 10.1% from 72.0 to 79.3 points. The handling period was reduced by 1.5 days or 6.75% from 22.5 days in 2009 to 21.0 days in 2010. The accumulative acceptance rate of corrective recommendations increased by 0.8% from 92.05 to 92.8.

In contrast to such improvement, the acceptance rate of complaints was drop from 20.0% in 2009 to 14.9% in 2010. It is simply because the number of non-grievance complaints such as simple queries and policy proposals was up from 6,139 cases in 2009 to 7,467 cases in 2010.

Efforts to prevent complaints

Most of complaints that the ACRC received were the cases that had been first filed to relevant administrative agencies like local governments in vein. In this sense, the ACRC has implemented policies to prevent complaints in advance, thinking that it would be a more effective protection of civil rights to help administrative agencies improve their capability of handling complaints and prevent grievances.

By offering consulting on complaint handling to administrative agencies, the ACRC shared its knowledge to help them enhance their capability. In 2009, the pilot consulting was provided to 4 agencies. This year, the number of target agencies increased to 10, out of which 2 organizations (Korea Water Resources Corporation and Gangdong-Gu of Seoul) established a committee for civil complaint handling. In future, the number of target organization needs to be increased.

Expansion of ombudsman outreach for door-to-door service

To offer ombudsman service to people living in remote or underprivileged areas with difficulty in visiting the Commission and complaining through the Internet, the ACRC has operated the ombudsman outreach. As the tough point with the general public, the ombudsman outreach collects and reflects public opinions in administration to contribute to improvement of civil rights.

Serving as window for communication with the public, the ombudsman outreach visited 158 areas of 33 city, district and county to receive 1,489 complaints in number and resolve 290 through on-site agreement.

The number of visited areas was up by 18% while the resolved cases increased by 19%. However, needed is to establish a systemic operation and strengthen services for handling grievances and difficulties of the disadvantaged people.

Expansion of field investigation & field mediation

With the principle of "field-centered" complaint handling, the ACRC has tried to visit places concerned, heed opinions of interest parties and find solutions from the perspective of complainants.

The mediation system has been actively utilized to address complaints largely affecting society or related to multiple parties in a fair and prompt manner.

As for collective complaints pending for a long time, the ACRC dispatched a staff member above a manager-level position to the spot to investigate and resolve them. In 2010, the number of visits reached to 267.

Centering on complaints largely affecting society or related to multiple parties, it conducted on-site mediation 19 times. Of them, 18 cases shelved for a long time were resolved through on-site mediation.

Despite such efforts, the number of on-site mediation was 19, similar level to 20 in 2009.

Investigation & institutional improvement for the underprivileged

The ACRC has conducted planned investigations on areas which are related to civil rights or needs professional review. In 2010, it selected tasks for planned investigation, particularly centering on the areas that require special interests of the nation to improve civil rights. Then, based on the selected tasks, it conducted in-depth investigation; delivered recommendation on institutional improvement or policy proposals to relevant agencies.

The outcomes include institutional improvement for 6 tasks including "Energy assistance expansion for the low-income households" and "Tax assistance for the underprivileged"; and institutional improvement for 6 out of 9 frequent complaints identified.

However, the number of planned investigations and institutional improvements did not meet the initial expectation due to work burdens.

Future plans

Prompt and sincere handling of complaints

As the last resort for handling grievances and complaints, the ACRC will strengthen its investigative capability through sharing of best practices, standardization and informatization and continued training for investigators. Such efforts can enable the Commission to promptly and sincerely handle grievances and complaints, which, in turn, satisfies and move the public.

It will spare no effort in handling complaints in a constructive manner and strengthening its investigative capability. Its efforts include investigation from the viewpoint of the public, diversified solution searches, persuasion to make the public understand and build trust on the government even in difficult

complaints and legal and system improvement for cases which are difficult to be handled with no relevant regulation.

Expansion of field-centered handling of complaints

The ACRC is planning to expand on-site mediation by visiting the areas where different interests are intertwined, listening to public voices and resolving issues from the perspective of the public. With the principle that solutions for public grievances can be found in the field, the ACRC focuses on expansion of field investigation and mediation in the process of complaint handling.

As part of such efforts, it will expand and diversify the operation of the ombudsman outreach for complaint handling. While target areas are selected based on complainants' request, they will be expanded in consideration for regions' characteristics including frequency of complaints in order for the system to reach to all corners of the nation.

As for cases requiring investigation and deliberation, field investigation will be conducted in principle. Particular emphasis will be placed on cases related to multiple interest parties, companies and big social issues. From the early stage of internal reviewing for complaints, the necessity for field investigation will be also reviewed. Analytical study on the intent of complaints, critical issues and relevant statutes and regulations will be done for sufficient data collection which, in turn, leads to a systematic field investigation.

Protection of the rights of the working-class, the socially underprivileged, and small and medium enterprises

To improve civil rights closely related to public everyday life where the nation should pay special attention and consideration, the ACRC is planning to conduct an overall status investigation and expand its complaint handling service for petty merchants and medium-sized enterprises.

First of all, it will conduct the investigation on concentration areas with the underprivileged people; come up with comprehensive improvement policies; and make effort in improving the protection of civil rights in cooperation with relevant ministries.

To make Korea business-friendly, it will provide complainant-oriented handling services which enable the ACRC to resolve corporate grievances in a prompt and constructive manner. To do so, it will designate corporate ombudsman, establish a special management system for corporate complaints; place importance on the grievances of petty merchants and medium-sized enterprises.

Enhancement of complaint preventive policy

The ACRC is going to resolve public grievances in advance by helping administrative agencies strengthen their voluntary capacity to handle complaints and supporting a fair and prompt reinstatement of civil rights infringed upon.

Above all, the ACRC will support administrative agencies to strengthen their capability to prevent and resolve complaints by transferring its experiences and techniques of complaint handling; and expand consulting on complaint handling for administrative agencies which are committed to reinforcing a cooperative system for civil rights protection.

By investigating and disclosing the status of efforts and performance by agency in relation to complaint prevention and resolution, the ACRC is planning to guarantee fairness and responsibility of the complaint handling process. It will apply the evaluation model developed last year to this year's pilot investigation; complete the process of verifying its criteria appropriateness and decide a final model; and apply a differentiated criteria to the evaluation by agency type to reflect each agency's characteristics and analyze complaint causes by agency. After completion of the steps mentioned above, it will measure and evaluate the handling status and performance of administrative agencies and others with a finalized model from 2012, which will help those organizations reinforce the capability to prevent and resolve complaints on a voluntary basis.

Chapter 2

Integrated Handling of Complaints

1. Operation of the e-People System

Sinmungo taken on-line in 600 years

King Taejong, the third King of the Joseon dynasty, hung Sinmungo, a big drum, outside of the royal palace in 1401 in an effort to resolve his people's complaints directly and stabilize their lives. By beating the drum, people suffering from injustice



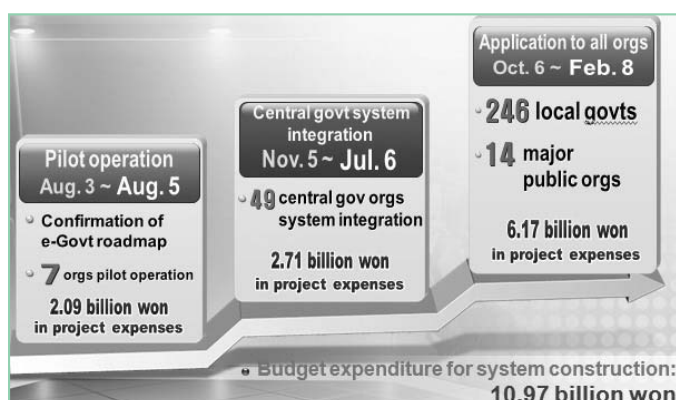
Sinmungo

could voice their complaints. For a long time, Sinmungo had served as a channel for the government to listen to the people's complaints and solve them.

Learning from the ancestors' wisdom, the Anti-Corruption and Civil Rights Commission (ACRC) took Sinmungo on-line so that it could fully serve as a communication channel between the government and the citizens. Named as "e-People," it was created by integrating all similar channels for complaints, proposals and policy discussions that had been operated by separate administrative organizations.

e-People begins nationwide one-stop service

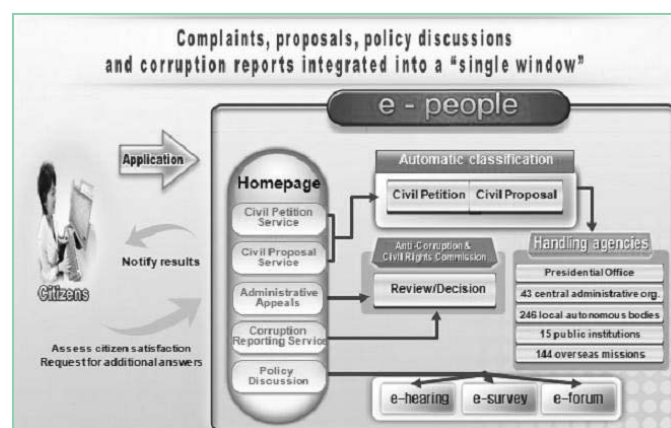
The ACRC began the pilot operation of the e-People service in August 2005 by integrating the complaint-handling systems of seven central administrative organizations. The remaining central organizations were integrated in July 2006. In February 2008, the e-People system connected the systems of local governments and major public organizations, laying the foundation to provide one-stop service to the citizens.



<Complaint handling status by area in 2009 >

In September 2008, various complaint reporting systems of 38 organizations under the Ministry of National Defense were integrated into e-People. In 2009, the complaint systems of the Judiciary, five organizations under the Rural Development Administration, and the Financial Supervisory Service were linked to e-People. In 2010, the ACRC focused its efforts on putting together the services of municipal education authorities, combining those of Ulsan, Chungnam, Gyeonggi, Seoul, Gyeongbuk and Jeonbuk education authorities. It also succeeded in linking systems of other entities including Korea Housing Guarantee, Korea Communications Standards Commission and Korea Railroad to e-People. The ACRC continues its efforts to expand and develop e-People to provide one-stop service to the citizens. It plans to integrate complaint systems of the remaining 10 education authorities and local governments in 2011. To this end, it has integrated the civil complaint system of Gyeongsangbukdo Province to e-People in December 2010, and launched its pilot operation.

e-People upgrades the administrative procedures for handling complaints



<How e-People works>

Another problem was the delay in processing complaints. e-People, however, assesses the status of all complaints handled. As a result, the system can analyze and manage any slow processing. For example, it took 12 days on average to process a general complaint and 36.1 days for a complex one in 2005. In 2010, both processing times were cut down to 6.1 days and 9.4 days, respectively.

Furthermore, the citizens could neither make an appeal when they were not satisfied with the organization's answer, nor ask further questions about the answer. Similarly, there was no specific way to appeal when a public official dealt with the mat-

ter insincerely. E-People, however, enables one to request additional answers and assesses the levels of user satisfaction, thereby raising the service quality.

Also, a new function is added to e-People to prevent a complaint about a public official's mishandling of a case from being dealt with by the same official. This is to protect complainants against possible disadvantages. To this end, e-People hands over this kind of complaint not to the concerned official, but to a higher organization or audit department.

Other improvements are also made with e-People. You can check the status of your complaint on the website or choose to

get e-mail or SMS alerts. Moreover, foreign residents are now able to file a civil complaint or petition in their own language. The website was translated in English, Chinese and Japanese in June 2008, Vietnamese in December 2009, Mongolian in June 2010 and Indonesian in November 2010. As of December 2010, the complaints filed in foreign languages totaled 1,419, breaking down to 1,243 English complaints, 74 Chinese, 60 Japanese, 24 Mongolian and 18 Vietnamese.

The tremendous improvement in the complaint-handling service helped increase the level of user satisfaction from 30% in 2005 to 55.3% in 2010.

< Improvements brought by e-People >

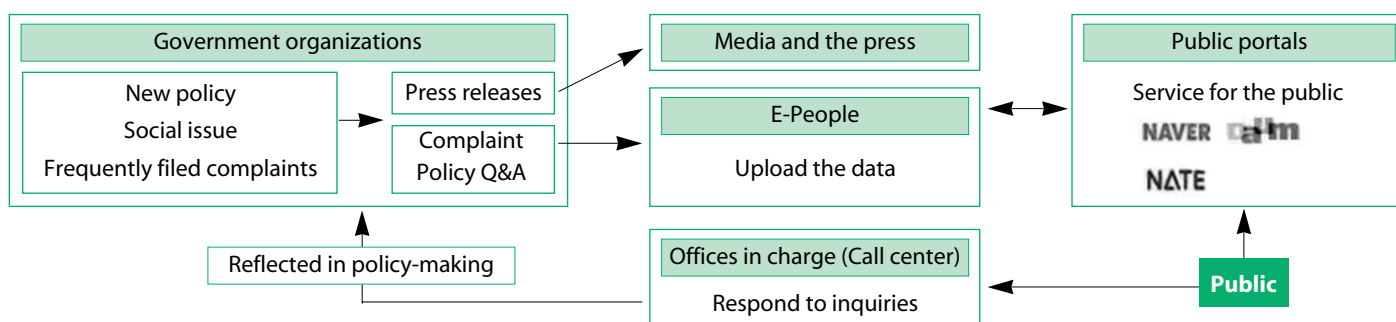
Problems	Previous system	e-People
Absence of one-stop service	People needed to contact several organizations to find the right place for complaints.	Any complaint is directed to the right organization through automatic classification system.
	Same complaints were dealt with separately by different organizations.	E-People identifies recurring complaints automatically as one case.
Slow processing time	Processing time was not monitored.	The assessment of the complaint status allows analysis and management of slow response.
Insincere response	It was hard to improve service quality through a satisfaction survey.	People can request additional answers, and satisfaction levels can be assessed.
Wrong designation of public officials	A complaint about a public official could be directed to the same official.	A complaint about an official is directed to a higher organization or audit department.

E-People strengthens communications among people

Complaint and Policy Q&As of E-People helped prevent complaints and improve communication between people and the government. In the "Complaint Q&A" section, you will find complaints frequently filed with each public organization in a question and answer format. The "Policy Q&A" section explains

government policies and related cases in a question and answer format. Each public organization offers the raw data for Complaint and Policy Q&As, which are supplemented and edited systematically and combined with practical legal information before being provided to the public through e-People and public portals such as Naver, Daum, Nate and etc.

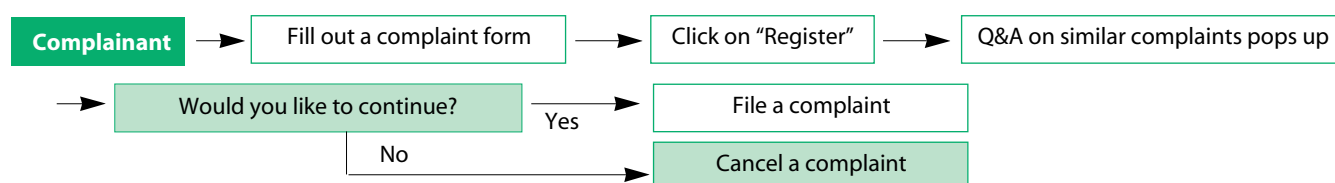
< Complaint/Policy Q&A service procedure through public portals >



In July 2009, ACRC signed an MOU with Daum and SK Communications respectively, and began “Complaint Q&A” service through Daum and Nate in September 2009. They also launched “Policy Q&A” service five months later. In December 2009, ACRC signed a business agreement with NHN (Naver) and began both of the Q&A services for the public in February 2010.

Since June 2009, when you file a civil complaint, Q&A pops up on your computer screen so that you can have an idea of what the result will be. This also helped prevent redundant complaint filings. For example, 8,496 civil complaints were withdrawn in December 2010, leading to a budget reduction of about 1 billion won. As of December 2010, more than 78,000 Q&As were provided to portals, which had about 120,000 hits everyday.

< Procedures for handling similar complaints/policy inquiries via e-People >



E-People gains worldwide recognition

E-People is appraised by European countries as the world's best communication portal system that provides one-stop service by integrating and linking inquiry, complaint, proposal and policy discussion channels of the central and local government organizations and public entities. It also is notable that they said the system can be useful in inducing political participation from youth who are not interested in politics.

One indicator of e-People's excellence is the number of prizes it won. It was selected among top 10 in “World's e-Gov Forum” that took place in France in October 2006. In October 2008, e-People won the best demonstration stand at eChallenges 2008 (European e-Gov and IT conference) run by the European Commission, recognizing the system as a best practice in public communication and conflict management.

<Major awards that E-People has won >

- Awarded Best Demonstration Stand at “eChallenges 2008” (European e-Gov and IT conference) in Oct. 2008
- Selected as a best practice at e-government's 5 year performance competition and awarded a Prime Minister award in Sep. 2007
- Awarded “International Certified Brand” Prize at “Government Innovative Brand Competition” in Nov. 2006
- Selected as Asia's best practice by IOI (Int'l Ombudsman Institute) in Oct. 2006
- Selected among Top 10 in “World's e-Gov Forum” in France in Oct. 2006

In 2009, the ACRC was invited to exhibit e-People in “CeBIT Australia 2009,” a leading international IT exhibition. It promoted the excellence of the system to the world and raised awareness of Korea's e-government.

2. 110 Government Call Center

Operation of “110 Government Call Center”

110 Government Call Center is a cross-governmental call service that receives all government-related inquiries. The same number works everywhere in the country, improving accessibility to governmental services. It is not an automated voice system (ARS). Every call is received by an ACRC counselor, resulting in minimized inconvenience to users. General inquiries are directly dealt with by the ACRC, while complex ones are forwarded to competent organizations.

A total of 317 organizations have staff dedicated to answering calls forwarded by the call center, including 40 central administrative organizations, 16 metropolitan organizations, 230 local governmental organizations, 16 municipal and provincial educational authorities and 15 public organizations.

The call center initiated its nationwide service on May 10, 2007 with 124 counselors. Operating hours is 8 am to 9 pm weekdays, 9 am to 1 pm on Saturdays. On Sundays and holidays, incoming calls are transferred to voicemail (ARS) and dealt with the next business day morning.

Direct call is not the only way to use the call center service. It has text message counseling up and running. You can also access its website (www.110.go.kr) to make a reservation for call counseling. It also established video counseling system for those with hearing disabilities, significantly improving the accessibility to the underprivileged. Moreover, the call center released a mobile application (m.110.go.kr) in July 2010, allowing access to the service by smart phone.

Inquiries and complaints handled by 110 Government Call Center

Average daily calls received by the call center is on a continuous increase, from 5,808 in 2007 to 5,824 in 2008, to 6,251 in 2009 and 7,592 in 2010.

The call center received a total of 1,962,545 calls in 2010. Among the total calls, the center responded to 1,591,038 calls, and handled 1,766,580 inquiries and complaints. It shows that more than one inquiry or complaint is made per call.

A survey on the service satisfaction showed that the average satisfaction rate reached about 85.2% in 2010, a 3.8% increase compared with 82.1% in the previous year.

Improvement of the quality of counseling service and user satisfaction

Service Level Agreement (SLA) signed with counselors

SLA was signed with telephone counselors to raise productivity and efficiency of the 110 Government Call Center. Specific criteria were laid down to check their performance, such as monthly answering rate, number of daily calls handled per counselor, service level, counseling quality assessment, satisfaction level, counselor's knowledge level and etc.

Counselor training and management of counseling quality

In an effort to improve service quality, the ACRC provides regular training for counselors to improve their knowledge and nurture right mind-set. To this end, it carries out assessment on counselors' knowledge level and monitoring on phone counseling on a regular basis. The assessment and monitoring results are reflected in their performance evaluation, or counselors are provided individual coaching to maintain high levels of service quality.

110 CS Academy

For those who are in charge of the call service in 317 organizations, the ACRC provide training five times a year on how to response to claims, customer service action plans based on the DISC (Dominance, Influence, Steadiness, Conscientiousness), sensible communication and call dealing skills.

Happy-Call

110 Government Call Center is operating the so-called Happy-Call system designed to raise the service quality. Under this system, a counselor makes a follow-up call to a complainant to give the result of their complaints or inquiries, and listens to any further complaints on a monthly basis.

Future plans

According to "Government Call Center Advancement Scheme," the ACRC plans to integrate all 32 call centers operated by government departments except for the ones that require urgency and professional assistance.

Counseling DB management is required to provide up-to-date and accurate information. Also, "110 CS Academy" training for public officials will be vitalized and serve as the call center's permanent training facility to make close connection with the 317 organizations and to prevent civil complaints.

Internet counseling and video counseling solutions will be developed in 2011 so that the service can be also accessible for those internet users with hearing impairments or speech defects. The ACRC will also establish counseling system through Social Network Service (SNS), such as Twitter and Facebook.

3. Counseling Service on Complaints and Grievances

If you suffer damage due to administrative organization's illegal or unfair practices or unreasonable policies, or if you are not well aware of administrative procedures, you can make complaints or inquiries with the ACRC by call, visit or the Internet, and be provided with counseling by ACRC investigators.

There are regional counseling centers across 6 cities and provinces other than the central civil complaints center in Seoul. Locations in Busan, Gwangju and Daejeon have introduced video counseling system, through which you can consult an ACRC investigator or professional counselor. Online reservation is available through the ACRC website for anyone who wants to consult an investigator face to face.

Inquiries related to administrative procedures are addressed by an investigator, while complaints and appeals against administrative dispositions are immediately registered for investigation and resolution. However, a large portion of complaints tend to be resolved during the counseling process.

The ACRC has a lot of professionals as counselors from various sources, leading to improved professionalism. Counselors from related organizations, such as Korea Legal Aid Corporation and Financial Supervisory Service, are dispatched to the ACRC to provide counseling. Experienced public official retirees are appointed as honorary counselors, while those in professional professions, such as attorneys, judicial scriveners, certified labor attorneys, are appointed as professional counselors. Moreover, professional psychologists work with the ACRC.

In 2010, a total of 12,696 cases of counseling were provided by ACRC investigators, increased by 128% from 7,294 cases in the same period last year. To break it down, finance and tax related cases account for 11.6%, or 1,477 cases, followed by 952 housing related counseling at 7.5%, 944 civil and criminal cases at 7.4% and 908 welfare and labor related cases at 7.1%.

4. Policy Improvements through Complaint Analysis

The ACRC puts together and analyzes all complaints filed with e-People and 110 Government Call Center on a daily or weekly basis. It also analyzes complaints that are related to daily lives and sudden incidents and issues. The analysis results are provided to related governmental organization so that they can come up with countermeasures.

Analysis of complaints and feedback on policy-making

“Voices of the People Weekly”

The ACRC puts together and makes a systematic analysis of over 10,000 complaints a day filed with #110 call centers (about 7,000 complaints a day), e-People (about 3,000 a day) and Public Proposals (about 300 complaints a day). The analysis results are published in “Voices of the People Weekly,” and provided to 39 government organizations, including the Prime Minister’s Office, the Ministry of Strategy and Finance, and the Ministry of Public Administration and Security.

The weekly has been used by public organizations to improve policies and systems. For example, in 2010, public organizations reviewed 666 complaints from the weekly, from which 46 cases were utilized for policy improvement, and 27 cases were reflected in system improvement.

< Utilization of “Voices of the People Weekly” by government organizations >

Period		Total	Improved			Unimproved
			Subtotal	Policy	System	
2009		504	47 (9.3%)	37 (7.3%)	10 (2.0%)	457 (90.7%)
2010	1st half	304	35	17	18	269
	2nd half	362	38	29	9	324
	Total	666	73 (10.9%)	46 (6.9%)	27 (4.0%)	593 (89.1%)

* “Improvements in policy” include related laws, regulations, manuals, plans and etc. that have been newly written, improved or abolished. “Improvements in system” means change in environment (personnel, organization, work environment and etc.) or development of computer programs. Even for policies “unimproved,” the weekly has mostly been used for personnel training and awareness-raising.

Analysis of frequently filed inquiries and complaints

The ACRC identifies frequently filed complaints that are closely related to the public's daily lives, such as health insurance premium, H1N1 virus, trust guarantee funds, and support for the disabled's activities, and requests administrative organizations

to come up with improvement measures. In 2010, relevant government organizations took steps to deal with 59 frequently filed complaints and reflected them in their policy.

< Countermeasures to solve frequently filed complaints in 2010 >

Period	Types of improvement plans					
	Total	Policy improvement	System improvements	Intensified promotion	Personnel training	Others
1Q	22 (100%)	9 (40.9%)	5 (22.7%)	3 (13.6%)	- (0%)	5 (22.8%)
2Q	16 (94.1%)	5 (29.4%)	4 (23.5%)	3 (17.7%)	1 (5.8%)	3 (17.7%)
3Q	21 (100%)	6 (28.6%)	2 (9.5%)	4 (19.0%)	2 (9.5%)	7 (33.4%)
Total	59 (98.3%)	20 (33.3%)	11 (18.3%)	10 (16.6%)	3 (5.0%)	15 (25.0%)

Thematic analysis of complaints

The ACRC provides an analysis of complaints as per request by government bodies when there are problems and social issues that they fail to consider in policy making. Among those issues in 2010 were Hope Work projects, vocal training

account system, rainfall damage in the capital area and child-birth grant. After conducting an in-depth analysis on those issues, the ACRC provided the information to the organizations concerned to improve their policies.

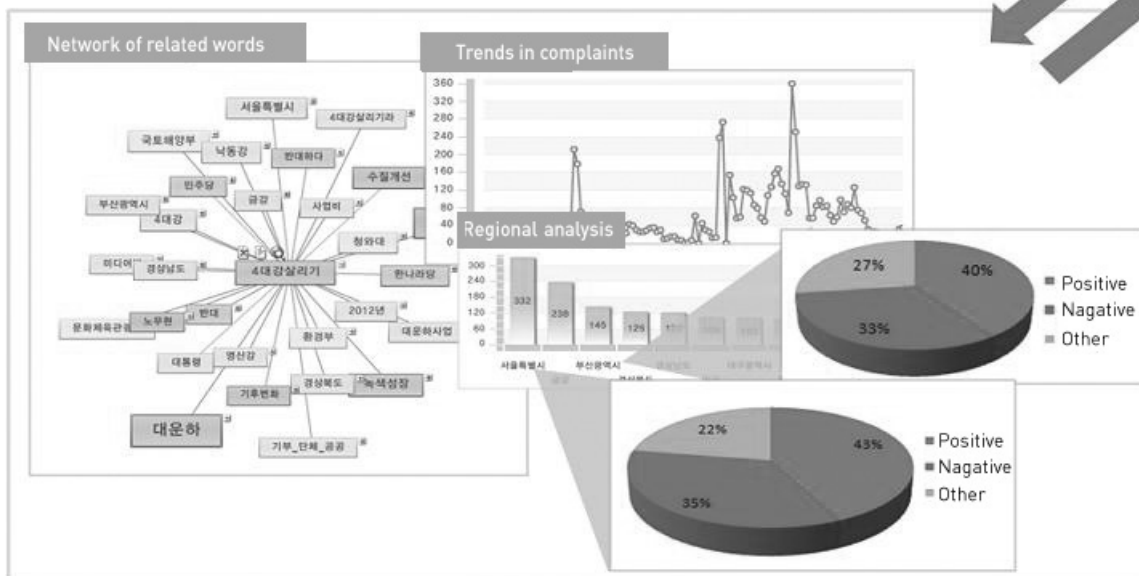
< The concept of thematic analysis of complaints >

- Analyze what is required to improve policy making
- Provide information on keywords, related words, trends and regions

Request an alysis of specific complaints

Government bodies

Provide a customized complaints analysis report



Establishment of Complaints Information Analysis System (1st stage)

In 2010, the Complaints Information Analysis System was planned to improve efficiency in information analysis work, make laws and regulations beneficial for the public, and raise policy quality and credibility of the government.

Future plans

The ACRC aims to put the voices of the people at the center of the government system and policy in 2011. To this end, it will focus on improving communication with the public by identifying tasks to promote social integration.

The ACRC will also push ahead with the second stage project of establishing the complaint information analysis system. It plans to further enhance the model for analyzing complaints information, and allow related government organizations to access the analysis system so that they can directly use the data to improve their policies.

Furthermore, the ACRC will continue to manage the complaint information database and make better use of it for an effective analysis of information.

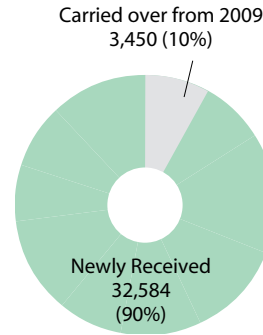
Chapter 3

Investigation of Complaints

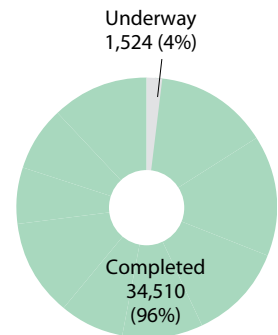
1. Overview of Complaint Handling in 2010

In 2010, the ACRC received a total of 36,034 complaints (including those carried over from the previous year) and processed 34,510. Out of the 36,034 complaints received, 3,450 cases were carried over from 2009 and the rest 32,584 cases were fresh ones. Handling of 34,510 complaints, 96% the total, was completed while the remaining 1,524 complaints or 4% are currently being processed. In 2010, complaints received (including those carried over from 2009) rose 14% year on year and those handled also upped 22.5%.

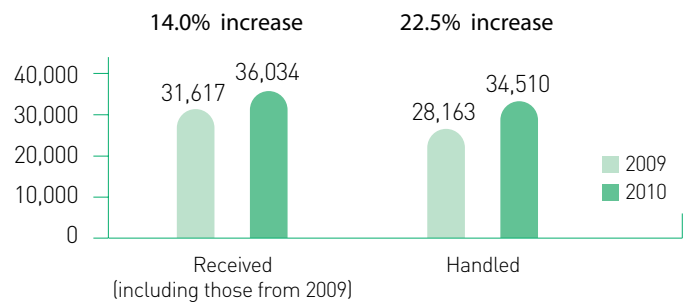
< Complaints received and carried over in 2010 >



< Complaints handled in 2010 >



< Increase/decrease of complaints received and handled >



2. Complaint Investigation and Handling

Status of complaint handling by type

Out of 34,510 complaints handled in 2010, 27,043 cases were complaints for grievance and 7,467 cases were for non-grievance. As for the former, 480 complaints were processed through corrective recommendation; 271, opinion expression; 3,282, mediation/agreement; 423, dismissal; 2,800, guidance

provision; 357, transfer/referral; and 912, rejection. For the latter, 1,853 complaints were replied with information and 5,614 cases were concluded. The number of complaints handled with the first three means--corrective recommendation, opinion expression and mediation/agreement through which complainants' requests are reflected--reached 4,033 representing 14.9% total handling, a 5.1% decline from the previous year's 20%.

< Status of complaint handling >

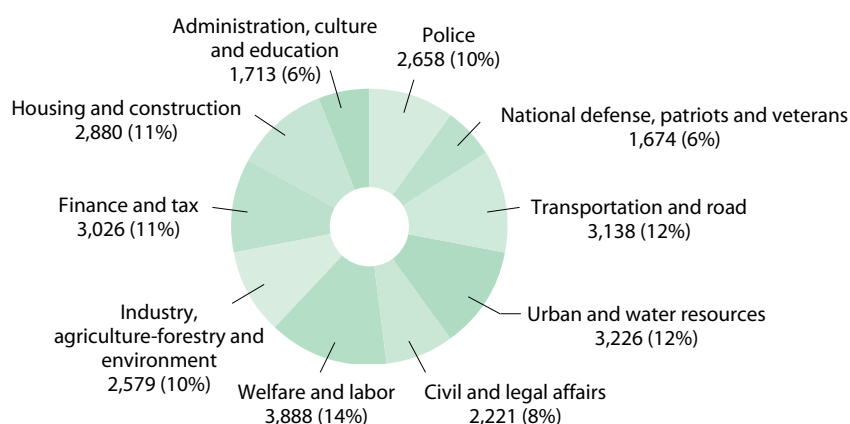
Period	Total	Complaint handling status							Non-complaint
		Corrective recommendation	Opinions expressed	Mediation/Agreement	Dismissal/Guidance	Transfer/Referral	Rejection	Information provided	
2010	34,510	480	271	3,282	3,223	357	912	18,518	7,467
2009	28,163	702	360	3,759	4,666	576	945	13,052	4,103
Change(Rate)	6,347 (22.5%)	Δ222 (Δ31.6%)	Δ89 (Δ24.7%)	Δ477 (Δ12.7%)	Δ1,443 (Δ30.9%)	Δ219 (Δ38.0%)	Δ33 (Δ3.5%)	5,466 (41.9%)	3,364 (82.0%)

Status of complaint handling by area

The 27,043 processed complaints for grievance in 2010 cover a variety of areas: welfare and labor with 14.4%; urban and water resources, 12.1%; transportation and road, 11.6%;

finance and tax, 11.2%; housing and construction, 10.6%; police, 9.8%; industry, agriculture-forestry and environment, 9.5%; civil and legal affairs, 8.2%; administration, culture and education, 6.3%; and national defense, patriots and veterans, 6.2%.

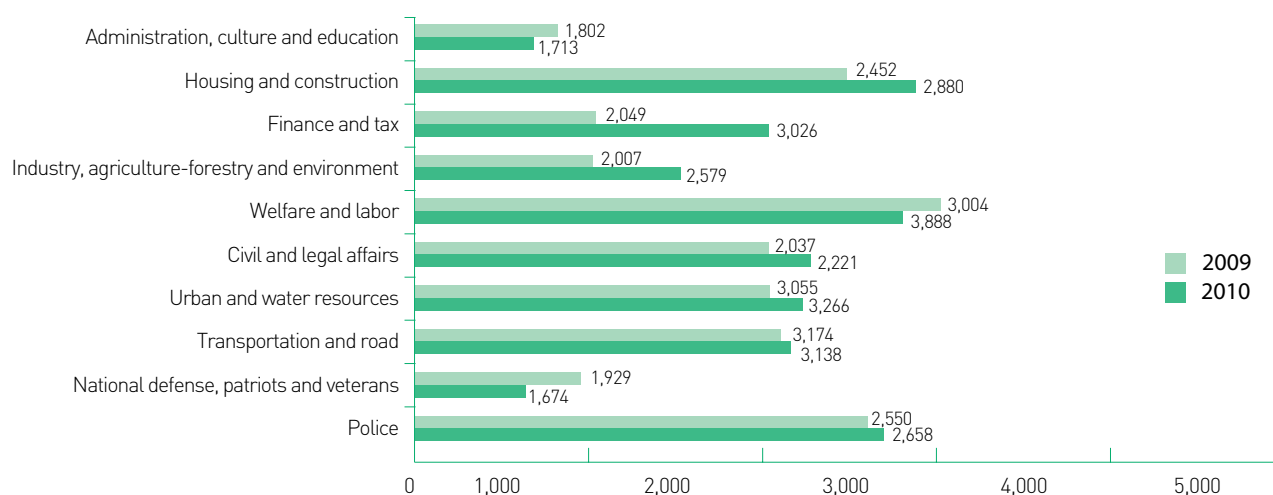
< Status of complaint handling by area in 2010 >



When compared to the preceding year, finance and tax posted the highest growth rate with 47.7% in terms of the number of handled complaints. It was followed by welfare and labor with 29.4%, industry, agriculture-forestry and environment with

28.5% and housing and construction with 17.5%. However, national defense, patriots and veterans and administration, culture and education registered negative growth of 13.2% and 4.7% respectively.

< Number of complaints handled >



3. Corrective Recommendations

Overview of corrective recommendations

In case that investigation into civil complaint for grievance finds grounds to deem certain administrative actions illegal or unjust, the ACRC may recommend a correction to the relevant authority as stipulated by Section 1, Chapter 46 of the Act on Anti-Corruption and the Establishment and Operation of the Anti-Corruption and Civil Rights Commission. The

Commission made corrective recommendations to government agencies for 480 complaints in 2010.

Status of corrective recommendations by agency

Central government agencies including education offices received 254 corrective recommendations (52.9%), local governments, 126 recommendations (26.3%) and government-invested institutions, 92 recommendations (19.2%).

Among the central agencies, the National Tax Service received the most with 91 recommendations (35.8%) and the Korean National Policy Agency followed with 88 recommendations (34.6%). Combined, they represented 70.5% total recommendations that all central government agencies received.

Gyeonggi Province received the most with 39 recommendations (31%) among local governments. Seoul Metropolitan City and Busan Metropolitan City came second and third with 14 recommendations (11.1%) and 12 recommendations (9.5%)

respectively. Local governments in the Seoul Metropolitan Area got 58 recommendations in total representing 46% the whole recommendations received by local governments.

Among public institutions and organizations, Korea Land & Housing Corporation posted the highest figure of 29 (31.5%). It was followed by Korea Expressway Corporation and Korea Workers' Compensation & Welfare Service with 14 recommendations (15.2%) each and Korea Rail Network Authority with 11 recommendations (12%).

< Status of corrective recommendations by agency in 2010 >

Classification	Total	Central government agencies					Local governments				Public organizations					Others	
		Sub-total	NTS	KNPA	MND	Rest	Sub-total	Gyeonggi-do	Seoul	Busan	Rest	Sub-total	LH	KR	WCI	Rest	Others
No. of Recommendations	480	254	91	88	24	51	126	39	14	12	61	92	29	14	14	35	8
Rate	100	52.9	19.0	18.3	5.0	10.6	26.3	8.1	2.9	2.5	12.7	19.2	6.0	2.9	2.9	7.3	1.7

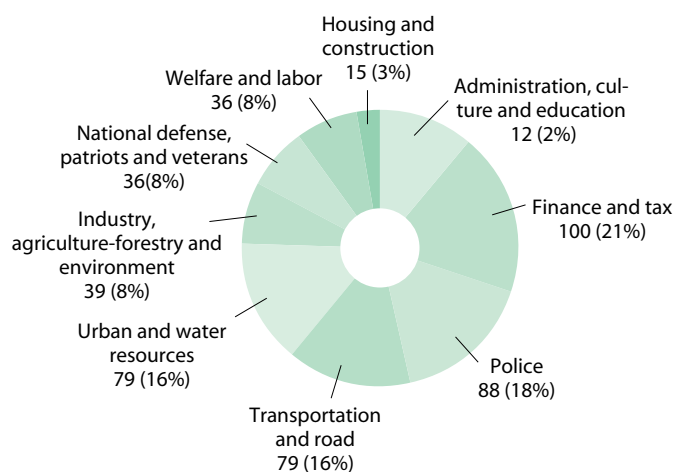
* NTS is the National Tax Service; KNPA, the Korean National Policy Agency; MND, the Ministry of National Defense; LH, Korea Land & Housing Corporation; KR, Korea Expressway Corporation; and WCI, Korea Workers' Compensation & Welfare Service.

Status of corrective recommendations by area

By area, finance and tax accounted for most share with 100 recommendations (20.8%) while police and transportation and road received 88 recommendations (18.3%) and 79 recommendations (16.5%) respectively. The combined representation of the three was 55.6%.

Specifically, the tax segment which includes national taxation got 94 recommendations (19.6%), police, 88 (18.3%), road including road management, 61 (12.7%) and city including urban planning, 59 (12.3%).

< Status of corrective recommendations by area in 2010 >



< Status of corrective recommendations by area in 2010 >

Classification	Total	Finance/Tax	Police	Transportation/Road	Urban/Water Resources	Industry/Agriculture-Forestry/Environment	National Defense/Patriots/Veterans	Welfare/Labor	Housing/Construction	Administration/Culture/Education
No. of Recommendations	480	100	88	79	75	39	36	36	15	12
Rate	100	20.8	18.3	16.5	15.6	8.1	7.5	7.5	3.1	2.5

Implementation of corrective recommendations

In 2010, the ACRC made 480 corrective recommendations, of which 356 recommendations (74.2%) were accepted by the subject agencies while 32 recommendations (6.7%) were not.

Compared to the previous year when 80.9% of 702 recommendations were accepted and 4.3% unacceptable, the acceptance

rate in 2010 was lowered by 6.7% while the unacceptance rate rose by 2.4%. Total 92 (19.2%) recommendations are currently at hold for acceptance. Considering this, the acceptance rate reaches 91.8% excluding those at hold. By agency, central government agencies showed 86.6% acceptance rate, public institutions and organizations, 68.5% and local governments, 53.2%.

< Implementation of corrective recommendations in 2010 >

Entity	Total	Accepted		Unaccepted		To be decided
		Subtotal	Rate	Subtotal	Rate	
Total	480	356	74.2%	32	6.7%	92
Central government agencies	254	220	86.6%	4	1.8%	30
Local governments	126	67	53.2%	13	10.3%	46
Public organizations	92	63	68.5%	14	15.2%	15
Others	8	6	75.0%	1	12.5%	1

Central government agencies received 254 recommendations or 52.9% of the total 480 recommendations. They accepted 220 recommendations or 86.6% the total while refusing to accept four cases or 1.8%.

Local governments accounted for 26.3% with 126 recommendations received with those in the Seoul Metropolitan Area representing 46% with 58 recommendations.

Local governments' acceptance rate was lower than that of central agencies. Their unacceptance rate was higher than that of the latter but lower than the government-invested institutions'. It seems that local governments' show poor acceptance rate in 2010 because, compared to central agencies, they are faced with budget constraints and allowed lower-level of autonomy in running their systems.

Out of 92 recommendations, government-invested institutes accepted 63 cases showing 68.5% acceptance rate, which is higher than local governments' 61.5% but lower than 89.8% of central agencies. Their unacceptance rate of 15.2% (14 cases) ranges above the central agencies' 1.6% and the local governments' 11.9%.

The relatively higher unacceptance rate of those institutions indicate they are not aggressive accepting the ACRC recommendations, which calls for strengthened efforts to increase the rate through such means as meetings with heads of government-invested institutions.

In terms of implementation, high acceptance rate was reported in police (95.2%), transportation and road (89.8%), national defense, patriots and veterans (88.9%) and finance and tax (87%). Housing and construction and welfare and labor displayed low level of acceptance with 46.7% and 50% respectively.

<Implementation of corrective recommendations by area in 2010 >

Area	Total	Accepted		Unaccepted		To be decided
		Subtotal	Rate	Subtotal	Rate	
Total	480	356	74.2%	32	6.7%	92
Finance/Tax	100	87	87.0%	2	2.0%	11
Police	88	79	95.2%	0	0.0%	9
Transportation/Road	79	59	89.8%	4	5.1%	16
Urban/Water Resources	75	43	57.3%	8	10.7%	24
Industry/Agriculture-forestry/Environment	39	21	53.8%	4	10.3%	14
National Defense/Patriots and Veterans	36	32	88.9%	1	2.8%	3
Welfare/Labor	36	18	50.0%	10	27.8%	8
Housing/Construction	15	7	46.7%	1	6.7%	7
Administration/Culture/Education	12	10	83.3%	2	16.7%	0

Commitment to greater implementation capacity of recommendations

To ensure the effectiveness of corrective recommendations, the Commission has dispatched working-level encouragement teams composed of two vice auditors from the Board of Audit and Inspection of Korea to target agencies. In 2010, the ACRC sent the auditors' teams regarding 605 recommendations to 82 institutions, showing an average 7.3 on-site visits per institution.

The ACRC, which had announced the cases of unaccepted recommendations, included best cases for announcement for the fairness purpose. Besides, it allowed the subject agencies a second chance to implement recommendations before announcing, thereby enhancing the confidence in the Commission's authority and addressing the unresolved complaints. The Commission plans to make announcements not only about acceptance/unacceptance of corrective recommendations but about acceptance/unacceptance of opinions it expresses in order to ensure its opinions are effectively accepted.

The Commission enlisted 18 institutions with a heavy load of complaints for concentrated management and conducted consultations, on-site encouragement visits and meetings. Especially, before having consultations, it notified them of unaccepted complaints to listen to their opinions as well as discuss the reason for unacceptance and exchange opinions so as not to let the meetings be obsessed with superficial elements or formality.

Areas for improvement

Compared to working-level visitations, senior-level encouragement visits are not enough. Accordingly, the Commission will facilitate high-level squads composed of directors-general, deputy directors-general, directors of investigation divisions, Ombudsman advisors, and investigators.

Starting from 2011, the Commission will take test surveys of handling of civil complaints received by institutions at every level using the indexes it developed in 2010 to measure complaint occurrence rate, resolution rate and recommendation acceptance rate. It will announce the results in an effort to enhance the interest in civil complaint resolution and strengthen the commitment to their resolution, upgrading the overall level of civil rights protection.

4. Complaint-Resolution through Agreement

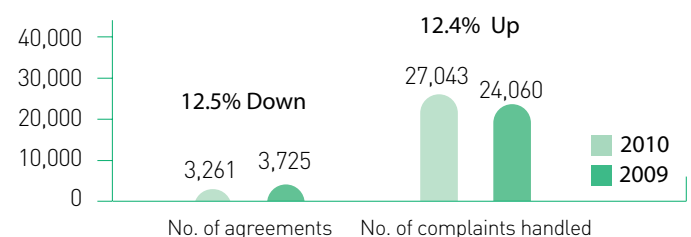
Overview of resolution through agreement

The ACRC pours its resources into "substantial resolution of civil complaints" to satisfy the complainants over their filing of complaints with the results. "Resolution by laws" such as corrective recommendation or opinion expression are limited in effects if the relevant agencies do not accept them leaving the complainants unsatisfied, which led some even to say "Complaints are processed not resolved." In a way of overcoming such limits, the Commission aggressively pursue agreement, resolution through agreement, as a practical means of tackling complaints. Compared to other means, it is a way with which both complainants and relevant agencies show high level of satisfaction and especially effective in resolving public conflicts or complaint aroused by many.

Increase/decrease in resolution through agreement

Among 27,043 grievance complaints handled in 2010, 3,261 complaints or 13.2% were resolved through agreement, 2.4% down from the previous year's 15.6%--3,725 cases were settled down out of 24,060 complaints handled in 2009 (the number of settled complaints is also down 12.5% from 3,725 to 3,261 over the same period). Nevertheless, much-publicized complaints were effectively resolved by facilitating on-site mediation by Chairman, commissioners and others.

< Increase/decrease of complaints handled and settled >

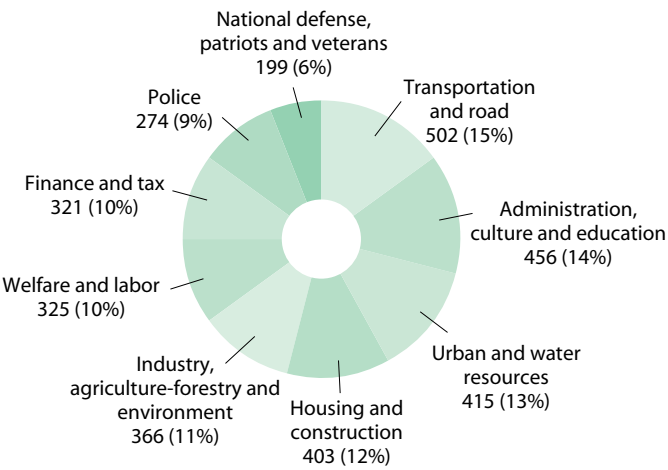


Status of agreements by area

In terms of the area, transportation and road topped the list with 502 cases resolved through agreement (15%), which was followed by administration, culture and education with 456 cases (14%); urban and water resources with 415 cases (13%); housing and construction with 403 cases (12%); industry, agriculture-forestry and environment with 366 cases (11%); welfare and labor with 325 cases (10%); and finance and tax with

321 cases (10%). At the bottom were police with 274 cases (9%) and national defense, patriots and veterans with 199 cases (6%).

< Status of agreements by area in 2010 >



Implementation of Complaint Handling Policies

1. Measuring the Performance of Complaint Handling by Public Agencies and Others

What is important to protection of civil rights through complaint resolution is prevention of and swift and aggressive response to complaints not only by the ACRC but administrative agencies as well. Here arises a need to develop a policy aimed at objectively measuring the level of complaint prevention and resolution at each agency and promoting self-corrective actions and improvement.

Driven by the policy need, the ACRC sought to evaluate the status of complaint handling. For the first step, the Commission developed complaint handling indexes. Two sorts of indexes were developed, common and distinctive for agencies, by tak-

ing into account organizational features of central government agencies, local governments, public institutions and education offices.

The process was focused on conducting of a test evaluation of agencies representing each group of institutions in order to ensure credibility and appropriateness of index. For this, the Commission outsourced index development to a specialized research institution and set up a board of commissioners to support the development in a practical manner.

In an effort to guarantee appropriateness and effectiveness of index, the Commission analyzed research case studies on complaint resolution evaluation; had advisory meetings with and interviews of those responsible for complaint handling at each institution and academic professionals; and held several rounds of working-level review sessions with commissioners to draw a draft plan.

< Complaint Handling Index >

Area	Subarea (first-level)	Index (second-level)
Prevention (25)	1-1. Substantiveness of first response (6)	- Whether an advanced deliberation system is operated. - Whether external specialists are involved in complaint handling procedures. - Whether area-specific manual is used. - How well "question and answer bulletin" and "frequently asked question" are managed.
	1-2. Extent of institutional improvement (7)	- Whether an institutional improvement suggestion and management system is in place. - Institutional improvements acceptance rate - Institutional improvements implementation rate
	1-3. Results (12)	- Reduction of complaints - Improvement of complainants' satisfaction
Resolution (48)	2-1. Convenience of petitioning and swiftness of handling (16)	- Diversity of means for filing complaints - Observance of due period - Reduction of handling period
	2-2. Effectiveness (14)	- Resolution rate - Reduction rate of appeals/approval of administrative litigation
	2-3. Substantiveness of post-management (18)	- Acceptance rate of the ACRC's corrective recommendation/opinion expression - Implementation of the ACRC's mediation and agreement - Whether a self-inspection system is in place
Resolution (48)	3-1. Well-organized system (9)	- Whether a designated unit is set up - Whether external specialists are involved institutionally - Degree to which the Ombudsman has been systemized
	3-2. Adequacy of complaint management system (9)	- Whether a management plan is established. - Whether a management system is operated. - Whether complainants can check the progress in complaint handling.
	3-3. Handling capacity (9)	- Records on education (internal/outourced) - Records on operation of advanced education courses (e.g., human resource center) - Extent of interest by and support from head of institution
Deduction	Points are deducted from total score for auditor's mentions in the process of complaint handling	

The ACRC will conduct a test assessment using the indexes in 2011 and then fix errors and flaws before building a measurement model at full swing. Besides, it will give an account to relevant agencies in advance in order to avoid confusions that may arise due to a lack of understanding of their concepts and purposes. The Commission also plans to develop another system managing the indexes.

The ACRC will enhance the voluntary complaint resolution capabilities of government agencies by investigating and announcing their commitment and achievements to prevent and resolve civil complaints. Also, it will induce and support fair and swift civil rights remedy, laying the foundation for proactive resolution of the problems and sufferings facing the citizens.

2. Consulting on Complaint Handling

Background

Basic duties of the ACRC are to protect basic rights and interests of people and ensure appropriateness of administration by handling civil complaints and rectifying irrational institutions. In this regard, the Commission should labor to resolve

complaints it receives and correct relevant institutions. Also administrative agencies at every level should commit themselves to the prevention of complaints in their conduct of duties and appropriately handle complaints if they occur.

Still, some agencies do not have an appropriate system for complaint resolution nor the capacity for complaint prevention and resolution. In this regard, the Commission launched consulting service aimed at sharing its experiences and techniques with public agencies in a bid to strengthen their prevention and resolution capabilities.

The service was designed to provide public agencies with practical help and reduce their burden while promoting their participation and interest in civil complaint resolution. Under the goals, the Commission emphasized three aspects: on-site consulting, practical consulting and in-depth consulting. The ACRC officials attend kick-off meetings, working-level consultations and reporting sessions. The Commission suggests measures to deal with the institutional issues and subjects of repeated complaints to public agencies and shares with them the results of survey of complainants' awareness it takes with its own budget.

< Comparison of consulting between 2009 and 2010 >

Year	2009	2010
No. of subject agencies	4	10
Consulting type	Separate consulting	- Simultaneous consulting of ten agencies was sorted out based on institutional characteristics. - There are three groups of local governments (two rounds); two groups of railway-related public corporations; and two groups of educational institutions.
Survey and analysis of the awareness of complainants and employees	By the ACRC	- Survey and analysis were commissioned to a specialized research firm. 150-200 people who have ever filed a complaint with the subject agency were surveyed on their awareness and the results were analyzed. Internal survey of employees' recognition was analyzed.
Comparison between subject agencies	N.A.	- plenary session for all task forces from consulted agencies and sub-meetings by area are held. - Implementation records are presented by agencies which were consulted the year before.

Procedure and contents of consulting

At the beginning, the ACRC and subject agency set up a joint task force, which is the main entity carrying out the whole consulting process from diagnosis and analysis of the agency's administrative system, complaint handling, areas for institutional improvements and areas with lower customer satisfac-

tion level to suggestion of tailored solutions. The Commission runs joint task forces because they are helpful promoting active participation by subject agencies and their acceptance of the results in that the Commission and the agencies figure out problems and delve into solutions all together.

< Flow of consulting process >

Formation of joint task force	- A joint task force to proceed with consulting in a way that emphasizes dialogue and cooperation is established and operated. Each task force is composed of five members: director, ombudsman advisor and investigator from the ACRC and head of complaint resolution and one staff member from the subject agency. - Kick-off meeting is held.
Fact finding and diagnosis	- Fact finding survey and analysis is carried out by sector and analysis using structured test for diagnosis, employee interview, research, survey and others are also implemented. Survey of complainants is conducted through a research firm (commissioned by the ACRC at its expense) and that of employees, through the subject agency's internal network and the policy customer relations management system. - Collective meeting of subject agencies provides an opportunity for comparison between agencies with similar characteristics and functions. - On the area with concentrated complaints, working-level consulting is delivered to the person in charge within the subject agency by the ombudsman advisor and investigator.
Analysis of diagnosis results	- Based on the results of diagnosis and analysis, solutions are worked out. - Report contains status, model cases, results of diagnosis and analysis and solutions.
Report	Consulting results are shared so as to build a consensus on complaint prevention and resolution in a reporting session in which senior ACRC officials and all employees of the subject agency are present (for educational purpose).

Achievements and directions for improvement

Complaint handling consulting was first introduced to four agencies as a test case in 2009. It went through adjustments according to the actual conditions and spread to ten agencies to meet a growing demand for the service the next year. Korea Water Resources Corporation and Gangdong-gu, Seoul, which were consulted by the ACRC in 2009, introduced Ombudsman this year.

< Agencies that consulted ACRC on complaint handling >

Year	Agency	Period
2009	Gangdong-gu, Seoul	April-May
	Mapo-gu, Seoul and Anyang-si, Gyeonggi Province	June-July
	Korea Water Resources Corporation	October-November
2010	Jungnang-gu and Gwangjin-gu, Seoul and Cheongwon-gun, North Chungcheong Province	February-May
	Daegu Metropolitan City, Gimcheon-si, North Gyeongsang Province and Suyeong-gu, Busan	May-August
	Korea Rail Network Authority and Seoul Metropolitan Rapid Transit Corporation	August-October
	Busan Metropolitan Office of Education and Gwangju Metropolitan Office of Education	September-December

Those consulted were chosen as exemplary model in complaint handling category by e-People, the government's portal for filing civil complaints, proving the tangible effects of consulting.

< Winners of 2010 e-People Award >

Grade of award	Winner	Remark
Presidential Commendation	Anyang-si, Gyeonggi Province	Consulted in 2009
Prime Minister's Commendation	Korea Water Resources Corporation	Consulted in 2009
Chairman's Commendation	Gangdong-gu, Seoul	Consulted in 2009

The ACRC will develop the consulting model into a more sophisticated one by reflecting its own experiences and opinions from administrative agencies and expand the service even further. In 2011, the Commission will utilize the indexes as a basic tool to measure the overall status of complaint handling at government agencies. It will expand the number of target institutions from ten this year to 16 next year and provide them with consulting techniques enabling them to diagnose problems and find solutions on their own in case that the Commission is constrained in terms of time and personnel.

3. Support for Enhancement of Awareness of Civil Rights and Interests

Overview

Support for heightened awareness of civil rights is to protect people's basic rights and interests as well as ensure appropriateness of administration through civil rights remedy and the

education on Ombudsman. Establishment and implementation of a plan on civil rights remedy education is stipulated as a duty of the Commission by Article 12-7 of the ACRC Act. Distinctive education is delivered for schoolers, adults and public officials.

Operation of the Ombudsman education

The ACRC delivered education on Ombudsman in 2010 following 2009 to better the understanding of the system and increase the work efficiency of those dealing with civil complaints at each agency. Two rounds of five-day education program were provided for about 90 people responsible for complaint handling from central agencies, local governments and public institutions and corporations.

The program highlighted betterment of understanding of the system for the purposes of spreading the system and facilitating its operation; strengthening of capabilities for coordination and management of social conflicts to nurture complaint handlers; and prevention and fundamental resolution of complaints by strengthening response capabilities on the site.

Target-specific promotion of the concept of civil rights remedy

The Commission emphasized civil rights remedy and protection realized through Ombudsman. In this regard, it avoided abstract, complicated approaches to the concept but employed questions such as what the Ombudsman system is and how the system can be utilized and made target-specific efforts.

The ACRC sought to complement Social Studies textbooks with the concepts of Ombudsman system to let elementary, middle and high school students know how to react when their rights or interests are violated. Only some textbooks contain contents about the system at insufficient level at best. Accordingly, the Commission requested revision and reinforcement of textbooks to the Ministry of Education, Science and Technology. As a result, 22 contents were reflected into ten (seven for middle school and three for high school) kinds of authorized textbooks.

For adults, emphasis was placed on understanding as citizens of the concepts of civil rights remedy and Ombudsman and the ways how to utilize them in their daily lives. Digital textbook on

civil rights remedy developed by the Commission is available on the websites of 12 institutions including the National Institute for Lifelong Education and Seoul Dongbu District Office of Education. Also, 23 lifelong education centers adopted total 77 courses on civil rights remedy.

The Commission focused on prevention of civil rights infringement and removal of factors that might cause violation. It distributed textbooks and teaching guidance to education and training centers for central and local government officials. Total 16 centers including the Training Institute for Land, Transport and Maritime Affairs and the Gangwon Province Human Resources Development Center have opened 67 courses on that matter.

Support for lecturers

The ACRC recommended educational institutions to utilize internal lecturers or recruit external specialists (e.g. public administration professors) to teach civil rights remedy based on the Commission-developed textbook. Nevertheless, it set up a pool of internal lecturers and sent them to educational institutions when deemed unavoidable due to inappropriate conditions of those institution

Future plans

The Commission will upload the materials for public officials and lifelong education that it has developed over the course of ten years onto the website of the Central Officials Training Institute to provide better digital access. In a bid to meet the growing demand for the civil rights remedy education, it will expand its lecturers pool for each region while educating those in charge of complaint handling at each agency on the Ombudsman system in a more substantial manner.

4. Support and Cooperation for the Establishment of Local Ombudsman

Overview

A commission established under local governments aimed at tackling civil issues regarding them and their affiliated institutions as well as improving administrative system is called an ombudsman. Local Ombudsman was first institutionalized under the name of the Ombudsman of Korea by the Act on the Establishment and Operation of the Ombudsman of Korea

which took effect as of October 30, 2005. Now, Chapter 3 of the Act on Anti-Corruption and the Establishment and Operation of the Anti-Corruption and Civil Rights Commission provides its legal ground. The local Ombudsman carries out duties prescribed below for the purpose of protection of civil rights.

< Duties of the local Ombudsman >

1. Investigating and processing civil complaints for grievances with respect to local governments and any affiliated institutions;
2. Offering corrective recommendations or expressing opinions in connection with civil complaints for grievances;
3. Offering recommendation or expressing opinions on the improvement of the pertinent administrative systems and their operation if deemed necessary for the process of handling of civil complaints for grievances;
4. Surveying and evaluating the actual status regarding the result of civil complaints for grievances processed by the Local Ombudsman and the improvement of administrative systems;
5. Providing information and consultation about civil complaints and supporting the processing;
6. Providing education and promotion with respect to the activities of the Local Ombudsman;
7. Exchanging and cooperating with international organizations or foreign institutions for remedy of violated rights that are related to the activities of the Local Ombudsman;
8. Providing Cooperation and support to individuals, corporations or organizations that are related to the activities of the Local Ombudsman; and
9. Other matters entrusted to the Local Ombudsman under other Acts and subordinate statutes.

* Grounded in Article 32-2 of Act on Anti-Corruption and the Establishment and Operation of the Anti-corruption and Civil Rights Commission

Local governments are free to establish their own Ombudsman. This is because making the establishment an obligation may cause unnecessary spending of budget and inefficient personnel operation in that local governments differ each other in terms of population size and thereby have different amount of demand for civil services.

Currently, the Local Ombudsman is operated by seven local governments of Gangdong-gu, Seoul, Bucheon-si and Anyang-si, Gyeonggi Province, Wonju-si, Gangwon Province, Jeongeup-si and Iksan-si, North Jeolla Province and Mokpo-si, South Jeolla Province. Daegu Metropolitan Government runs a specialized ombudsman which covers the welfare sector. Besides, seven local governments have established ordinances on the system.

< Status of the local Ombudsman >

Status	Province
Established/ Operated (7)	Bucheon (May 1997), Mokpo (April 2008.), Iksan (September 2008), Anyang (February 2009.), Jeongeup (April 2009), Wonju (July 2009) and Gangdong, Seoul (September 2010)
Municipal Ordinances Established (7)	Naju, Damyang, Tongyeong, Cheongju, Jung-gu Incheon, Jecheon and Yeongdong

Support and cooperation for establishment

The reality in Korea is that the Local Ombudsman has yet to be facilitated. Although there may be many causes, the Commission believes, the biggest reasons are the indiscriminate establishment standards that do not consider regional characteristics and the lack of understanding of the institution. Accordingly, the Commission sought amendment to the Act in a way of loosening the establishment standards and expanding autonomy of local governments in 2010. The amendment, now impending at the National Assembly subcommittee on legal deliberation under the National Policy Committee, is expected to be implemented in 2011.

The amendment was to change the name of the institution to the Local Government Ombudsman extend autonomy to decide on the qualifications and term of ombudsman member, name, office fittings and job scope.

In addition to the amendment, the ACRC pursued workshops, specialized education and consulting for the Local ombudsmen and related personnel to enhance their complaint handling capacity facilitate the operation of the system. During the workshops and specialized education, the Local Ombudsmen presented their cases of operation and had questions from the trainees, which helped exchange information between ombudsmen and trainees have better understanding of the system.

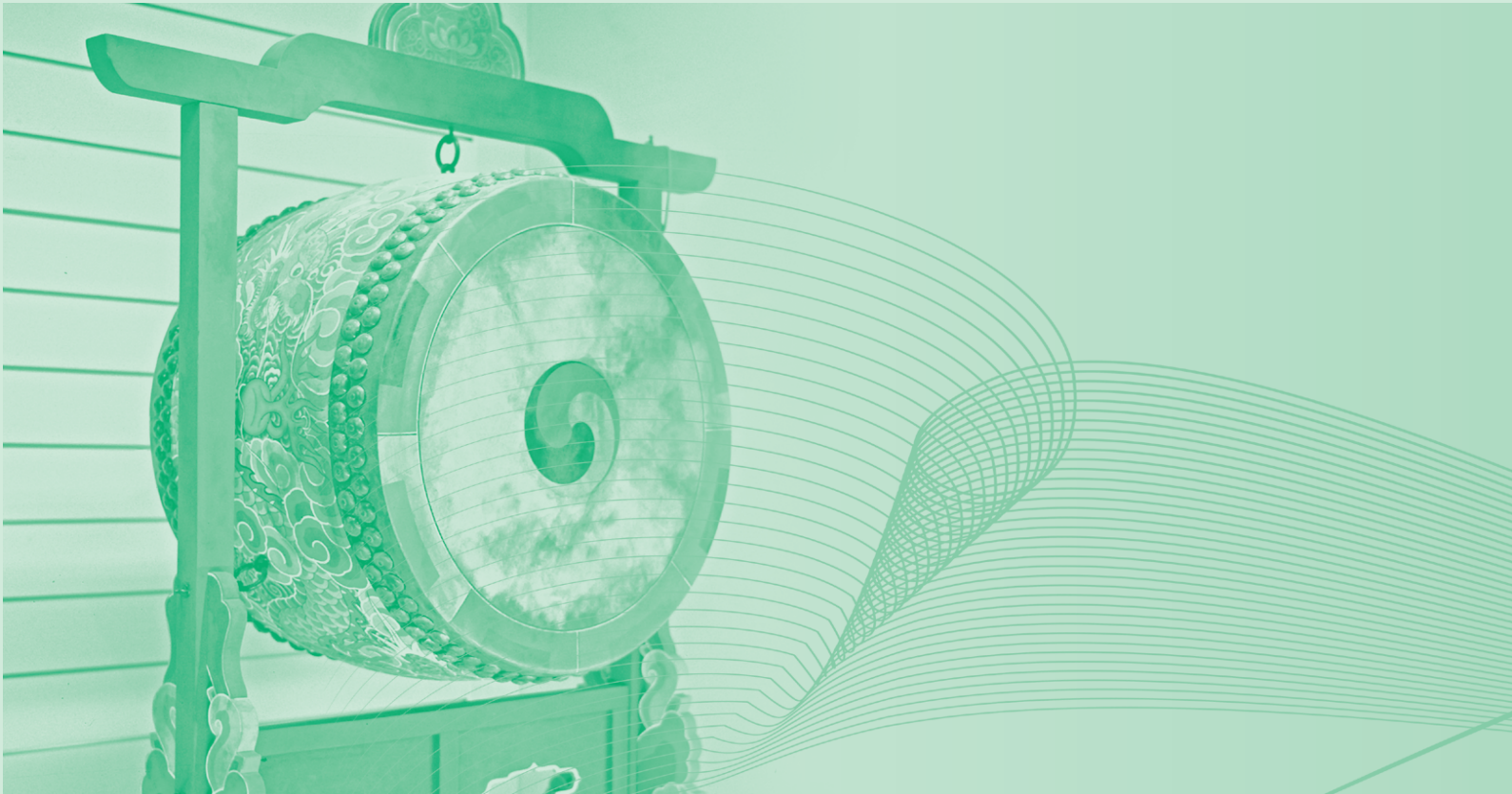
< Support for the local Ombudsman in 2010 >

Type	Period	Participants	Remarks
Specialized Education	April 26-30 and September 6-10, 2010 (twice)	57	People dealing with civil complaints at central agencies, local governments or public institutions
Workshop	September 9-10, 2010	8	
Consulting	Year-round	10 institutions	

Directions for improvement

Today, administrative services for citizens are increasingly being diversified and sophisticated thanks to the expansion of administrative power on one hand, which raises the possibility of infringement of civil rights on the other hand. Against this backdrop, the number of civil complaints arriving at the ACRC is on the steady rise. The personnel and organizational resources of the Commission have to be stretched thin to deal with all complaints. Then, protection of civil rights can't be swiftly provided on the site.

Therefore, there is a need to consider a policy promoting local ombudsmen from a long-term perspective so that they can deal with prevention and resolution of civil complaints filed on local affairs. In the meantime, the ACRC needs to focus on nation-wide or social issues. Based on this belief, the Commission will remain committed to supporting the expansion of the Local Ombudsman and strengthening its capabilities.



Part 3

Fighting Corruption

Chapter 1 Coordination of Anti-Corruption Efforts in the Public Sector

Chapter 2 Monitoring of Corruption and Violation of the Code of Conduct

Chapter 3 Anti-Corruption Education and Campaigns

Fighting Corruption

Chapter 1

Coordination of Anti-Corruption Efforts in the Public Sector

1. Establishment & Implementation of Anti-Corruption Policy Guidelines for 2010

The ACRC set the anti-corruption policy goal for 2010 as “Transparent Advanced Country with Happy People.” The basic policy directions are: to maintain high levels of integrity in the public sector in the 3rd year of the incumbent administration; to prevent any waste of budgets in the process of implementing major government-led projects; and to strengthen nationwide and international cooperation and improve the national image through enhanced transparency.

The eight main tasks to implement these directions are:

- to support each public organization’s voluntary anti-corruption efforts;
- to evaluate the levels of integrity in the public sector;
- to disseminate a culture of integrity through anti-corruption training and campaigns;
- to improve laws and systems in corruption-prone areas;
- to improve effectiveness in the detection of and punishment for corrupt practices;
- to reinforce public service ethics;
- to encourage public scrutiny over corruption and protect whistleblowers; and
- to strengthen public-private partnerships and international cooperation against corruption.

At the beginning of the year, the ACRC establishes “Anti-Corruption Policy Guidelines” to be delivered to public organizations. On January 15, 2010, it held a meeting to present the guidelines to more than 980 inspectors.

The guidelines consist of internal and external assessment of Korea’s national integrity, analysis of anti-corruption policy environment, high-priority tasks of the year, request for cooperation with the ACRC, and anti-corruption best practices of the previous year.

The ACRC requested each public organization to set up and implement their own anti-corruption policies by referring to the major tasks of the year in the guidelines.

2. Measurement of Corruption and Assessment of Anti-Corruption Initiatives

Integrity Assessment

Overview

As corruption is a social phenomenon that should be tackled, an accurate assessment of corruption-prone areas and levels of corruption is needed to effectively implement anti-corruption policies.

For this reason, the Presidential Commission on Anti-Corruption came up with Integrity Assessment to measure corruption in 1999. After three rounds of pilot tests, it finalized a framework for the assessment system. Since 2002, the ACRC (formerly Korea Independent Commission Against Corruption) has conducted Integrity Assessment every year. The ACRC has expanded the number of public organizations subject to assessment from 71 organizations (348 tasks) in 2001 to 474 (1,573 tasks) in 2009, and to 707 (2,395 tasks) in 2010.

Assessment framework

The parameter of the assessment, the level of “integrity” consists of external and internal integrity. “External integrity” is



composed of “corruption index,” “transparency index” and “accountability index” while “internal integrity” is divided into “integrity culture index” and “work integrity index.”

The “corruption index” of “external integrity” refers to the level of corruption such as the acceptance of gratuities, entertainment or convenience experienced or perceived by citizens and public officials. Meanwhile, the “transparency index” means the degree to which public officials comply with various standards and procedures in a transparent and fair manner in the performance of official duties. The “accountability index” represents the level of efforts made by public officials to complete their duties according to public service ethics without abusing authority.

The “integrity culture index” of “internal integrity” represents the prevalence of corrupt practices and effectiveness of anti-corruption policies. The “work integrity index” refers to the level of transparency and fairness in public officials’ performance of duties related to personnel management, budget execution and work instructions without pursuing their personal gains.

Target organizations

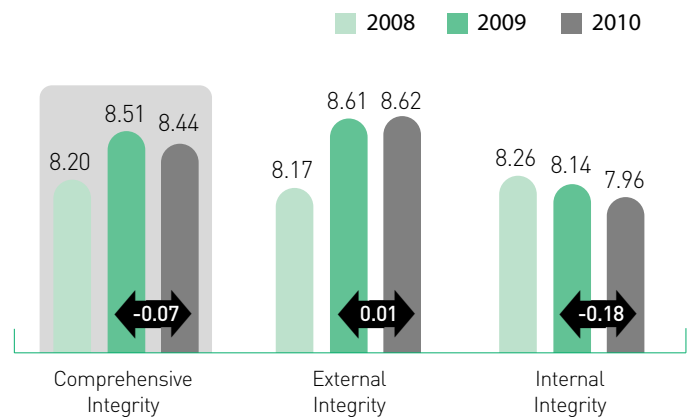
In 2010, the ACRC assessed “external integrity” of 707 public organizations, and “internal integrity” of 710 organizations. 706 public organizations were assessed for both external and internal integrity to produce the “comprehensive integrity index.”

Findings from the 2010 Integrity Assessment

Comprehensive Integrity

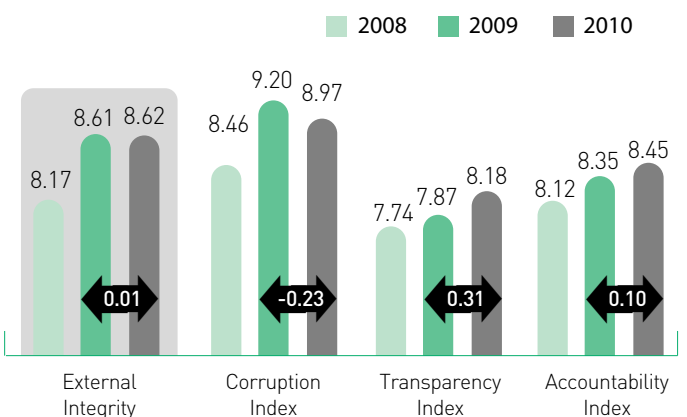
The average score of “comprehensive integrity,” combining both external and internal integrity, of 706 public organizations was 8.44 out of 10, 0.07 points down from 8.51 in 2009. While

the average score of “external integrity” of 707 organizations was 8.62, 0.01 points up from the previous year, the “internal integrity” score of 710 organizations was 7.96, 0.18 down.



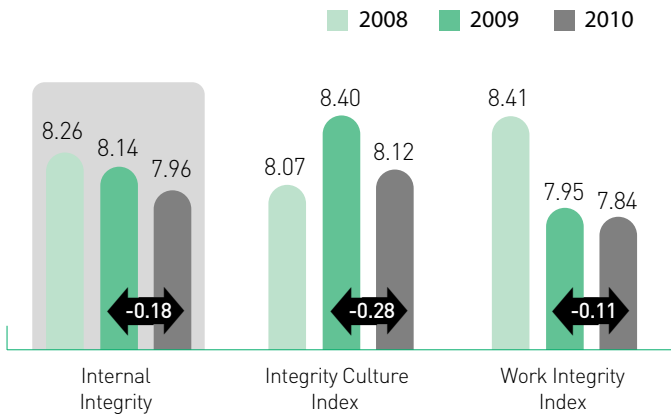
External Integrity

The “external integrity” score of public organizations in 2010 was 8.62, 0.01 points up from the previous year (8.61 points in 2009). Although the “corruption index” is relatively high compared to other indexes, it showed a 0.23 point decrease from the previous year to 8.97. The “transparency index” stood at 8.18, the lowest among the three external integrity indexes. However, it showed the highest improvement of 0.31 points from the previous year.



Internal Integrity

The “internal integrity index” measured against 710 public organizations was 7.96 on a scale from zero to ten, 0.18 points down from a year ago. The “integrity culture index,” which reflects organizational culture and anti-corruption systems, scored 8.12, dropping by 0.28 from the previous year. The “work integrity index” also decreased by 0.11 to 7.84 points.



Utilization of the findings and future plan

The findings from the 2010 integrity assessment indicated that the public organizations newly included in the assessment showed very low levels of integrity (233 organizations newly went through integrity assessment in 2010); and that a considerable number of public organizations, which had been assessed as low in the previous year, failed to improve their integrity levels. For those organizations with a low level of integrity, the ACRC recommends improvement measures, shares best practices of integrity measures, and provides consultancy on improving their integrity.

Anti-Corruption Initiatives Assessment (AIA)

Overview

The Anti-Corruption Initiatives Assessment (AIA) is aimed at assessing the appropriateness and effectiveness of anti-corruption initiatives being implemented by each public sector organization. It can be characterized as a comprehensive assessment mechanism that covers various areas of anti-corruption and integrity initiatives. The fundamental objective of the AIA is to spread best practices in the fight against corruption across the public sector as well as to encourage each public organization to make more efforts in enhancing its integrity.

An assessment team consisting of the ACRC’s staff evaluated the implementation of major anti-corruption measures by each public organization. As for areas requiring a qualitative evaluation such as action plans, best practices and voluntary efforts, an outside research agency conducted the assessment. The ACRC assessment team also made on-site visits to the organizations subject to the assessment in order to increase the objectivity of the assessment.

Assessment criteria

The assessment framework is designed to promote each public organization’s practical and voluntary efforts for fighting corruption, and consists of three factors: “common initiatives,” “voluntary initiatives,” and performance results.

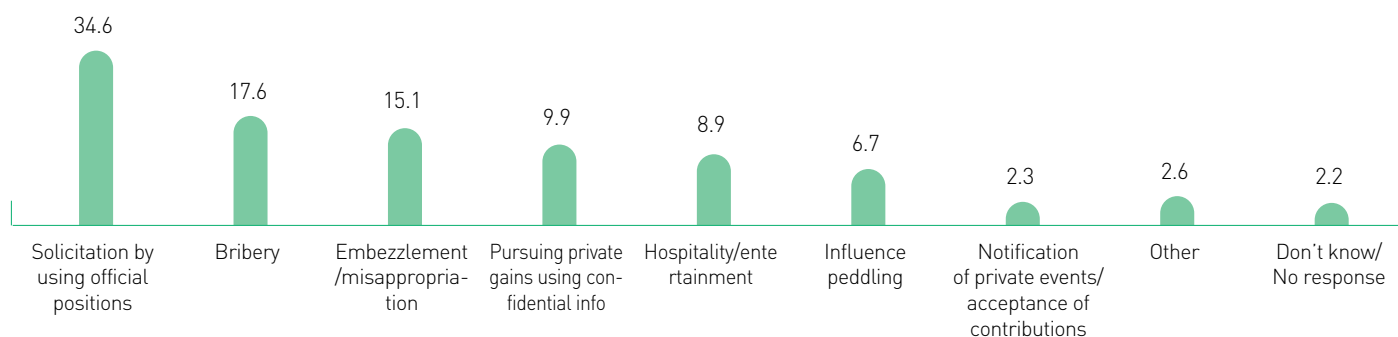
The “common initiatives” were divided into the following six criteria, based on an analysis of corruption-causing factors in public organizations, including the nature of duties and the characteristics of corruption.

- Establishment and management of anti-corruption systems: establishment of anti-corruption systems; promotion of public-private partnership; and introduction and dissemination of best anti-corruption practices
- Leaders’ determination to fight corruption: the results of a survey of internal staff (20%) and anti-corruption performance of the leader (80%)
- Measures for institutional improvement: implementation and effectiveness of the recommendations made by the ACRC; voluntary efforts for institutional improvement; and anti-corruption best practices
- Anti-corruption training and promotional activities: completion of anti-corruption training; development of anti-corruption training courses; and efforts to raise awareness of corruption issues
- Corruption Impact Assessment: degree of cooperation in conducting the Assessment and implementation of recommendations made by the ACRC
- Compliance with the Code of Conduct for Public Organization Employees and promotion of whistleblowing: introduction and implementation of the Code of Conduct and whistleblowing systems; performance results; and willingness to comply with the Code of Conduct.

The assessment of “voluntary initiatives” involves each public organization’s creative initiatives according to their own characteristics, including overall improvement of corruption-prone areas and activities to enhance integrity of public officials. The

Most common type of corruption in public service (2010)

(General public, n=1400, total respondents, unit: %)



assessment criteria for “voluntary initiatives” consist of appropriateness of action plans; implementation of action plans; and effectiveness of anti-corruption measures.

Organizations subject to assessment (193 public organizations)

- Central government agencies (39): 17 ministries, 18 services, 1 office & 3 commissions
- Local governments (36): 16 metropolitan cities and provinces; and 20 cities, counties and districts
- City and Province Offices of Education (16)
- Public corporations and quasi-government agencies (102)

Findings from 2010 Assessment

The 2010 AIA showed that public organizations have made improvement in establishing and implementing sustainable and voluntary anti-corruption policies, which is attributable to the ACRC's effort in helping public organizations strengthen their capability to implement anti-corruption policies.

Yet, anti-corruption activities of some organizations only focused on one-off events and top-down training which is not based on voluntary participation of employees. The biggest problem was that a considerable number of public organizations passively repeated past activities without analyzing the outcomes of previous policies and making efforts to improve them.

The ACRC sends a comprehensive report of the AIA, assessment results by criteria, and an analysis of best-performing organizations to the organizations subject to the assessment. The Commission encourages them to make voluntary efforts to improve the areas that were found to be unsatisfactory according to the assessment results, and benchmark best practices of other organizations.

In 2011, the ACRC will make greater efforts to help public organizations implement anti-corruption initiatives effectively, by focusing on poor-performing local governments and public companies. It will also enhance the AIA system by, for example, adding improvement in the “integrity index” to the assessment criteria.

Corruption Perceptions Survey

Overview

Since 2002, the ACRC has been conducting corruption perceptions surveys every year to make a times-series analysis of public perceptions of corruption and to determine the effectiveness of specific anti-corruption policies. The survey is designed to understand the perceptions of general citizens, public servants, foreign residents, entrepreneurs and opinion leaders about Korea's corruption status and anti-corruption.

The Corruption Perceptions Survey is necessary to analyze the corruption levels of the public sector and society as a whole, and trends in the experience and perception of corruption; and to identify corruption causes and their impact; to assess government's efforts and achievements in fighting corruption; and to determine top priorities for anti-corruption policies. The findings from the survey are used as basic data to establish anti-corruption policies, and disclosed through media reports to raise public awareness of corruption issues.

Findings from Corruption Perceptions Survey 2010

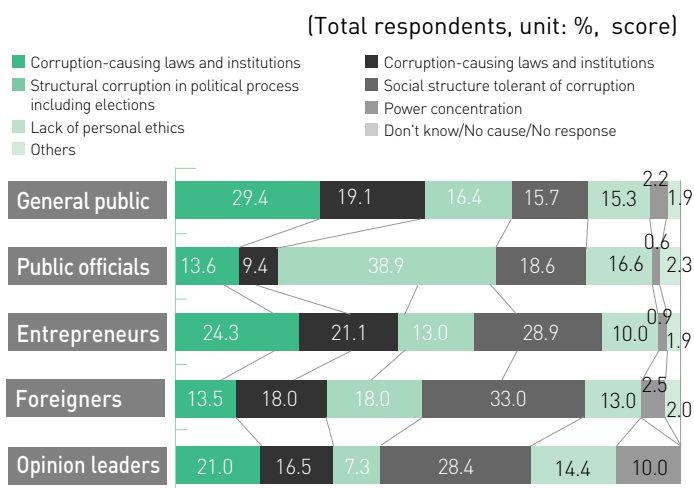
Most common type of corruption

The general citizens surveyed cited “solicitations by using official positions” (34.6%) as the most common type of corruption in Korea's public sector, followed by “bribery” (17.6%), “embezzlement or budget misappropriation” (15.1%), and “pursuing personal interests by using confidential information obtained in the performance of official duties” (9.9%).

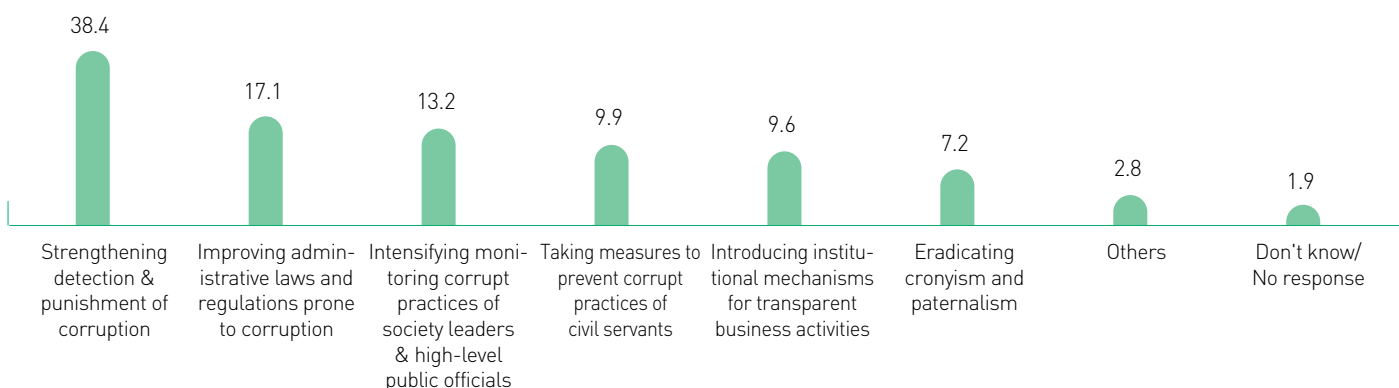
Corruption causes in Korean society

As for the biggest causes of corruption in Korea, the general public cited “lenient punishment for malpractices and corruption” (29.4%) and “legal systems and institutions conducive to corruption and unreasonable administrative regulations” (19.1%). In contrast, business people perceived “social culture tolerant of corrupt practices” (28.9%) and “lenient punishment for malpractices and corruption” (24.3%) as the primary corruption factors, while public officials and foreigners pointed to “structural corruption in political process including elections” (38.9%) and “social culture tolerant of corruption” (33.0%) respectively.

Corruption causes in Korean society (2010)



Top priorities to reduce corruption (2010)



Top priorities to reduce corruption

Questioned about the first priorities to reduce corruption, the general citizens cited “strengthening detection and punishment” (38.4%), “improving laws and institutions conducive to corruption and unreasonable administrative regulations” (17.1%) and “reinforcing monitoring of corruption committed by social leaders and high-ranking public officials” (13.2%).

Development of Integrity Assessment Model by Individual/Unit

Development of a model to assess integrity levels of high-ranking officials

High-ranking officials' integrity and commitment to fighting corruption are crucial factors to improve the levels of integrity in the public sector, and as such, a higher level of integrity is expected from those officials. For these reasons, the ACRC designed a model for integrity assessment targeting individual high-ranking officials in 2010.

Assessment criteria

The assessment criteria consist of 19 items including fair performance of duties and ethical private life. The specific items were determined based on a comprehensive review of various factors including assessment necessity, relation to integrity, availability of data collection and acceptability.

Organization of the assessment team

The assessment team comprises superiors, colleagues, subordinates and duty-associated external parties. A separate assessment panel was also formed to compare assessment results.

Questionnaire design

The questionnaire consists of items which are more specific than those used in the Likert Scale questionnaire, and the definition of each criterion, scope, examples and guideline are provided below each question to guarantee accurate evaluation.

The ACRC plans to develop diverse assessment criteria to reflect different characteristics of individual organizations and provide various assessment options, including the organization of the assessment team, which each organization can select and apply to meet their needs. The Commission will also assist each public organization in conducting the integrity assessment of individual high-ranking officials on a voluntary basis.

Development of a model to assess integrity levels of internal units/subordinate agencies

The ACRC developed a model to assess integrity levels of internal units and subordinate organizations in 2010 so that those units or organizations dealing with such affairs as permission, approval, supervision and inspection can address the possible occurrences of corruption.

Assessment criteria

Assessment criteria consist of representative items selected according to research results and similar surveys (integrity assessments on public organizations and high-ranking officials). In principle, the criteria of the integrity assessment model for public organizations have been applied.

Assessment target

Target areas are those closely related to public livelihood including construction, civil engineering, environment and food hygiene. Considering the possibility of overlapping with those for the integrity assessment for public organizations, each organization can select assessment targets in accordance with the nature of their organization.

The ACRC plans to develop a simplified model of assessment methodology and framework for internal units and subordinate organizations so that each public organization can conduct the assessment on a voluntary basis.

3. Corruption Impact Assessment

Overview

In 2010, the Corruption Impact Assessment placed its focus on supplementing assessment items to address new corruption types such as interest conflict and inappropriate execution of budgets; and to remove loopholes in assessment, which helped remove corruption-causing factors from statutes systematically and scientifically.

By enhancing assessment of corruption-prone areas with structural weakness such as education; and current statutes related to power abuse and long-standing malpractices, we could see fruitful results including reduction of special education budgets, abolition of the system for special education budgets, cut-off of favor or preferential treatment of local autonomy heads and transparent process of bus operation subsidy granting.

Common tasks related to local statutes and rules of public service organizations which are representative blind spots in terms of corruption monitoring, were selected to apply to 260 local autonomies and 700 public service organizations. For the selected tasks, ACRC conducted a comparative evaluation so that it was able to devise 18 recommendations for an area of a local statute and 40 recommendations for 2 areas of public service organizations.

The acceptance rate of relevant organizations regarding the recommendations on modification was 90.7% in October 2010, up from 85.3% in 2009. The approval lay in the fact that evaluators strengthened their expertise related to evaluation; the ACRC's recommendations were given after having a thorough consultation with relevant organizations in the course of assessment, which resulted in solidified mutual trust between the ACRC and relevant organizations; and the implementation status of the recommendations was regularly checked.

Thanks to the ACRC's efforts such as development of assessment items, introduction of comparative assessment method and close cooperation with each organization for improving acceptance rate, central administrative agencies and local governments consider the Corruption Impact Assessment an effective policy tool to fight corruption.

Major achievements

Corruption Impact Assessment of enactment and amendment bills

Over the year of 2010, the ACRC conducted the corruption impact assessment on 1,269 enactment or amendment bills requested by relevant legislative agencies; and recommended improvement for 402 corruption-causing factors inherent in 182 laws and regulations (14.3%) to relevant organizations.

Improvement recommendation by statute and sector (2010)

Sector/Statute	Total	Administra tionEdu	Edu Culture	Defense Veteran	Financial Economy	Industry devlp	Science Info	Environment Health	Criminal Judicial
Laws to be improved	182	8	29	3	19	80	5	31	7
Recommendations	403	28	62	4	51	172	12	58	16

Improvement recommendation by statute

Out of 182 statutes which needed to be improved, 60 were laws with 71 Presidential decrees, and 51 Prime Minister's degrees and Ministerial ordinances. As shown above, more recommendations were given to laws (21.6%) than enforcement decrees (13.8%) and enforcement rules (10.8%).

Improvement recommendation by sector

By sector, the recommendations were given in the following order: industry and development (172 cases in 80 laws), education and culture (62 cases in 29 laws) and environment and public health (58 cases in 31 laws).

Improvement recommendation by work

By type of work, public services such as licensing, permits, certifications and designations occupied 21.1% of all recommendations for amendment, followed by objectivity in forming various commissions and transparency in their administration (16.1%); and subsidy and support (11.2%).

Improvement recommendation by assessment criteria

By assessment criteria, transparency of administrative procedures, appropriateness of discretion and easiness of compliance took up 176 cases (43.6%), 155 (38.4%) and 72 (17.8%) respectively out of the total 403 recommendations.

Improvement recommendation by ministry

By Ministry, the recommendations were given in the following order: Ministry of Land, Transport and Marine Time Affairs (81 cases in 45 laws), Ministry of Knowledge and Economy (68 cases in 23 laws) and Ministry of Health and Welfare (32 cases in 17 laws).

Corruption Impact Assessment of current statutes

Initiative to guarantee practical Integrity Pact

To improve fairness and transparency of public sector contracts, the ACRC prepared an improved legal bill to make "Integrity Pact" mandatory in contracts related to construction,

products and services by conducting Corruption Impact Assessment on "the Act on Contracts to Which the State is a Party" and "the Act on Contracts to Which a Local Government is a Party"; and recommended the Ministry of Strategy and Finance and the Ministry of Public Administration and Security to improve the concerned statute.

Corruption Impact Assessment regarding corrupt contractors

To improve transparency of public contracts, the ACRC conducted corruption impact assessment on major statutes related to contracts of public organizations such as "the Act on Contracts to Which the State is a Party," "the Act on Contracts to Which a Local Government is a Party," "Contract Management Rules of Public Corporations and Quasi-Government Agencies" and "the Local Public Enterprises Act" to ensure that sanctions are imposed on contractors violating important contract-related acts and to help make reasonable adjustment for unclear sanction standards and minor sanction causes. In this regard, it made 9 recommendations which were delivered to the Ministry of Strategy and Finance, the Ministry of Public Administration and Security, and the Public Procurement Service to improve concerned statutes and rules by December 2010.

Corruption Impact Assessment regarding transparent execution of profits of the gambling industry

By conducting 3 statutes related to profits of the gambling industry such as "National Sports Promotion Act," "Act on Korea Racing Association" and "Bicycle and Boat Racing Act," the ACRC made improvement recommendations to remove opportunities of wasting budgets beyond the original purposes and guarantee transparent usage of profits. In this regard, it recommended the Ministry of Culture, Sports and Tourism and the Ministry of Food, Agriculture, Forestry and Fisheries to improve the concerned statutes by September 2011.

Corruption Impact Assessment of municipal ordinances

In the 2009 corruption impact assessment on autonomous rules, the purpose was to expand the assessment system. In this sense, the ACRC selected 4 institutions by local autonomy type; evaluated all the concerned autonomous rules together with each institution; and tried to expand the assessment system to all local governments.

However, the 2010 assessment was conducted only on autonomous rules with corruption-causing factors. The 2009 assessment was done on common or similar autonomous rules in an overall manner while the 2010 assessment focused on specific rules of certain areas in a concentrated manner.

In addition, the ACRC conducted a corruption impact assessment on ordinances and autonomous rules related to bus operation subsidy to identify areas to be improved. Through a corruption impact assessment on autonomous rules on budgets, it tried to prevent cases where preferential treatments or favors are given, which, in turn, guarantees fairness and transparency of budget execution and enhances competitiveness of local governments.

Corruption Impact Assessment of internal regulations of public companies

Public service organizations should maintain a higher level of fairness and transparency in providing public services to protect public interest than private companies. However, ineffective management resulting from insufficient external control systems and lack of responsible management often led to reckless management and moral laxity.

Against the backdrop, the ACRC introduced "Corruption Impact Assessment System regarding Internal Regulations of Public Service Organizations" in 2007 to help the organization strengthen internal control on a voluntary basis for improvement of transparency and integrity.

Comparative assessment of common regulations and identification of best practices

Public service organizations have conducted the assessment of internal regulations on a voluntary basis, and requested the ACRC's assessment when necessary. However, the voluntary assessment had limitation as the assessment was conducted only on some regulations and improvement tasks with no relation with corruption were identified.

For the reason, the ACRC directly conducted assessments on regulations closely related to corruption-prone areas to find improvement tasks and best practices; and disseminated the outcomes with all organizations so that they can make a benchmark.

For 102 target organizations, the ACRC compared and reviewed regulations on common affairs such as personnel affairs, usage of operating expenses, contracts only to find best practices and 25 improvement tasks which were recommended to 649 public service organizations.

Recommendation of improvement tasks regarding regulations on deliberation and legislative committees

Various committees where experts from diverse sectors participate in decision making process are widely introduced to improve fairness and transparency of policy making process on the level of governance. However, we continue to witness corrupt practices which compromise credibility of decisions made in the course of operation of such committees.

Under the situation, the ACRC conducted the corruption impact assessment on internal regulations of committees that public service organizations operate to identify improvement tasks and best practices so that it could contribute to their fair and transparent operation.

Out of 686 deliberation and legislative committees operated by 102 public service organizations, the ACRC focused on committees which were established and operated based on statutes or made importance decisions related to major duties. By reviewing regulations of more than one committee of each organization, it conducted comparative analysis on the total 106 regulations; and identified 15 improvement tasks which were recommended to all public service organizations.

Support for public companies' voluntary Corruption Impact Assessment

In principle, the corruption impact assessment on internal regulations of public service organizations is conducted on a voluntary basis. The process is that a department responsible for policy making prepares and submits internal regulations to be enacted with additional information to evaluation departments such as legal team and audit team; the evaluation team evaluates the submitted document according to the criteria of Corruption Impact Assessment and notifies the policy making department; and areas to be improved are addressed if any.

When voluntary improvement and modification are deemed impossible, the concerned organization may ask for the ACRC to conduct assessment.

In 2010, the ACRC made diverse efforts in supporting voluntary corruption impact assessment of public service organizations. It produced and disseminated "Manual & Cases of Corruption Impact Assessment on Internal Regulations of Public Service Organizations"; provided employees in charge with relevant training; held "Workshop for Improvement of Common Regulations" to explain the purpose and desirable direction of improvement.

In addition, it also offered "Session for Improvement of Common Internal Regulations" to public service organizations which are not included in the target list of Assessment of Anti-Corruption Initiatives. Through the explanation session, it laid the foundation for expanding Corruption Impact Assessment to all public service-related organizations and improving integrity of the overall internal regulations through common regulation improvement.

Future direction

The ACRC is planning to strengthen corruption impact assessment against internal regulations of public service organizations which serve as the standard for policies affecting people's lives in order to guarantee fairer and transparent administrative services.

As for major regulations which are directly related to people's lives with serious corruption-causing factors, the ACRC will be committed to improving the overall regulations of concerned organizations by conducting comparative assessment and sharing best practices; and strengthening ways to remove corruption-causing factors by linking with corruption impact assessment on statutes.

Together with this, it will make efforts in helping concerned organizations conduct practical and effective voluntary assessment by offering staff training, workshops and best practices of corruption impact assessment. Additional efforts will be made to devise corruption control schemes to enhance external control on internal regulations through guidelines on disclosure of internal regulations.

Chapter 2

Monitoring of Corruption and Violation of the Code of Conduct

1. Handling of the Report of Allegations of Corruption

Handling of the report of allegations of corruption

Reports of allegations filed through the Center for Corruption Report are identified as allegations of corruption or general allegations before being further processed. Allegations of corruption by government officials, including, but not limited to, violations of code of conducts are assigned to the Corruption Investigation Division or the Code of Conduct Division to be reviewed and handled. Allegations that do not claim corruption and are general grievances in nature or repetitive are handled directly by the Center for Corruption Report.

Allegations that meet the criteria of corruption prescribed by Article 2 Subparagraph 4 of the Anti-Corruption and Civil Rights Commission Act are first investigated and verified by

investigators before being reviewed by main review members of the commission. Allegations that meet the final approval of the Commission are then transferred to the Board of Audit and Inspection, law enforcement agencies, or governing agency of the accused agency (hereafter referred to as 'investigative agency').

The investigative agencies that receive allegations of corruption are required to complete audit, criminal investigation, or inspection of the allegations within 60 days and report the result to the ACRC within 10 days of the completion of the investigation. Even though allegations are initially identified as allegations of corruption, they can be directly transferred to appropriate agencies to be individually handled when investigation fails to strongly substantiate the accusations.

Number of reports received and handled

Dating back to the launch of the Korea Independent Commission against Corruption (January 25, 2002), which has been merged into the ACRC (February 29, 2008), a total of 19,573 reports have been filed; 1,820 of which were allegations of corruption and 17,753 were general grievances.

< Corruption reports received by year >

(unit : number)

Division		Total	2002	2003	2004	2005	2006	2007	2008	2009	2010
Reports		19,573	2,572	1,679	1,763	1,974	1,745	2,544	1,504	2,693	3,099
Allegations of corruption	Subtotal	1,820	137	113	102	137	242	290	237	280	282
	Corruption	1,315	137	113	84	95	175	211	158	190	152
	Violation of code of conduct	505	-	-	18	42	67	79	79	90	130
General grievances		17,753	2,435	1,566	1,661	1,837	1,503	2,254	1,267	2,413	2,817

Excluding 72 cases currently under investigation as of the end of 2010, the ACRC has transferred 749 cases to investigative agencies (including 3 denunciation cases), notified the accused

of 228 violations of the Code of Conduct, transferred 8,426 cases to government agencies, and closed 10,098 cases.

< Corruption reports handled by the ACRC >

(unit : number)

Category	Total	Transfer to investigative agencies	Notify violation of the Code of Conduct	Forward to agencies	Closed
Reports handled	19,501	749	228	8,426	10,098

* Excluding 72 cases currently under investigation

Cases transferred to investigative agencies

In the period of 9 years, a total of 749 (including 3 denunciation filed) reports of allegations of corruption were transferred to investigative agencies. Excluding 53 cases undergoing investi-

gation as of the end of December 2010, 696 cases were notified. Among those cases, 70.4% of the reports were substantiated (possibility of reports leading to the detection of corruption).

< Number of cases transferred to investigative agencies by year >

(unit : number)

Category	Total	Transfer to investigative agencies				Rate of conviction (②/①)
		Completion of investigation			Under investigation	
		Subtotal ①	Substantiated ②	Unsubstantiated		
Year	749	696	490	206	53	70.4
2002	74	74	47	27	-	63.5
2003	100	100	67	33	-	67.0
2004	66	66	48	18	-	72.7
2005	82	82	53	29	-	64.6
2006	83	83	63	20	-	5.9
2007	92	92	70	22	-	76.1
2008	65	65	44	21	-	67.7
2009	106	96	67	29	10	69.8
2010	81	38	31	7	43	81.6

Looking at 490 cases whose allegations of corruption were substantiated by investigative agencies, 1,122 people were indicted (including 45 people who were issued stay and suspension of indictment) and 987 were reprimanded (including 704 who received caution or notice). 106 received cautions and 36 were charged with corruption, dismissed, or resigned. Other actions such as institutional reform were taken as a result of 32 cases and the total amount of financial collection or redemption that was levied due to corrupt activities detected reached 171.2 billion KRW.

Breakdown of the main investigative agencies to which the 749 cases were transferred is as follows: police agency-242 (32.3%); the Supreme Prosecutors' Office-226 (30.2%); the Board of Audit and Inspection-113 (15.1%); central administrative agencies 98(3.1%); local government agencies-57(7.6%); and others-13(1.7%)

Of 81 people who were accused of corruption in 2010, the most were members of private sector agencies standing at 46(56.8%). They were followed by 13(16.0%) from local governments and state-owned enterprises, 7(8.6%) from central government agencies and their subordinate organizations, and 2(2.5%) from local education organizations.

In terms of nature of corruption, defrauding various subsidy, support fund and money from construction bidding process was the most common offense at 34(42.0%), followed by public

fund embezzlement and misappropriation(18, 22.2%), offer and acceptance of bribery(11, 13.6%), violation of budget and financial regulations(5, 6.2%), abuse of power or dereliction of duty (4, 4.9%), inappropriate handling of business affairs(4, 4.9%), and document forgery and manipulation(1, 1.2%).

46 cases (56.8%) were transferred to the Supreme Prosecutors' Office, 22 (27.2%) to the National Police Agency, 8 (9.9%) to central government agencies, 1 to the Board of Audit and Inspection, and 2 to others.

Collecting and handling whistle-blowing reports

Of the 749 corruption cases that were transferred to investigative agencies during the period of January 2002 to December 2010, 315 (42.1%) reports were whistle-blowing cases. Excluding the 31 cases currently under investigation, 75.0% of the 284 reports were substantiated, and this rate is higher than 70.4% that applies to the whole corruption reports.

Upon the conclusion of investigation of 213 cases of whistle-blowing cases, 1,014 individuals were punished and indicted. The especially noteworthy fact is that the total amount of financial collection and redemption due to corruption detected was almost 105.1 billion won, which was 61.4% of the entire amount subject to collection and redemption of 171.2 billion won. It is evidence that supports whistle-blowing as an effective tool to detect corruption.

2. Employment Restrictions for Public Officials Dismissed for Corruption

The ACRC Act sets forth the restrictions on employment of government officials dismissed for corruption that aims to not only secure all government officials' commitment to ethics in executing their duties but also prevent conflicts of interest following dismissal.

Number of public officials dismissed for corruption

Based on the records submitted to the ACRC by public agencies, the number of officials dismissed for corruption from the second half of 2005 until the first half of 2010 tabled at 1,519. Central government agencies reported the most at 629, followed by 413 from local governments, 359 from state-owned enterprises, and 118 from local offices of education.

In terms of type of removal from office, 704 officials were expelled from office, 526 were dismissed, and 289 forced to retire. In corruption type, receiving bribery and entertainment was the most common corruption received by 970 officials. 351 were charged with embezzlement and misuse of public funds, 56 were charged with abuse of authority and dereliction of duty, 30 were charged with forgery and manipulation of document, and 112 were charged with other violations (including inappropriate handling of business affairs and violation of budget and financial regulations).

Monitoring of employment status of public officials dismissed for corruption

The ACRC inquired the National Health Insurance Corporation (NHIC) to examine the employment status of officials dismissed for corruption based on the reports submitted by agencies twice a year. And the ACRC discovered a former education officer finding employment at a restricted state-owned enterprises and a state-owned enterprise employee finding employment at a private sector company with which he had business while he was a government official. The ACRC committee reached a resolution to report the two individuals to relevant public agencies to charge them with offences.

3. Corruption Status Inspection

Review of management of fishery industry subsidy

Background

Subsidy for fishery industry is substantial and has been under continuing scrutiny by the media demanding fundamental reform of its management and oversight, and handling individual cases of corruption after occurrence had been recognized as an ineffective to eradicate corruption.

Despite continuing monitoring efforts by the Ministry of Food, Agriculture, Forestry, and Fisheries and local governments, corruption of management of fishery industry subsidy continues to prevail and official review was launched.

From February 25 to April 7 of 2010, 5 local governments receiving substantial subsidy were placed under review for major subsidy areas including decommissioning of coastal fishery vessels, autonomous fishery management organizations, and supply of tax-free oil fuel.

The inspection identified the following issues:

- ▲ Possibility of forging the record of port entry and exit in relation to the project to decommission coastal fishery vessels and lack of oversight of managing proxy report centers by the Coastal Guard
- ▲ Lack of oversight and control by officials in charge of autonomous fishery management organizations
- ▲ Supplying tax-free oil fuel to vessels with expired licenses and unreasonable time-record system adopted to prevent fraudulent use of tax-free oil fuel

Follow-up measures

Following measures were recommended to relevant agencies including the Ministry of Food, Agriculture, Forestry, and Fishery and the National Federation of Fishery Cooperative:

- ▲ Action to strengthen monitoring of the proxy port entry/exit reports
- ▲ Establishment of vessel decommissioning review committees at fishing village cooperatives
- ▲ Action to strengthen monitoring of members including auditors and secretary generals of fishing village cooperatives
- ▲ Action to modify the time-record system and introduce free-pass system for vessels nationwide
- ▲ Action to implement sanctions for failing to submit production record and develop practical plans to utilize production records
- ▲ Action to prohibit vessels

with expired licenses from using tax-free oil card and develop other improvement measures.

Review of management of agricultural industry subsidy

Background

Of the 668 reports of corruption the ACRC transferred to investigative agencies such as prosecutors' offices and police agencies from 2002 to 2009, 160 (24.0%) corruptions were related to government subsidymaking it the most common violation, and corruption involving agricultural subsidy was the biggest problem of the government subsidies with nearly 30.0%.

The media has continued to raise issues regarding systematic problems of management and monitoring of agricultural subsidy, and it was deemed necessary to conduct on-site investigation into the matter.

Of nearly 220 areas involving agricultural subsidy, three areas including eco-friendly agriculture were selected in consideration of the size of subsidy, audit records, and media attention. The review was conducted from April 29 to May 26 of 2010 at five local governments and local National Agricultural Cooperatives Federation chapters concerned.

The review identified following issues:

▲ Fraudulent acceptance of subsidies for rice production, eco-friendly agriculture, and farmland transfer ▲ Benefiting specific individuals and/or agricultural corporations repetitively without conducting fair analysis of business effectiveness ▲ Excessively profiting from sale of organic fertilizer to farmers

Follow-up measures

In order to promote transparency of executing agricultural subsidy, prohibit loss of national fund, and improve effectiveness of the policy, the ACRC requested Ministry of Food, Agriculture, Forestry, and Fishery to investigate each fraudulent case and retribute the subsidy.

Following measures were recommended to prevent future violations:

▲ Establish a comprehensive management system combining the Ministry of Food, Agriculture, Forestry, and Fishery and the Korea Rural Community Corporation in their effort to monitor subsidy ▲ Disclose and share information on subsidy pay-

ment by household and farmland ▲ Enforce stronger sanctions such as additional collection and suspension of subsidy payment ▲ Multi-faced measures to improve on-site monitoring

Review of management of public welfare subsidy

Background

Frequent problems of officials embezzling subsidy for the public in under-privileged status persisted despite continuing efforts by the government, and outcries for foul play in executing the subsidy were heard loudly at the site.

Based on the size of subsidy, audit records, and media coverage, 4 major projects including senior citizen care service with increasing demand for subsidy were put under review at 5 local governments and local NHIC offices from September 14 to October 15, 2010.

The following issues were identified:

▲ Long-term care for senior citizens: filing for wage without providing service, extending service hours, stealing identity of qualified service providers to claim wages for unqualified service providers ▲ Senior citizen employment assistance service: claiming duplicate wages and providing assistance to unqualified recipients ▲ Mobility assistance service for people with disabilities: duplicate service fee claims by similar service providers

Follow-up measures

In order to enhance transparency of executing public welfare subsidy, prohibit loss of national fund, and improve effectiveness of the policy, the ACRC notified the Ministry of Health and Welfare to investigate each case of fraudulent subsidy and collect the amount.

Following measures were also recommended to increase transparency of long-term care service for senior citizens to prevent misuse of government budget and ensure policy effectiveness:

▲ Develop at least 1 facility run directly by each local government to be used as a standard of public welfare service ▲ Develop work guideline for long-term care provider and monitor abundance of work standard ▲ Include service care providers as 'long-term care provider representative' in

long-term care committee ▲ Improve 'service provide record sheet' that is filled manually ▲ Enforce stronger administrative sanctions against care facilities, service providers, and service recipients for illegal and inappropriate actions ▲ Impose geographical restrictions when hiring care providers so that they can be easily monitored by officials in charge ▲ Multi-faced action plans including effective monitoring system by offering differentiated subsidies with adjusted agency evaluation items

Review of management of small and medium-sized enterprise support fund

Background

Subsidy for small and medium-sized enterprises(SME) is substantial and has been under continuing scrutiny by the media demanding fundamental reform of its management and oversight, and handling individual cases of corruption after problems were committed had been proven to be ineffective in eradicating corruption.

Despite continuing monitoring efforts by agencies in charge such as the Small and Medium Business Administration(SMBA) and the Korea Evaluation Institute of Industrial Technology(KEIT), corruption of SME subsidy such as research fund embezzlement and misappropriation of subsidy for business incubators continues to prevail and official review was performed.

From November 17 to December 2, major projects (R&D and new business center support) that have repeatedly been the subject of corruption recently were put under investigation at 5 government agencies including local SMBA offices.

Following issues were identified as a result of inspection:

- ▲ Members without proper qualification and/or in conflicts of interest being selected as committee members to determine subsidy recipients
- ▲ Failure to restrict the participation of projects that misappropriated the subsidy and failure to bring charges against enterprises that embezzled the support funds
- ▲ Misappropriation of operating budget of business incubator

Follow-up measures

Misappropriation of operating budget by the business incubator was notified to the SMBA and the misappropriated amount

was demanded to be restitute along with measures to prevent future violations.

Following measures were also recommended to relevant agencies including the SMBA and the KEIT:

- ▲ Verify documented qualifications of review members
- ▲ Establish a system to register unfaithful and/or unfair review members
- ▲ Restrict companies that misappropriated subsidy from further participation and bring formal charges against
- ▲ Develop detailed processes and scope of denunciation
- ▲ Implement measures to prohibit the business incubator center from forcing school development fund
- ▲ Penalize agencies that misappropriate operating fund for business incubator center by reflecting it in the agency evaluation

4. Operation of Code of Conduct for Public Officials

History and overview

The Code of Conduct for Public Officials

The Code of Conduct for Public Officials applicable to national and local government officials was enacted on February 18, 2003 as presidential decree and entered into force on May 19, 2003. On the same day, local governments and each central government agency established and put into effect their own code of conduct based on the decree. In September of 2003, all judicial offices including the court, the National Election Committee, and the Constitutional Court with an exception of the National Assembly adopted their own versions of code of conduct.

The Code of Conduct for Public Officials enacted by a Presidential Decree was amended three times since then on December 9, 2005, November 5 and December 31, 2008. Members of local parliaments became excluded from it when a separate Code of Conduct for Local Parliament Members was put into effect on November 2, 2002.

Code of Conduct for Employees of State-owned Enterprises and Organizations

Under the recommendation of the ACRC, 404 state-owned enterprises and corporations nationwide enacted and implemented Code of Conduct for Employees of State-owned Enterprises and Organizations in September 2004. With the amendment of Article 8 of the Anti-Corruption Act in July 2005, the code of conduct for public officials expanded to public organization employees. Following the demand of the ACRC in April 2006, all state-owned enterprises and organizations including state-funded agencies established and implemented the Code of Conduct for Public Organization Employees as a form of official policy with approval from board of directors or head of organization as of June 1, 2006. To support organizations to successfully impose the code of conduct, Guideline of Code of Conduct for Public Officials that include Code of Conduct for Public Officials (Standard) was completely amended on December 31, 2008. As of December 2010, 659 state-owned enterprises and organizations are upholding the Code of Conduct for Public Organization Employees.

Code of Conduct for Local Council Members

Following extensive study and discussions, the ACRC developed the proposal of Code of Conduct for Local Parliament Members and collected feedbacks for 4 months from January 2010 from 556 agencies including central government ministries and local parliaments. Results were reflected to the proposal in collaboration with major agencies including the Ministry of Public Administration and Security and the Ministry of Government Legislation. After undergoing review, notice of legislation, approval by all committee member meeting, review by the Ministry of Government Legislation, review by vice minister committee, and approval by the Cabinet Meeting, the Code of Conduct for Local Parliament Members was proclaimed on November 2, 2010 to be entered into force on February 3, 2011. Code of Conduct for Local Parliament Members prescribes 15 ethical standards local parliament members must abide by along with detailed descriptions of administrative procedure of implementing it.

Operation of Code of Conduct

Promotion of best practices

By identifying exemplary practices of code of conduct at each agencies and sharing the cases, the ACRC has endeavored to

motivate agencies to voluntarily uphold the code of conduct and share and develop it. Out of 229 practices it received from 78 agencies, a committee comprised of ethics officers and anti-corruption experts selected 23 exemplary practices and recommended 956 agencies to adopt these practices.

The result was also published and distributed as 2010 Best Practices of Code of Conduct for Public Officials, and further efforts such as reflecting result of adopting best practices to anti-corruption review result and utilizing them as educational material were made, resulting in 140 agencies adopting 349 practices. 83% of officials in charge of code of conduct at each agency answered positively when asked whether 'the practices were helpful for self-motivated observance of code of conduct' by a PCRM survey. It is clear that the efforts of the ACRC to meet the demands of agencies for assistance with anti-corruption measures through discovery of know-how to execute code of conduct are being highly appreciated.

Review of proposals for drafting or amending the code of conduct

In order to provide effective assistance to each agency with efforts to establish and/or amend code of conduct, the ACRC conducts a review of establishment or amendment proposals submitted by each agency and recommends changes when necessary. The result of the reviews has become a valuable asset by becoming reflected to policy reviews, being used to monitor implementation of code of conduct as well as being used to educate officials in charge of code of conduct. To facilitate effectiveness of the review process, the ACRC hosted a seminar on May 19, 2010 for officials in charge of code of conduct from 113 state-owned enterprises and organizations and collected their latest code of conduct. Code of conduct of 110 agencies were carefully reviewed by studying how effectively they reflected the Code of Conduct for Public Organization Employees and Guideline of Code of Conduct for Public Officials and their detailed lists of standards and individual codes in terms of conflicting matters.

Providing advice and information on the implementation of the code of conduct

The ACRC supports each agency with implementing their code of conducts by providing assistance and interpretation of various questions on Code of Conduct for Public Organization Employees and Guideline of Code of Conduct for Public

Officials. An average of 200 questions a month or 2,500 a year are received via telephone or official documents, and eCLEAN System developed as a part of the Public Interest Administrative Information System dedicated to the subject received almost 200 questions per year. Since the enactment of the Government Officials' Code of Conduct in 2003, the number of questions being served has been steadily increasing from 37 in 2004 to 40 in 2005, 125 in 2006, 129 in 2007, 192 in 2008, 203 in 2009, and 209 in 2010. In 2006 and 2008, when there were significant amendments to the code of conduct, the counseling session soared accordingly.

Providing education on the code of conduct

The ACRC is also committed to providing continuing code of conduct education for government officials. To motivate voluntary implementation and facilitate understanding, the ACRC provides video material for every course of the office-sponsored integrity education curriculum. It also hosted seminars for officials in charge of code of conducts where information such as best practices and challenges were shared. At the request of agencies, a total of 48 (27 in 2009) training sessions were provided on site in 2010.

Producing and supplying training materials on the code of conduct

Various materials were produced and distributed to be used for training sessions and raise awareness. Ideas that seemed complicated were presented in easy-to-understand formats using examples and illustrations in a booklet titled 'Understanding the Code of Conduct for Public Officials', and the 800 booklets were distributed in integrity training sessions for high-ranking officials, integrity on-site training, and external training sessions. Best practices submitted by agencies were collected and published in a booklet titled 'Code of Conduct for Public Officials in Practice' and were distributed to 962 agencies.

Customized consulting session

The ACRC launched its Customized Code of Conduct Consulting for the first time in 2008 which were well received by public organizations. The customized consulting session was expanded from 3 agencies in 2008 to 4 in 2009. In 2010, the tailor-made consulting session was conducted for 5 agencies: the Office of Education of Jeju Special Self-Governing Province, the Korea Appraisal Board, the Seongbuk District

Office, the Korea Land and Housing Corporation, and the Korea Food and Drug Administration.

The Customized Code of Conduct Consulting Sessions target unique characteristics and conditions of each agency, conduct in-depth analysis of problems, and offer highly specialized measures to promote the implementation of code of conduct. Subjects are carefully selected and investigation is provided on site to minimize burden. The consulting service is believed to be effective in strengthening the implementation of code of conduct by diagnosing weaknesses and proposing solutions in a way to best promote voluntary improvement. The formats of administering active discussion with high-ranking officials of subject agencies is proven to be successful in raising consensus and developing practical solutions and is being scheduled to expand to more agencies.

Seminar for officials in charge of the code of conduct

To facilitate implementation of code of conduct, a seminar for officials in charge of code of conduct for 83 newly-designated state-owned enterprises and organizations and 31 agencies that failed to submit their code of conduct operation record to the ACRC in the previous year was held on May 19, 2010. Participants were able to reaffirm the meaning and purpose of code of conduct thanks to detailed interpretation of policies and were informed on key information necessary to implement and prescribe code of conduct for their agencies. Based on information submitted by each agency, case studies of actual code of conduct in practice and noteworthy facts specially catered to organizations that is newly implementing the code of conduct were at the focus of the seminar.

Investigation and monitoring of the code of conduct

Any violation of code of conduct by government officials can be reported to the ACRC or the official in charge of code of conduct. When a charge is substantiated by investigation in accordance with Article 10 of the ACRC Act, the result must be reported to the head of the violator's agency or the head of relevant supervisory organization who must report the follow-up actions back to the ACRC.

In accordance with Article 9 of the ACRC Act (Enactment and Implementation of Code of Conduct), the ACRC also conducts investigation and monitoring of implementation of code of conduct by public organizations.

Evaluation and future plans

The Code of Conduct for Public Officials has come to represent the standard of ethics and integrity of services in the community of government officials. To satisfy ever-increasing demand for government officials' ethical standard by the public, the ACRC is working hard to ensure the code of conduct is effectively and successfully instilled in every government official and public office. Such efforts include establishing the Code of Conduct for Local Parliament Members and enhancing detailed implementation plans and system; enhancing training and promotion; expanding on-site consulting; identifying best practices; publishing and supplying training materials such as a case book of violations; reviewing individual code of conduct and recommending changes; and inspecting and monitoring code of conduct implementation.

In 2011, support for local parliaments to successfully implement its code of conduct is in the works in addition to developing fee & honorarium guidelines for external speeches and lectures to ensure reasonable application of the policy. By providing various training, consulting, and review services, the ACRC is planning to provide more practical support needed by each agency. On-site support with training, promotion, investigation, and review will continue as well. The ACRC is committed to do its best to make sure the code of conduct takes a deeper root in the community of government officials in 2011.

filed, Notice of Protection and Reward for Informant is sent to relevant agencies and officials to minimize causes attributable to the informant and ensured that disadvantages due to reporting do not aggravate.

In order to facilitate cooperation amongst government agencies in handling cases requiring informant protection, the ACRC hosted a seminar with the Police Agency on October 2010 followed by seminars with 'Meeting with Whistleblowers' (June/October/December of 2010), 'Advisory Lawyers' (November 2010), 'Korea NeuroPsychiatric Association' (December 2010), and internal forum to discuss information and ideas (July/December of 2010). In June and December of 2010, follow-up study of informants was conducted, and finding of the study enabled the ACRC to provide better service for informants such as notifying protection and reward system in addition to medical assistance system and listening their ideas for improvement.

The ACRC signed an MOU with the Korea NeuroPsychiatric Association on April 21, 2010 for medical support in addition to establishing and implementing Guideline for Medical and Legal Assistance for Informants of Corruption, which allowed informants suffering psychiatric problems to seek free medical assistance.

Cases requiring informant protection by year

From its launch in 2002 to the end of 2010, total 116 cases or an average of 10 cases a year required protection of informants or their cooperators. 79% of those cases, 92, occurred after July 2005 when relevant legislation was amended. In 2010 alone, there were 9 requests for guarantee of position, 3 requests for physical protection, and 1 request for guarantee of confidentiality, bringing the number of protection requests to 13.

5. Protection and Reward for Informants

Protection of informants

Preventive and cooperative protection effort

A Protection Officer is assigned to cases that require protection of informants from the moment allegations of corruption are reported. When a request for protection of informant is

< Request for protection of informants/witnesses by year >

(Unit: case)

Category	Total	2002	2003	2004	2005	2006	2007	2008	2009	2010
Total	116	7	2	6	22	15	17	20	14	13
Guarantee of position	96	4	2	4	20	12	15	18	12	9
Physical protection	16	3	-	2	1	2	1	2	2	3
Guarantee of confidentiality	4	-	-	-	1	1	1	-	-	1

Of the 96 requests for guarantee of position, 31% of them or 30 requests were approved, 17 were dismissed, 33 were withdrawn, and 14 were dispositioned. Of the 30 requests for guarantee of position that were granted, 21 (70%) were able to reclaim jobs, 5 were transferred, 2 were provided with job placements, and 2 received exemption of duty.

In terms of fines levied for violation of identify protection regulation, 2002 recorded 2cases, 4 cases for 2004, 1case in 2006, 2cases in 2007, 3cases in 2009, and 1case in 2010, and the total amount reached 56.5 million won and an average of 4.35 million won per case. There have been a total of 16 requests for physical protection since 2002; 11 of the requests were approved, 2 were dismissed, and 3 were dispositioned.

Of 4 requests the ACRC received from informants demanding to confirm the protection of their identity, 3 cases revealed the violation of informant identity protection and necessary sanctions were issued to responsible officers and 1 request that was not in the scope of corruption reporting was dispositioned when it was withdrawn.

Awards and rewards for informants

Awards and award money by year

From 2002 to 2010, the ACRC awarded 33 informants for their contribution to corruption prevention in the form of government award and the ACRC recognition.

Those who reported cases resulting in promoting of the public interest, brining substantial financial benefits to public organizations or preventing public organization from incurring financial losses received financial award for their services. The amount reached 321.5 million won for a total of 33 cases.

<Whistleblowers who received awards>

(Unit: person)

Division	Total	Order/Merit medal	Presidential recognition	Prime Minister recognition	ACRC recognition
Total	33	1	6	13	13
2003	3	-	-	-	3
2004	5	-	1	4	-
2005	11	-	2	4	5
2006	8	1	2	2	3
2007	3	-	-	2	1
2008	-	-	-	-	-
2009	2	1	1	-	-
2010	1	-	-	1	-

< Award money paid by year >

(Unit: million won)

Year	Number of awards	Amount of rewards
Total	33	321.5
2006	3	35
2007	8	50
2008	6	100
2009	6	77.5
2010	10	59

* Award money paid for cases reported after July 21, 2005

Reward money by year

A total of 1.93 billion won were paid out as monetary reward for 131 cases from 2002 to 2010, which is 92% of the total 142 cases the ACRC received request for reward. Of the 11 requests that were not approved, 8 requests did not meet payment criteria, 2 requests were suspended for further review, and 1 request was withdrawn by applicant.

Government reclaimed almost 22 billion won as a result of 131 reports of corruption from 2002 to 2010 and ended up paying 2,377,609,000 won as reward averaging 18,140,000 won per request. Average rate of reward compared to the total amount reclaimed stands at 10.8% and is increasing yearly.

Improvement measures for informant protection and reward policy

Strengthening the protection of contingent workers

Contingent workers who report corruption can request the ACRC to take actions to guarantee protection against discrimination when renewing employment contract.

Reward for employees of government offices

In accordance with the ACRC Act, grounds should be prepared for establishment and implementation of a regulation that allows head of government offices to reward corruption informants who qualify for government award or reward.

Clarifying the scope of investigation for protection

Notwithstanding Paragraph 2 of Article 29 that limits investigation, definition of the ACRC's role must include investigation into protection-related issues within the scope of cases that have been ruled, settled, arbitrated, or adjusted.

Strengthening protection of collaborating witnesses

Collaborating witnesses for reporting, collaborating witnesses during the process of litigation, as well as collaborating witnesses during the process of investigation and execution of

< Reward money paid by year >

(Unit: won)

Year	Request	Approved	Others	Reward money payable	Reward Amount
Total	142	131	11	21,954,733,31	2,377,609,000
2002	1	1	-	7,430,000	743,000
2003	4	2	1 withdrawn, 1 rejection	1,114,962,340	73,744,000
2004	5	5	-	1,609,320,740	98,298,000
2005	19	17	2 rejection	3,669,619,859	268,868,000
2006	21	19	2 rejection	1,037,070,176	84,654,000
2007	26	26	-	2,049,584,101	277,340,000
2008	19	18	1 rejection	2,149,406,979	328,175,000
2009	20	20	1 rejection	5,811,771,029	642,146,000
2010	26	23	1 rejection, 2 suspension	45,05,568,093	603,641,000

protection request all must be subject to equal scope of protection of guarantee of position, physical protection, exemption of duty, and assumption of disadvantage just as the informants receive.

Establishing additional corruption reporting facilities and clearly defined application procedures for reporting

Reporters who report cases to other agencies should be defined to be subject to fiduciary duty and reporting process, and additional facilities to allow transfer of reports or direct reporting to agencies where corruption is being committed are called for.

Implementing reward repayment system

When corruption is reported and gains from corruption are reclaimed by local governments or state-owned enterprises and organizations, the ACRC awards the reporter monetary reward in respect to the corruption amount and requires convicted government offices to repay the amount of reward within 3 months. Failure to do so without just cause should be defined as a legal ground for forcible execution in accordance with disposition for failure in tax payment procedure.

Defining time restriction for reward claim

Five years of time restriction has been additionally imposed to claim reward from the date of completion of litigation involving reclaim of gain from corruption.

Elevating and modifying the legislation that defines reward repayment policy

The ACRC and offices that paid reward according to other regulation should reclaim the reward when 'informant of corruption received the reward using false or unlawful methods or claimed duplicate reward for the same corruption'. Informants

or public offices ordered to repay or return the reward but failed to do so by due date are prescribed to be handled according to disposition for failure in tax payment procedure.

Proposal for introducing protection system for public interest violation informants

Background

In addition to corruption committed by the public sector, acts harming public safety, health, hygiene, or the environment by the private sector poses serious threat to the well-being of the society by destroying public trust and civil rights, requiring massive finance to restore not to mention the difficulty of restoration. With increasing threat to the public welfare posed by escalating drain on tax payers' money particularly at the hands of those who manufacture and distribute harmful food or environmental damage, lack of a system protecting citizens who report such violations is significantly restraining the activities of public interest informants.

Adopting a credible protection system for informants who report violations of public interest that is widely regarded as a cost-effective social safety net is expected to not only reduce administrative burdens but also save financial burden. Eventually, it can lead to promotion of civil rights, national competitiveness, and the value of national brand.

Progress

For 3 months from June to August in 2008, the ACRC held 6 meetings to collect opinions of related experts and people such as those who experienced ACRC informant protection work, civil organizations, jurists, and academia. The open forum was held on October 30, 2008 at the ACRC Integrity

Education Center. To study the system in greater depth, Research of Introducing Protection System for Public Interest Informant was commissioned to be carried out from August 18 to November 16 in 2008. Act on the Public Interest Informant Protection (Proposal) that was drafted based on the research findings and sent it to relevant ministries (December 5~December 15, 2008) before being announced pre-announcement of legislation (December 22, 2008~January 12, 2009).

After undergoing corruption impact assessment, regulation deliberation, consultation with the Ministry of Justice and the Ministry of Labor, and examination by the Ministry of Government Legislation, the finalized Draft for Enactment of the Public Interest Informant Protection Act was submitted to the National Assembly on October 29, 2009. And on December 1, 2009 Congressman Yunkeun Woo tabled a bill the Act on the Protection of Public Interest Violation Reporter. The two proposals were presented to the Political Governmental Committee on February 17, 2010 that forwarded them to legislation subcommittee. The 1st round of legislative review and hearing was held on April 19 and 26 of 2010 followed by the 2nd round of review (June 24, 2010) and the 3rd round of review (September 13, 2010).

Key issues raised during reviews

Discussion topics at the hearing on April 26

○ Legislation title

- Scope of 'report' is limited to simple transmission of facts while 'inform' subjects administrative agencies to the duty of reception and handling in addition to transmission of facts.
- Informants are prohibited from reporting anonymously, under false presence, or with illicit purposes as to prevent abuse of the reporting system.

○ Material evidences

- It is necessary to require evidences to prove violation of public interest same as corruption reporting

○ Additional reception channels

- When assessing whether facts disclosed via media should be considered as 'report', it was deemed probable to accept allegations reported by the media, which is more accessible, as long as there are no legal grounds to sanction agencies that receive such report for purposely delay-

ing the launch of investigation.

- As the media and civil organizations often receive reports of major corruption and violations of public interest, informants who submit allegations to the media, civil organizations, and congressmen should also receive proper protection.

○ Expansion of the scopes of public interest subject to reporting

- Scope of reporting should be expanded to include such issues closely related to day-to-day activities of the public such as protection of consumer rights, fair trades, and corruption committed by private education institutions.

○ Transfer of burden of proof when informant suffers disadvantageous measures

- Imposing on informants who claim to suffer disadvantageous measure of 1 year from the date of reporting may be problematic, but there still is a need for certain time restriction.

○ Application of Act on Protection of Specific Crime Informant

- When there is a concern of being subject to retribution, the Act on Protection of Specific Crime Informant can be applied to provide special protection during the course of investigation and criminal procedures.

○ Introduction of reward system

- Problem of financial burden on government and abuse of system by professional informants should be addressed by strengthening qualification criteria by limiting reward payment to cases that result in fine or penalty.
- Duplicate reward claim for an identical case should be strictly prohibited and regulation to reclaim rewards paid out unlawfully or incorrectly should be implemented.

○ Need for psychiatric protection

- Informants may suffer from psychiatric problems by being singled out.
- Utilizing public health doctor system can be considered.

○ Protecting the privacy of the accused

- Require investigate agencies to protect the privacy of the accused including personal information and charges until allegations are substantiated following investigation

○ Recommending emergency measures

- When violation of public interest persists and potential of irrevocable damage is imminent, emergency measure to halt or suspend the action can be imposed on investigative agencies in charge.

○ Protection agency

- The ACRC has built knowhow with its comprehensive protection system specialized in protection of informants of corruption, including disadvantage assessment, exemption of duty, guarantee of position, reward, and medical and legal assistance.
- Actions taken against the private sector in regard to reporting are identical to the ones taken against public sector in their fundamentals, and employees who report corruption committed by private enterprises have received protection they needed.

Decisions ruled by the 3rd Legislation Review Committee on September 13

○ Legislation title

- 'Informant' is deemed appropriate terminology in relation to 'reporter', and the legislation should be titled 'act on protection of public interest informants'

○ External reception channels including the media

- It is not appropriate to define the scope of reception channels as 'prescribed by presidential decree'
- The issue requires careful review since the media is not an approved channel of reception for corruption reporting
- A measure to recognize reports filed through the media can be considered only when administrative agencies fail to take actions after a certain period of time elapses following reporting

○ Granting the investigative power to the ACRC

- Informant information can be verified by the ACRC for reports filed directly to the office and later transferred to relevant administrative agencies

○ Scope of violation of public interest report

- Since it requires immediate actions, 'consumer rights' should be considered to be included in the 'life, health, and environment of the public' part.
- The field of 'Securing fair competition' faces severe conflicts of interest, so reflecting it should be carefully considered to prevent abuse of the reporting system.

- Violations of public interest according to education-related legislation should be regulated under the corruption control regulations of the ACRC Act.
- The ACRC strongly demanded to expand the scope of violation of public interest to fair trade and consumer protection areas that are closely related to day-to-day activities of the citizens.

Chapter 3

Anti-Corruption Education and Campaigns

1. "World of Integrity" Campaign

Overview

The ACRC designated the year of 2010 as the banner year for enhancing national integrity, and conducted various private-public cooperative campaigns.

The background behind the "World of Integrity" campaign was as follows. Compared to its economic strength as the world's 15th largest economy, Korea does not have a high level of integrity in society, which serves as a breeding ground for corrupt practices and as an obstacle to prevent the country from joining the ranks of advanced countries. Advanced countries maintain a high level of integrity suitable for their economic power as all social sectors abide by practices based on ethics and integrity thanks to integrity of public officials and transparency of government.

In this sense, to make a turning point for improvement of integrity, Korea needs to see 1 million public officials committed to making anti-corruption and integrity efforts a way of life. In particular, Korea had to improve its level of integrity and anti-corruption efforts in line with its soared national position in the international society as it chaired the G20 summit in 2010. For the reason, the ACRC opened up the campaign for "World of Integrity" to make integrity life mandatory for public officials and a way of life for general public.

Promotional materials

A campaign brand "World of Integrity" was developed after 2010 was declared as the banner year for making Korea a country of integrity. The brand was developed in various forms to be used by all such as administrative agencies, public service organizations and the private sector after going through a 2-step process of naming and design, advice collection from PR experts, meetings with relevant stakeholders and 3 rounds of PCRM surveys among ACRC staff. The brand, "World of

Integrity" contains our commitment to making Korea a corruption-free, transparent and fair society where all people are happy.



Brand logo



Brand emblem

The design of the brand expresses the spirit of purity and cleanliness through water drops spreading from the word of "Han (韓)" positioned in the center to conjure up a bright and promising image. Its primary color is dark blue symbolizing integrity, honesty and trust with secondary colors of sky blue, green and yellow which give feelings of familiarity and sensitivity.

The developed brand has been utilized for Internet banners, badges, official documents, PR stickers, etc. In addition, an integrity song was developed and distributed to 667 organizations as part of PR contents.

Street campaigns

In the run up to the World Cup grabbing all people's attention, the ACRC conducted the Campaign for Integrity Korea in places where people gathered for street cheering. On June 12, 17 and 23, the campaigns were conducted in 10 places including Seoul World Cup Stadium, Suwon and Incheon World Cup Stadiums, Daegu Dongseongno and Busan Station Square at the same time. The campaign was also seen in Insa-dong and fall mountains.



Street campaign combined with World Cup cheering

Examples of brand images used in official documents



서민을 따뜻하게 중산층을 두텁게

기획재정부



품격있고 활기찬 커뮤니케이션 일류국가

방송통신위원회



2. Anti-Corruption Education

Integrity training for public official

Integrity Training Expert Courses

The "Integrity Training Expert Course" was first opened in 2003 to foster key members for promotion of integrity targeting inspectors and staff responsible for ethics of public service. Since then, the courses have been critical to integrity education for expanding integrity culture.

The 21 training courses include the central government agency course, the local government agency course, the education administrative agency course, the teacher course (principal, vice-principal and teachers), the public service organization course, 10 tailored courses (including construction, budget execution, contract and police), the lecturer training course, the integrity training for the promoted and newly employed, the life-long study staff course and the middle manager course which are offered for one, three or five days.

In particular, the middle manager course for manager-level public officials was first opened in 2010 so that the integrity training which was centered on low-ranking officials has been expanded to high-ranking officials. The course for staff responsible for life-long study, which is closely related to general public, also contributed to expansion of integrity education.

In 2011, the ACRC plans to expand courses for middle manager-level public officials and to add specific education courses. Training contents such as corruption cases and integrity best practices will be also tailored to the nature of trainees to improve their capability of responding to corruption cases with which they are faced in performing their duties. the ACRC will ensure that training courses are more effective through education methodologies attracting a wider participation from trainees.

Cyber Integrity Training Course

To meet the increasing demand for integrity education, the ACRC started the cyber integrity training course for all public officials from 2006 as it enabled the collective education to overcome the time and place barrier.

The 10 rounds of the case-based course on code of conduct for public officials were newly offered in 2010. Diverse segments such as flash animation which easily explains violation cases, "cartoons for Integrity Korea" and "Meet Integrity on Street" were well received by trainees.

In 2011, the ACRC plans to overhaul the cyber integrity courses in 3 years to improve trainees' satisfaction and participation. To diversify education contents and expand training opportunities, new cyber courses will be developed.

Integrity education for high-ranking officials

the ACRC enhanced integrity education targeting high-ranking officials including agency heads in 2010 in consideration that their commitment to implementing anti-corruption policies is critical to integrity improvement.

From January to March 2010, it provided high-ranking officials and executives of central government agencies and public service organizations with integrity education. Together with this, it used diverse channels for integrity education including the advanced policy program for high-ranking officials supported by the Ministry of Public Administration and Security and hosted by Korea Development Institute where it offered a special lecture on integrity.



Integrity education for high-ranking public officials

< Participants in "Integrity Training Expert Course" >

Year	2003	2004	2005	2006	2007	2008	2009	2010	Total
No. of participants	71	669	504	562	2,133	2,655	2,361	2,659	11,614

< Participants in "Cyber Integrity Training Course">

	2007	2008	2009	2010
ACRC	7 classes, 2,325 trainees	7 classes, 3,340	15 classes, 6,018	30 classes, 16,145
Public organizations offering self-training	4 classes, 1,311 trainees	27 classes, 18,133 trainees	59 classes, 90,875 trainees	139 classes, 215,580 trainees
Total (Increase from previous year)	3,636 trainees	21,473 trainees (5.9 times)	96,893 trainees (4.5)	231,725 trainees (2.5)

From February 2010, the ACRC offered "Door-to-Door Integrity Education" to high-ranking officials above the manager level of local government, special regional administrative agencies under central Ministries and local public service organizations which had difficulty in participating integrity education courses offered by the Commission for geographical barrier.

In the survey, 86.6% of the respondents said "the education was constructive." 81.6% of the respondents agreed with the need of integrity education for high-ranking officials, which showed the importance of continued education for integrity.

Although the public required high-ranking officials to be equipped with a higher level of ethics and play a leading role in improving transparency and fairness of the government, the 2010 integrity survey of public organizations showed that unfair work instructions of high-ranking officials still existed. For the reason, the ACRC is planning to offer "Door-to-Door Integrity Education" on a regular basis to expand education for high-ranking officials including agency heads.

Integrity education for students

Adding integrity contents to elementary & middle school textbooks

To improve the level of the national integrity, it is important to help students have right integrity values. Detection and punishment are important, but more important are preventive activities including integrity education which is offered as part of public education.

In this sense, the ACRC has continuously made efforts in adding more integrity contents to the textbooks of elementary, middle and high schools. As the result, about 124 pages on integrity were included in the textbook of the required moral subject for high schools and 2nd grade of middle schools.

Through constant consultation with the Ministry of Education, Science and Technology, the ACRC successfully added two separate units of the total 53 pages such as "Constitutionalism and Ethics for Integrity and Anti-Corruption" and "Concept and Definition of Corruption" to a supplementary textbook for elementary and middle schools, "Global Leader, Korean Children's Values, Laws, Integrity and Filial Piety", published by the Ministry.

In 2011, the ACRC will try to expand textbook contents directly related to integrity. For example, contents on ethical obligation and value conflict will be included in the moral subject of the 3rd grade of middle schools; and a separate unit called "Corruption Phenomenon and Ethics" will be added to the optional subject of "Life and Ethics" for 2nd and 3rd grades of high schools.

Operation of Integrity Model Schools

Since 2008, the ACRC has designated and operated integrity research model schools where students can experience diversified experience integrity education and establish healthy values and correct living habits at school together with teachers and parents for 1 year. In 2010, it increased the number of participating schools to 36 across the nation; and the research period to 2 years as the model schools have been recognized as an institution providing whole-person education.

The 36 schools developed their own integrity education materials tailored to their students and operated a variety of experience programs such as integrity pact, integrity motto, UCC, cartoon character contest and integrity family motto. In addition, they helped all members recognize the importance of integrity and have right values by offering integrity training and integrity-related contests to parents and teachers.

With cooperation with local government organizations, an integrity PR team consisting of university students and mother keepers, education activities were diversified with a higher quality.

In the first year, schools set schedules for education on integrity concept and operation of research schools with development of integrity education materials. In 2011 as the second year, the ACRC is planning to strengthen integrity education based on developed materials and to spread integrity culture in schools and share positive effects with neighboring schools.

Development of integrity education contents

Development of integrity materials for secondary school students and their parents

As the result of the "Corruption Perception Survey of the Youth" targeting middle and high school students, the ACRC found that the youth had a somewhat negative perception toward integrity of Korean society. Despite the situation, systemic education to help them develop a sense of integrity is insufficient as Korea's education focuses on college entrance examination. For the reason, the ACRC developed "the integrity education materials for middle and high school students" and "the integrity education manual for parents" to help the youth acquire right values and attitude on integrity at school and at home as they are in the stage of forming their own values.

The education materials and the manual developed by the end of 2010 are to be posted on the ACRC website, making it possible for teachers and the general public to download and utilize them. Different from other materials, the recently developed materials will be timely revised to ensure that they can be used as effective materials with latest statistics on anti-corruption and integrity and improvement of legal systems and institutions.

Establishment of the website of Integrity Model Schools

To help schools strengthen integrity education and develop education materials tailored to students, the ACRC shared the outcomes of integrity education research model schools (36 schools in 2010) designated and operated by the Commission with other schools. The website of the integrity education model research school was also newly opened to provide

teachers, students and parents with opportunities of participating integrity education activities in cyber place.

It is expected that website visitors more easily understand and pay more attention to integrity by obtaining diverse information through the website where renewed menus offers quality, latest contents.

Quality contents usable for education are not effectively utilized if there is no channel to inform and provide them. In this sense, the ACRC will make effort in timely posting various education materials, valuable information and excellent research outcomes on the website so that it can operate the website as an useful channel to share "true integrity" with all users including public officials.

Integrity Training & PR Best Practices Contest

Based on the "Integrity Training Best Practices Contest" of 2009 centering on training institutions for public officials, the ACRC held this year the "Integrity Training Best Practices Contest" where all organizations included in the target list of assessment of anti-corruption initiatives could take part. The contest was designed to identify best practices related to integrity education and PR, offer incentives to selected organizations and share exemplary cases with others, which helped spread integrity culture to public officials and the general public.

Out of 193 organizations on the target list of the anti-corruption initiatives assessment, 95 (49.2%) took part in competition fields such as the administrative agency field and the public service organization field with creative and effective cases specific to their own organization. In the administrative agency field, the Daejeon Metropolitan Office of Education was selected as the best agency as high marks were given to their door-to-door integrity consulting for instructing teachers, coaches and parents of football and baseball school teams and private-public cooperative consultation body for integrity education.

< Winners of 2010 Integrity Training & PR Best Practices Contest >

[Unit: won]

Field	Best	Excellent	Good
Administrative agency	Daejeon Metropolitan Office of Education	Jeollabukdo Provincial Government	Gyeonggi Provincial Office of Education Ministry of Health & Welfare
Public company	Korea Expressway Corporation	Korea Land & Housing Corporation	KORAIL Incheon Port Authority

3. Anti-Corruption Campaigns

Programs to induce public participation

Writing contest for elementary/middle/high school students

Following the first Integrity Writing Contest for Elementary School Students was first held in 2009 to help those students recognize the importance of integrity by understanding values of "life with honesty," the ACRC held the second contest consisting of the on-line preliminary and the final in 2010.

The best award was given to Min-Young Park, 6th grade of the Booyoung Elementary School in Suncheon, who wrote about "our ancestor's wisdom on integrity that she learned from her experience of a conflict with a friend about homework."

The 3rd integrity writing contest for middle school students was held to instill integrity values in them. The contest consisted of the first on-line preliminary and the final.

The best award was given to Eun-Young Cho, 3rd grade of the Daedong Middle School of Gimhae, who wrote about "integrity makes happiness, follow integrity practices even for minor things."

The 3rd integrity essay contest for high school students was held to foster students' thinking and expression skills through logical writing and to improve their spirit of integrity and ethics. Considering that essay skills are important in college entrance exams, the ACRC tried to attract excellent students to the essay contest by increasing the level of the essay contest.

The best award was given to Seong-Gyun Jang, 2nd grade of the Shinrim High School of Seoul, who logically presented his opinion on constant efforts in making a transparent and fair society based on trust.

In 2011, the ACRC is planning to consolidate the three contests which were held on different dates and venues. Additional efforts will be made to attract more participation and raise the status of the contest, for example, by hosting the contest together with the press or media. To improve and complement the way of operating the contest, various opinions from teachers, parents and students will be collected.

University Student Integrity PR Group

The university student integrity PR group was established to improve their integrity values and spread integrity culture through their novel and creative PR ideas since they are the future leaders leading the nation.

The PR groups which were selected by team of each region made a considerable contribution to establishing integrity culture to the concerned region and spreading integrity values in campus by performing integrity campaigns, voluntary activities and club activities based on their own contents.

Individual teams focused their activities in the concerned region and university campus in 2009. However, in 2010, they additionally performed the suddenly given missions under the same themes such as "integrity PR activity during the World Cup" and "integrity Korea campaign in fall mountains."

The ACRC offered opportunities for university students to experience life at work such as "visiting to top 6 ethical companies"; to improve their refinement as global talents such as "workshop to learn anti-corruption trends of the international society"; and to expand their view by encouraging them to attend "the international anti-corruption symposium" in the second half of the year.

University Integrity PR Group activities of 2010



Sudden mission during the World Cup



Visits to companies with good ethical management practices

In 2011, the size, the number of teams and the PR activity period will be the same. However, monthly missions will be selected and notified in advance; monthly budgets will be paid in a flexible manner; team-level activities will be monitored; and consulting will be conducted in order to reap fruitful results.

Mother Guardians of Integrity

The "Mother Guardians of Integrity" were first selected in 2010 to spread integrity culture in local communities centering on schools. They went through a 2-step selection process.

In the first step, a team with 3 to 5 mothers of students submitted its application to the relevant metropolitan office of education which selected and recommended 1 or 2 teams to the ACRC. 29 teams were recommended in the first selection, and 8 teams of 38 mothers were finally selected from 4 metropolitan areas according to the selection criteria.

A survey of the mothers conducted after completion of the activity showed that interest on integrity increased by 74%p from 22.9% to 96.9% after performing the role of mother guardians of integrity. With positive results, there is high expectation on the future activity of mother guardians.



The 1st team members of the Mother Guardians of Integrity

Integrity Essay Contest

The 2nd contest of 2010 greatly expanded its participant scope compared to the previous year, serving as an opportunity for all walks of life to experience anti-corruption and integrity culture on a voluntary basis. It was designed to promote a transparent society, a healthy atmosphere in public service and improved ethics of public officials.

The 2011 contest will follow the basic structure of the previous contests, but will be placed more emphasis to attract more participation and raise its status through, for example, the co-hosting with a media company. Its schedule will be also set in line with programs for students so that increased participation can lead to sharing and promoting more excellent works.

Integrity Play Contest

The first integrity play contest for amateur players including high school youth was held to improve a spirit of integrity through recognition of life with honesty; and to spread integrity culture in society as a whole.

Although it was first held, many teams of high school students, university students, office workers and amateur players took part in the contest. 9 teams (1 high school student team, 2 university teams, 2 office worker teams and 4 amateur player

teams) were selected through the first preliminary process. In October 31 2010, the final plays were staged in the Wonder Space Semo Theater of Daehangno for about 4 hours. The best award was given to the drama team of Gyeongbuk University with the 10 minute discussion "Is it ok to live with corruption as we do?"

Field trips to historic sites of integrity

The field trip was designed in 2010 to find the true meaning of integrity in our time and establish values for being a desirable public official by visiting historic sites related to integrity and studying life of integrity led by great men.



The field trip to integrity historic sites was developed as part of efforts in diversifying education contents and improving education effectiveness as it served as an experience program where participants visit, feel and experience historic site.

Participants said that the field trip was useful in terms of its itinerary and contents with a great potential for being used as education contents. They proposed expansion of the field trip, for example, additional identification of men of integrity, diverse programs by trip course and subject with showing their willingness to benchmark it as their internal education program.

Development of integrity PR materials

Integrity documentary

As the previous documentary for integrity education was based on foreign cases, introduction of Korea's anti-corruption and integrity cases was insufficient. In this sense, the 2010 documentary for integrity education was produced to introduce Korea's best practices of integrity and anti-corruption as it could emphasize positive effects of efforts in fighting corruption and promoting integrity.

The title of the 15 minute-documentary is "Integrity, Promise for Bright Future" consisting of prologue, for becoming an advanced country with high level of integrity, integrity: prerequisite to survival and epilogue.

It mainly shows cases of the Ministry of Public Administration and the Ministry of Strategy and Finance which upgraded a system for preventing and punishing malpractices; of Korail which adopted strict policies on anti-corruption and integrity; of Posco and Yuhon Kimberly which were famous for ethical management; and pilot integrity research schools which provided integrity education for a future society with a higher integrity level. In addition, it also introduces the code of conduct for public officials, integrity consulting, corruption impact assessment, corruption report 1398, integrity assessment, University Integrity PR Group, transfer of anti-corruption, integrity policies to foreign countries and other important initiatives employed by the ACRC.

Video materials on integrity

Video materials for public officials

To improve a spirit of integrity and ethics of public officials, the ACRC produced two educational dramas, titled "Do you know what it is to be a public official?" and "Characters of public officials" respectively.

Considering proposals from diverse public organizations, the ACRC shortened the running time of the educational drama to 10~15 minutes from 25 minutes. The drama contents with day-to-day malpractices prone to corruption were designed to form a consensus and induce learners to change their mindset and attitude. Produced in DVD, the educational materials were distributed to about 1,800 administrative agencies and public companies.

Video materials for the general public

Video educational materials on integrity for the general public were first developed this year. Since there had been no visual materials separately produced for general public, the ACRC produced educational video materials specific to the target group. The video clip is posted on the "menu of special video viewing" of the website of Integrity Korea.

Animation for students

Following the positive outcomes of "Careless Moogchi's Home" produced last year, the ACRC made a sequel to "Careless Moogchi's Home" to help students understand the unfamiliar and difficult concept of integrity. The 2D digital animation features a righteous pet dog that talks episodes where elementary students faces day-to-day wrongdoings and overcome them only to come to know the meaning of fairness, honesty and integrity.

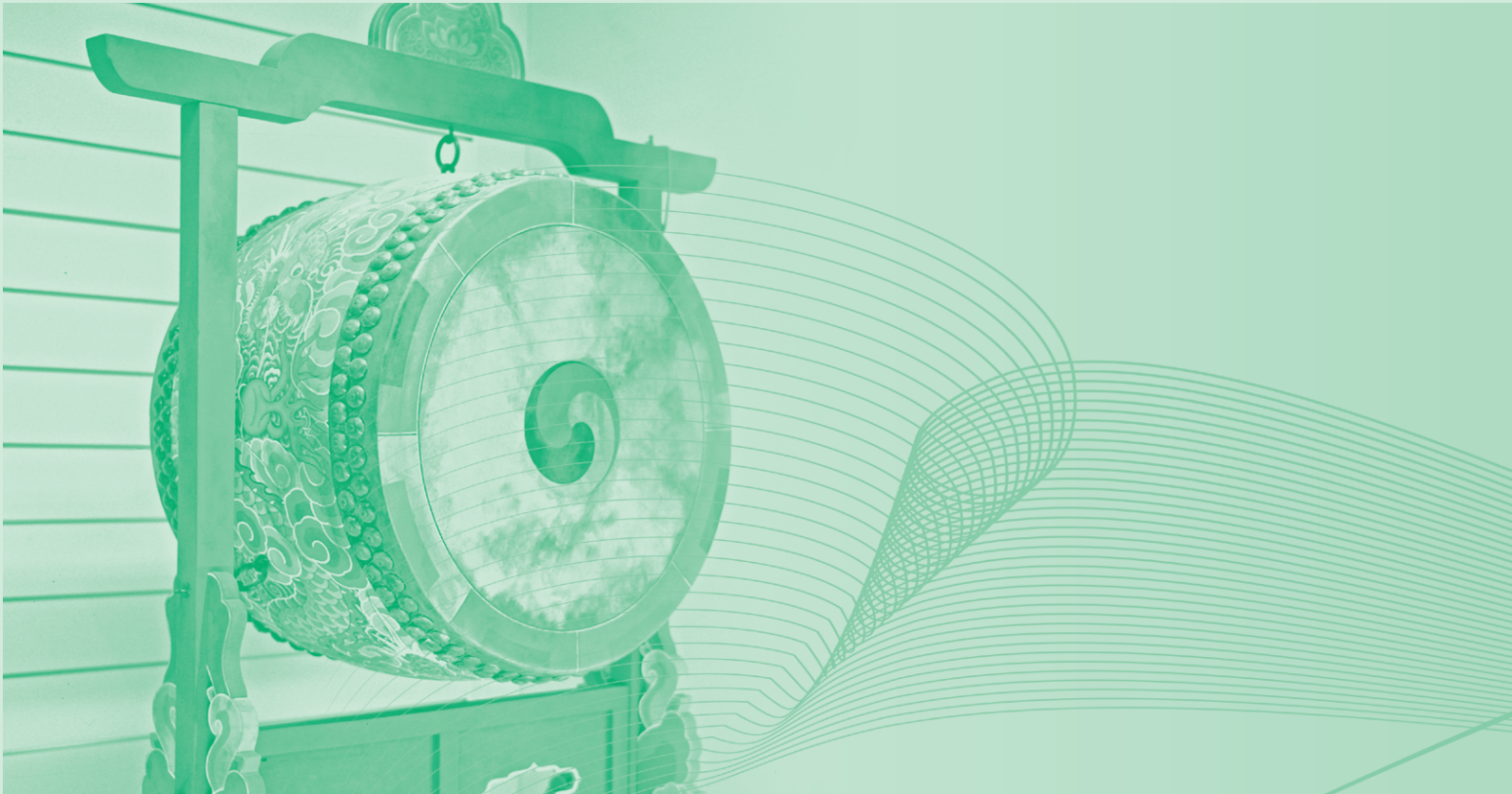
This year, the Commission aimed at improving the quality of educational and cultural contents to make them highly usable; and airing animations to reach a larger number of learners.

In this regard, it produced 8 additional animations befitting broadcasting. Through a partnership with EBS which is regarded as the best broadcast network in terms of quality and audience preference in the animation sector, it aired the total 13 works including 5 produced in 2009 in January 2011.

TV advertisement

For the reason that TV has the highest credibility, information delivery capability and influence among various media forms, the ACRC aired a public advertisement on corruption prevention on TV.

The 2010 TV public advertisement "Society of Integrity" was made with the purpose that the public can make Korea an advanced country where all are happy by spreading the culture of integrity and anti-corruption. Its message is that "your effort for integrity is the start of building a world of integrity and a happy nation."



Part 4

Improving Laws & Systems

Chapter 1 Overview of Institutional Improvement System

Chapter 2 Institutional Improvements to Prevent Complaints

Chapter 3 Institutional Improvements to Prevent Corruption

Improving Laws & Systems

Chapter 1

Overview of Institutional Improvement System

1. Overview

The ACRC has been pushing for institutional improvement to prevent grievances faced by citizens and businesses as well as corrupt practices. The ACRC recommends reforms or expresses opinions to the heads of related public organizations when it is found necessary to improve laws, regulations and policies to prevent civil complaints or incidences of corruption.

In addition, to make sure that the improvements are implemented according to its recommendations, the ACRC has been involved in requesting related documents from public organizations, investigating relevant data and practices, and also monitoring the status of recommended improvements. Also, in order to ensure the effectiveness of its policy recommendations, the ACRC may present the issues to the President and the National Assembly, or disclose them to the public via the media.

2. Procedures for Institutional Improvement

As Korea's government body coordinating institutional improvements to prevent grievances and corruption, the ACRC selects and carries out priority reform tasks among those that have the largest social repercussions and that are involved with numerous organizations. Meanwhile, each public organization voluntarily engages in improving laws and institutions by reviewing civil complaints, corruption cases, and citizen proposals related to their organization.

Priority reform measures

< Institutional improvement process >



Identification of reform tasks

Each investigator within the ACRC's Institutional Improvement Bureau is responsible for one government department to continuously monitor the problems related to the department and find areas where improvement is needed. Also, the investigators identify tasks for improvement by examining media reports, monitoring corruption practices on a weekly basis, and participating in the Ombudsman Outreach activities.

The ACRC utilizes various sources of information to identify tasks for improvement, including "Voices of the People Weekly" provided by its Complaints Information Analysis Center; counseling services offered for citizens at the "110 Government Call Center"; input from the internal meetings on institutional improvements, analyses of corruption risks in new or amendment bills conducted by the Corruption Impact Assessment Division, and suggestions from ACRC honorary advisors.

In 2010, the ACRC discovered reform areas by inviting public organizations to identify the problems that they thought needed the most urgent attention. The Commission also selected



tasks in need of reform by analyzing the issues raised during the inspections made by the Board of Audit and Inspection and the National Assembly, judicial precedents, and citizen suggestions.

In 2010, the ARCR introduced a preliminary task assessment as the next step following the selection of reform tasks. Such a step was put in place in order to guarantee the professionalism and validity of institutional improvement.

Data collection and research

Once a reform task is selected, the ACRC gathers detailed information related to the task, including media releases, policy reports, various publications, and cases in other countries. It also meets with stakeholders such as complainants and relevant associations, and conducts on-site visits to listen to the opinions of related government departments. These activities are aimed at accurately diagnosing and analyzing the current status and problems of related laws and policies and set up countermeasures.

Reform plans / ACRC resolutions and recommendations

The ACRC strives to mediate various opinions through public hearing and meetings attended by related departments, interested parties and experts. It also utilizes media publicity in order to secure a public backing. It receives feedback from public organizations on the improvement plan, and reflects their suggestions into the plan.

After the reform plan is established, it is passed on to the sub-committees before it is submitted to the plenary committee. Those passed at the plenary committee are sent to the related organizations as the ACRCs' official recommendations.

Follow-up measures

The ACRC receives and reviews quarterly progress reports on recommended institutional improvements from each organization. In 2010, it also conducted two rounds of on-site visits for major cases in order to ensure the effectiveness of the policy reforms. The Commission evaluates each organization's implementation of institutional improvements, based on criteria including implementation of recommended improvements, realistic validity of the reforms, and the level of improvement perceived by related parties. The results of the evaluation are reflected in the Anti-Corruption Initiatives Assessment, and the ACRC provides awards for outstanding organizations. In addition, the Policy Reform Council involving the ACRC, the Presidential Office, and related departments, requests relevant public organizations to increase efforts to address the tasks that have not been implemented properly or reforms that are having little effect.

Implementation of institutional improvements to prevent **corruption** (2002-2010): **80.0%**

- Ministry of Knowledge Economy (91.0%), Ministry of Strategy & Finance (90.3%), Ministry of Land, Transportation & Maritime Affairs (76.1%), Ministry of Education, Science & Technology (70.8%), Financial Services Commission (61.9%)

Implementation of institutional improvements to prevent **civil complaints** (2005-2010): **77.4%**

- Ministry of Labor (96.8%), Ministry for Health and Welfare (91.9%), National Police Agency (82.3%), Ministry of Land, Transportation & Maritime Affairs (72.7%), Ministry of Strategy & Finance (60.3%)

Voluntary reform measures

Voluntary policy reform by organization

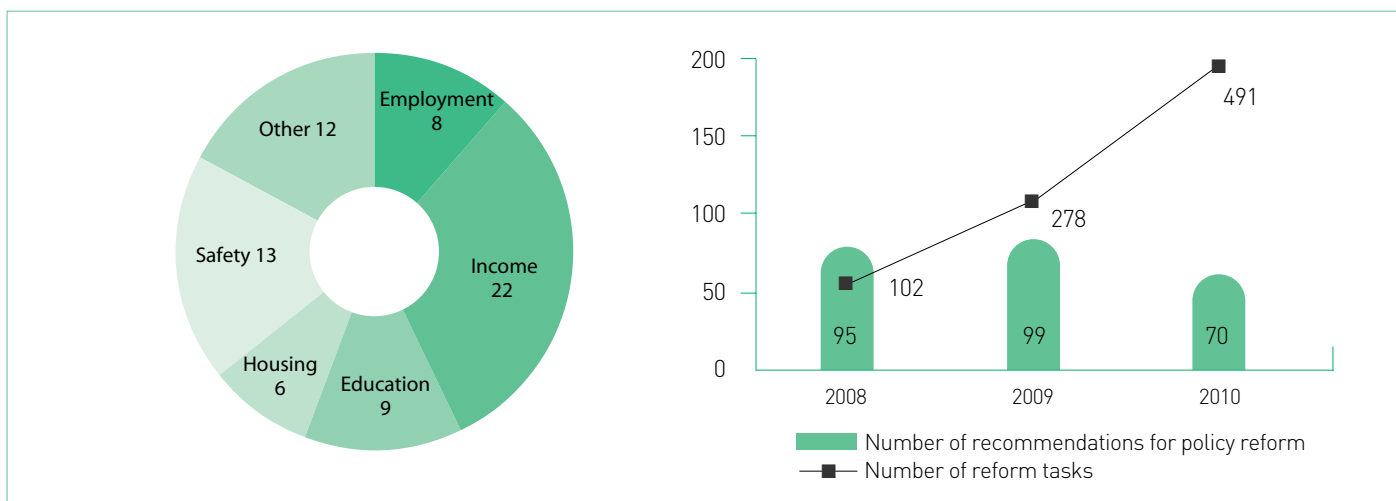
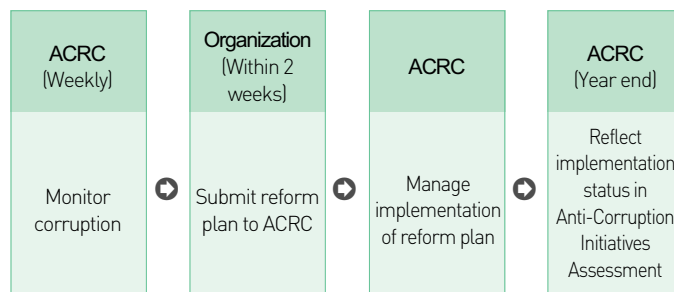
Public organizations at all levels uncover and reform any grievances or corruption issues related to their organizations on a voluntary basis. After reviewing each organization's

reform plans for its relation to corruption, potential effects, efforts to solve the problems, and creativity, the ACRC notifies each organization of reform tasks. The Commission also checks on the progress of institutional improvements on a quarterly basis so that these reforms take effect as soon as possible.

Mandatory policy reform in case of the occurrences of corruption

When a corrupt act or a breach of the code of conduct occurs, related organizations establish and carry out a reform plan on

their own. Also, when an issue is uncovered through the ACRC's monitoring of corruption, the Commission requests relevant organizations to resolve the problems.



* In 2010, the ACRC made 70 recommendations with 491 reform tasks, of which 403 tasks were accepted [82%].

3. Achievements in 2010

Institutional improvements to prevent complaints of the working class

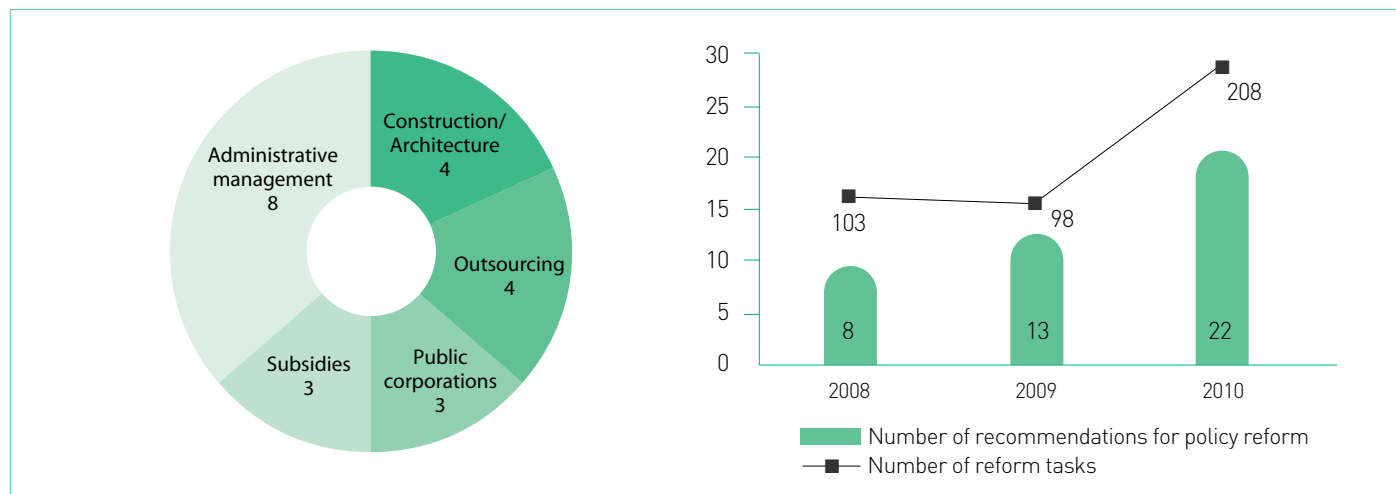
In 2010, the ACRC selected five reform areas closely related to public livelihood: income, employment, education, housing, and safety. It made efforts to improve working-class-friendly policies, support the under-privileged, expand the social safety net, and reform old practices hindering economic growth. As a result, it achieved improvements related to private licenses, protection of the right of lease of the working class, standardization of fees for medical records, prevention of insurance fraud, and regulations in tourism and service areas.

Institutional improvements to prevent corruption

In 2010, the ACRC focused its reform efforts to tackle corruption in three areas: construction, public corporations, and outsourcing/authentication. It also strived to address pending cor-

ruption issues and to eradicate waste in budget spending for major government projects. As a result, the Commission made reforms on turnkey bidding systems, operation of social welfare facilities, vocational training courses, personnel management of public education officials, and management of sports teams and the process for selecting players for the national team.

Priority reform areas
■ 2010: Income, employment, safety, education, housing, construction, public companies, private licenses, etc.
■ 2009: Problems faced by the working-class, waste of budgets, inhibition of fair competition, quasi-taxes, etc.
■ 2008: Grievances about public livelihood, unreasonable burdens, waste of budgets, monopoly, irrational practices, etc.



* In 2010, the ACRC made 22 recommendations with 208 reform tasks, of which 168 tasks were accepted (81%).

* Reform tasks decreased slightly in 2009 due to the unification of the ACRC's divisions in charge of institutional improvements.

Extending support for autonomous reforms of public organizations

The ACRC provided support to organizations in voluntarily detecting and improving problematic areas related to civil complaints and corruption, including unjust burdens and wasteful budget spending. It reflected each organization's performance in institutional improvement in the Anti-Corruption Initiatives Assessment. In 2010, 1,040 cases of voluntary improvement were made, with 306 cases in 2008 and 419 in 2009.

negotiation skills and conflict management techniques, which helped improve their skills in coordinating opinions of related government departments and other stakeholders.

Building consensus on institutional improvements through publicity

The ACRC actively publicizes its recommendations for institutional improvement through media such as broadcasting, newspapers, and the Internet, in order to raise public awareness and also to induce actual policy changes at related organizations. In 2010, the ACRC's recommendations were covered by the media 1,032 times, including 63 TV and radio appearances.

Training investigators to strengthen organizational competence

In 2010, the ACRC conducted 4 training sessions for its investigators in order to improve their capacity and thereby enhance the quality of its policy reform recommendations. New employees learned how to identify reform tasks, conduct a research, and to write up a report, so that they could quickly ramp up to the competence of experienced investigators. In addition, the ACRC held training sessions for its employees on

Chapter 2

Institutional Improvements to Prevent Civil Complaints

1. Institutional Improvements to Prevent Damages Caused by Mismanagement or Over-issue of Licenses

Improvement measures

Prevention of the over-issue of private licenses

To address this issue, specific areas that ban the issuance of a private license were stipulated and more concrete naming and notation rules were defined through establishment of an enforcement decree. In addition, it was banned for a private license to use a similar name with a public license; font and location of the names of private licenses were specified, and it was also recommended that an official government body be named that governs private licenses and define concerned procedures.

Improvement of private license registration and assessment

Moreover, measures were taken to make improvements with regards to the registration of private licenses. They include the ban on circulation of the licenses issued by an unregistered organization; the creation of a regulation that punishes unauthorized circulation of private licenses; and the establishment of the standards and rules with which registration of a private license is assessed by a responsible public agency.

Reinforcement of the qualitative assessment of private license authorization and preferential treatment for publicly certified license holders

The qualitative assessment of a private license that reviews the license's purpose and justification was enhanced, while it was made sure that those who hold a publicly certified license receive practically favorable treatment under Article 14 of the National Technical License Act. It was also recommended that research outsourcing to a private license administration body is not linked to public authorization.

Measures taken with regards to misleading or exaggerated advertisements

The effectiveness of the bans on misleading or exaggerated

advertisements has become strengthened with more granular and concrete definition of banned types of advertisements. New rules were introduced that impose license revocation or suspension of business upon imposition of a fine. In addition, penalties were introduced for more effective and prompt punishment, while a government body was designated for stronger crackdown on misleading or exaggerated advertisements.

2. Institutional Improvements to Prevent Insurance-Related Damages

Background

The private insurance penetration rate of the nation stands at 96.4% in 2010 (88% for Life, 85.9% for P&C). This means that nine out of ten Koreans aged 20 or older have at least one insurance policy. However, consumer complaints are rising rapidly against the insurer's cancellation of a policy or rejection of claims for reasons such as the consumer's violation of disclosure duty or the failure to obtain the insured person's written consent. (Recommendation was made to the FSC, etc in Oct. 2010)

Improvement measures

Prevention of consumer damage caused by incomplete insurance policies

In order to reduce the damage suffered by insurance consumers, it was recommended to the Financial Supervisory Commission that it should make sure that insurers review and check completeness of policy applications, and impose penalties, etc against a violation. In addition, it was recommended that insurers should be made to conduct medical reviews on policy applicants that fall in certain criteria, and not to refuse claims arbitrarily for a medical condition that was insured after medical review.

Increase of incomplete policies due to improper solicitation practice

It was also recommended that agents should take heavier responsibility for the policies they have sold on behalf of their insurance companies; the 'free look' period should be extended to 15 days after a policy applicant receives policy documents' so that the applicant will not miss out the free look period due to agents' intentional procrastination. In addition, to

prevent excessive agent scouting from causing incomplete policies, it was recommended that the agent commission pre-payment practice should be addressed, and the FSC should ban the use of illustrative dividend or return rates that might mislead potential policy buyers.

Insurers' abuse of medical advisor

The FSC was given a recommendation that it should develop an action plan to ensure an objective and neutral mechanism that governs the review, advice, and judgment for disputes over medical issues.

Consumer damage caused by flawed cooling-off or claims filing periods

As the effective claims filing period is too short at only 2 years, consumers, in many cases, miss out the period due to medical conditions that may involve unconsciousness. Therefore, it was recommended that the proceeding of effective claims filing period should be suspended upon partial payment of claims or filing with the Dispute Arbitration Commission.

3. Institutional Improvements on the Food Supply System for School Meals

Background

Recently, there have been media reports on the illegalities surrounding the school meal contracts, as well as the undesirable incidents such as mass food poisoning that cause for concern on the safety of school meals. In particular, the amendment of the School Meal Act in 2006 that had most schools manage their school meals themselves, systematic management of ingredient supply has taken greater importance. (Recommendation was made to the Ministry of Education, Science, and Technology, etc in June 2010).

The large-scale food poisoning incident in June 2006 prompted the massive shift towards 'direct management' from 'outsourcing' of school meals. Now, about 89% of schools are managing their school meals directly. 11,225 elementary, middle and high schools across the nation are providing meals to 7.45 million students. The necessary budget is about 4.4 trillion won (as of 2008), composed of contributions from parents (67%), local government's budget (28.3%), and local government's subsidy (3.9%).

Improvement measures

Improvement of school meal ingredient supply process

To improve the fairness and transparency in the ingredient supply contract, schools were made to select a supplier through open bidding, even if the contract meets the conditions for a private bid. Private bids are only allowed in inevitable circumstances with the vote of the school administration committee. The committee now has stronger authority of approving a supply contract than its previous assessment authority. The committee's decision, etc should be disclosed at the school website.

Improvement of food ingredient quality control for safe school meal

In addition, to ensure safety of school meals, schools now have to select a supplier not based on the cheapest quote, but based on qualitative assessment, seek for more joint purchase opportunities for essential ingredients, and increase the inspection of the supplier's status of hygiene.

Increase of school meal support centers to provide high quality ingredients

To ensure that high quality agricultural produce is supplied for students, it was recommended that local governments should set up a school meal support center to strengthen the organic relationship with agricultural producers.

4. Policy Recommendations to Improve Unreasonable Regulations on Tourism and Service Industries

Background

The tourism and service sector has a high employment effect (1 new job per 26 tourists) and is a high added value business. Korea is in competition with its neighboring countries such as Japan to attract more tourists. However, improper practices and regulations for the industry worked as an obstacle to attracting foreign tourists, adding difficulties to the relevant industries such as hotel and travel businesses. (Recommendation was made to the Ministry of Culture, Sports, and Tourism, etc in June 2010.).

Improvement measures

Extension of tax benefit

In time for the Visit Korea Year, recommendation was made to extend the tax benefit period for tourist hotels until 2012 in order to enhance the attractiveness of the nation as a tourist destination.

Improvement of visa issuance procedures

To provide a standardized visa issuance procedure, it was recommended that guidelines should be developed concerning the authorization of visa issuance, document requirements should be streamlined, and internationally recognized certificates should be able to replace similar document requirement, in order to lessen the inconvenience faced by foreign tourists.

Improvement of the efficiency and transparency of tourism budget

Recommendations were made to either reduce or consolidate 27 overseas subsidiaries of the Korean Tourism Corporation that were set up without based upon a thorough plan, in order to save unnecessary labor and administrative costs. It was also recommended to consolidate overlapping tourism projects that were being implemented by both private and public tourism entities that were worth whopping 73,438 million won. In addition, increased transparency was recommended for the selection of a beneficiary to the tourism promotion and development financing.

Expansion of tourism infrastructure

It was recommended that tourism infrastructure be built to attract foreign tourists by easing the repayment conditions for the tourism promotion and development financing in case of construction or remodeling of a tourist hotel.

Chapter 3

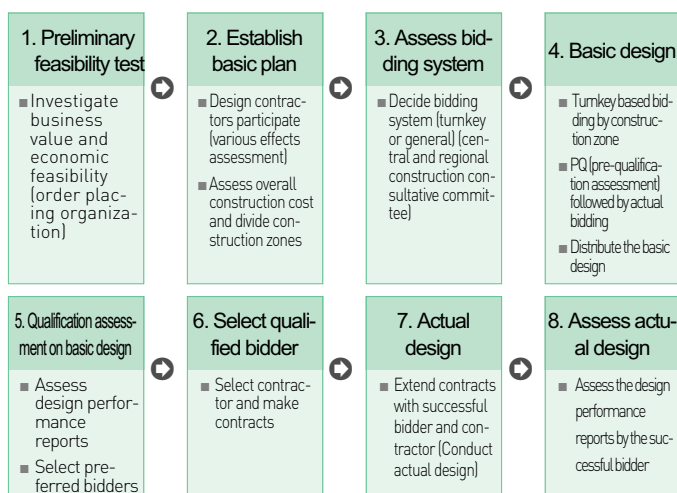
Institutional Improvements to Prevent Corruption

1. Institutional Improvements on Construction Projects Based on Turnkey or Alternative Bids

Background

Due to the ambiguous criteria for turnkey based construction facility, ordering body used to apply weights that gave successful bid to facility, which led to reckless orders, raising concern for waste of budget. Against this backdrop, ACRC engaged to improve institution in order to prevent causes for corruption in the process of turnkey system's ordering process and solve the problem of budget wasted and accomplish original aim of the system. (Official suggestions by the Ministry of Land, Transport, and Maritime Affairs and other organizations)

< Process >



< Tendering system for public construction projects >

System	Criteria (Expected Construction Expense)	How it works	Successful bidding Rate
Lowest bidding	KRW 30 bn or more	A bidder who passed lowest bidding hearing and suggests the lowest. Should submit the statement to the lowest bidding.	60~70%
Qualification Assessment	Less than KRW 30 bn	Qualified bidders compete together (contract compliance capacity 70% + bidding price 30%)	75~85%
Turnkey based	KRW 30 bn or more (review by CCTCC*)	Bidders compete together on the base design and the most qualified is selected to perform the design and build.	90~95%
Alternative	Less than KRW 30 bn (review by CCTCC)	Bidder who provides the best alternative design for the draft is selected (used when judging construction cost and work duration reduction level)	80~85%

* CCTCC: Central Construction Technology Consultative Committee

* Expected Construction Expense = Construction cost – value added tax – government supplies and material cost. A bidder estimates the expected construction expense through a contractor and the procurement authority judges its reasonability

Improvement measures

Enhance the efficacy of the way to assess and select facility through turnkey system

ACRC advised concerning organizations to specify the facility criteria and checklist for turnkey and other large scale construction, and to make it compulsory to assess how the contractor reduces the construction cost and work duration after.

ACRC also recommended them to reject too much weight on quality and value the lowest price suitable for design or come up with measures.

Improve fairness during turnkey based bidding process

ACRC advised order placers to attract more bidders by giving mammoth public construction (over KRW 100 billion) to several contractors, thereby preventing collusive tender and resolving bipolarization (rich gets more and poor gets less). In order to make the joint construction between large (one of the 30 biggest contractors) and mid and small sized contractors possible, ACRC suggests strengthening management and supervision.

The Ministry of Land, Transport and Maritime Affairs accepted the above recommendations and revised “the bidding system criteria for large public construction” on December 23rd. The revised criteria provides that entities should specify the facility criteria that allows turnkey and alternative bidding system and make afterwards assessments on construction cost and work duration reduction.

2. Improvements in the Selection of Vocational Training Courses and Acceptance of Funds

Background

The government continues to allocate more budgets to develop job skills against the backdrop of change in employment, financial crisis and other employment insecurity. However, the budget on vocational training is being wasted as unsuitable training selection, misuse of training procedures, and training facilities' ill management and wrongdoing. To tackle the problem, institution improvements are needed so that the vocational training is operated true to its original purpose of improving job skills and leading to employment. (Sept. 2010, the Ministry of Labor and Employment)

Improvement measures

Reduce budget waste by preventing the provision of unrelated work training

Out of all regulations regarding working employee training, regulation on its relevance to work has been tightened and irrelevant training or courses have been abolished.

Improve training for the unemployed in correspondent to job demand

ACRC advised concerning entities to revise the guide for course completion of vocational training account system and set up the course completion criteria by industry.

Eradicate illegal supply and demand through attendance manipulation and bogus training schedule

ACRC advised that substitute attendance be made impossible to prevent attendance manipulation and the existing administrative restrictions be made stricter as for illegal supply and demand.

Prevent trainees from being damaged from ill management of courses

A trainee damage report center has been established in the Ministry of Labor so that a suffering trainee from ill management of training courses can be treated promptly and properly. Also it puts a significant importance on the employment rate when assessing training facilities, in an aim to foster actual employment of trainees. It also reformed related regulations so that the course assessment is done not in the training

premise but elsewhere to provide accurate information on training facility.

3. Institutional Improvements to Raise Transparency in Personnel Management of Educational Public Officials

Background

Corruption on educational professionals' (commissioner and vice-commissioner and other educational personnel) HR continues to occur and became a social issue. To tackle this problem, investigation on educational authorities, schools, parents and concerning civic groups was conducted to come up with institutional improvement measures. (May 2010, the Ministry of Education, Science and Technology)

Improvement measures

Establish a transparent and just promotion system

Appointment of educational professionals as principal or vice principal served as connection to corruption. This kind of circular appointment practice has been eradicated. The policy limits how long professionals can serve as principal or vice principal from five years to two years. Also the professions are available to those outside of education arena (up to 50%) and for the system not to be misused as a channel for professionals, "cap on how long educational professionals can serve as principal" is pushed ahead side by side.

To improve objectivity and fairness in selection examination of educational professionals, qualifications for educational professionals are eased to a great extent; the open examination system is improved with more outside experts participation as examiners. To raise objectivity and fairness in performance assessment, qualifications unrelated to their performance in vice principal promotion are cancelled and those items that require subjective judged are to be reduced or abolished.

Introduce reasonable HR System

To change the hierarchical structure of education authority-regional education authority-school to customer centered support structure, regional educational authority's right to appoint elementary and middle school teachers was given to municipal and provincial educational authority. Regional educational authority is changed into an organization

that provides service to teachers, students and parents. Also, in order to root out the closed HR practice between educational professionals and educational administrative officials, the exchange between the two professions is advised to expand, regional educational authority's director is to be operated as an open position, and the HR right is moved from educational professionals to the HR department.

Strengthen check and control on superintendent of education and principal

In order to check superintendent's exclusive authority over personnel, ACRC increased the participation of outside parties in HR committee by over 50%, and reformed the composition and functions of "School operation committee." The committee aims to serve as an effective body to check principal by excluding principal from the committee, including parents over 50% of the committee, and raising transparency.

In order to raise transparency in the two term presidency of principal, the work experience as superintendent should be included in the work experience of a principal in the second term. To prevent superintendent from choosing personnel arbitrarily, ACRC advised to introduce the four year term security system for principal and at the same time any HR decision should go through the assessment of school HR committee with the vice principal on the director of the committee, in order to check on the principal.

4. Institutional Improvements to Raise Transparency in the Management of Sports Teams and Players

Background

Problems were raised by the media about ill practice of sports teams. Players' rights are violated as coach forces players out of the game participation and players are assaulted. Sports teams also are plagued with accounting fraud and conflicts in a split. ACRC came up with measures to solve this problem after conducting investigation of sports teams and concerning personnel under the Korea Sports Council and through professional discussion where people from academic and athletic arena and from the Ministry of Culture, Sports and Tourism and the Korea Sports Council. (August 2010, the MCST, etc.)

Improvement measures

Raise transparency in the composition and operation of sports organizations

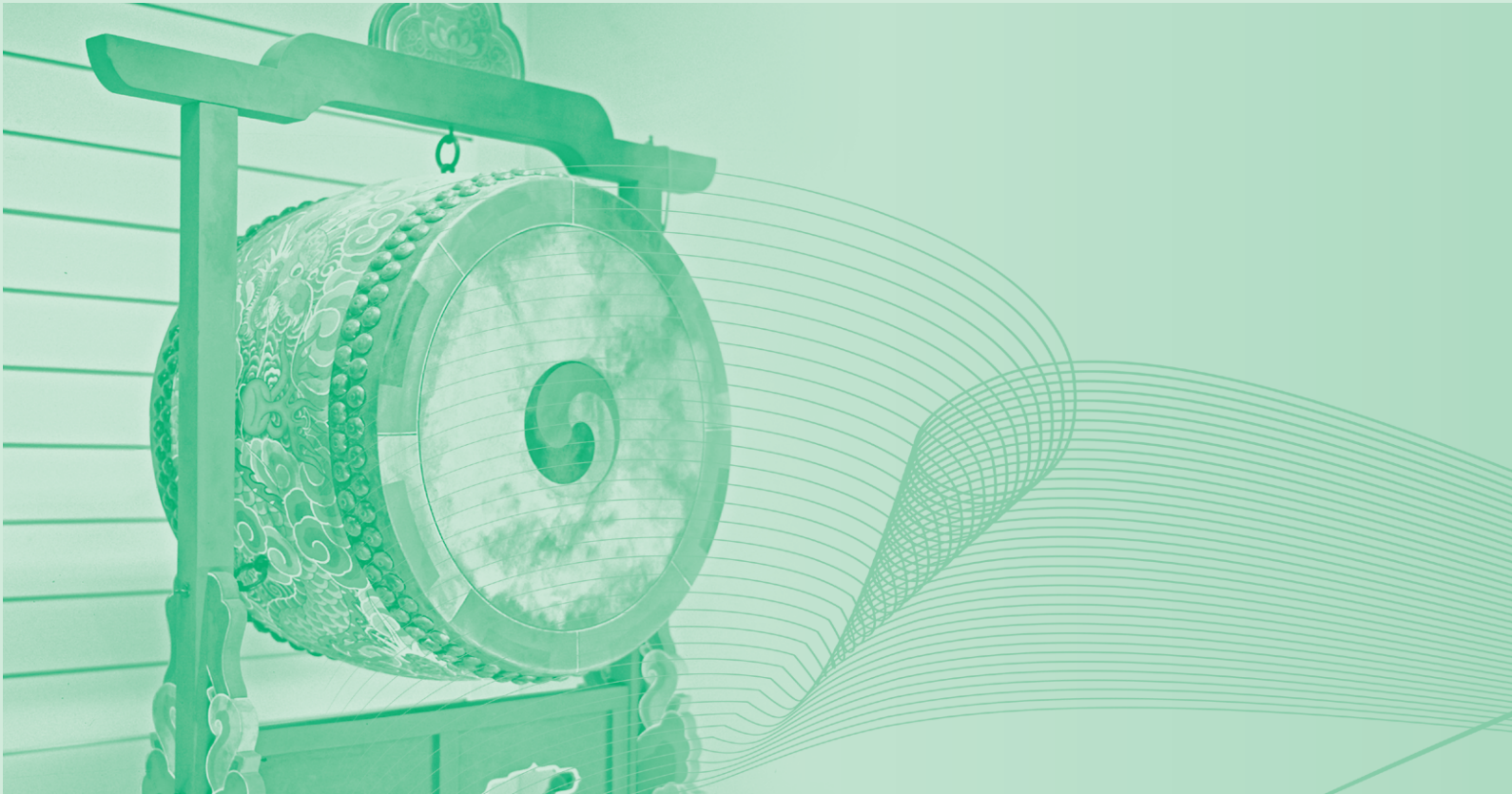
Sports organizations adopt permanent secretary general or executive director to strengthen responsibility. In order to minimize the arbitrary operation by chairman, checking tools are adopted in the process of selecting permanent executive director. Meanwhile, main subcommittees, including advisory committee, players, technology, reinforcement committee, are changed to deliberating councils to secure their independency and professionalism. Those subcommittees operated as a formality are integrated with other subcommittees true to the sports characteristics. Standard work manual is to be introduced to prevent sports teams' arbitrary practices. Instituting staff code of conduct is made mandatory for responsible management.

Effective support and management system

Reasonable standards and reasons are to be set up for budget to be allocated to support sports teams. Management and supervision authority over sports teams is also reinforced so that when support fund embezzlement and other violations are reported to the Korea Sports Council, let alone reporting concerning person and withdrawal of the fund, the council can request sports teams to improve and change their practices.

Raise transparency in the selection and management of main players

ACRC advised sports teams to standardize the procedures of selecting national representative players, make public their criteria and procedures, and keep the related documents as evident for at least five years. The Korea Sports Council must make an investigation on serious violations of player's rights in order to raise efficacy of safeguards against physical violence and other infringement.



Part 5

Adjudicating Administrative Appeals

Chapter 1 Overview of Administrative Adjudication

Chapter 2 Major Accomplishments in 2010

Adjudicating Administrative Appeals

Chapter 1

Overview of Administrative Adjudication

1. Overview of Administrative Adjudication

Administrative adjudication serves two objectives: one is to restore the rights of an individual that were violated due to unlawful or unfair administrative actions, while the other is to guarantee the lawfulness and objectives of administrative actions by allowing a chance for correction to the administrative agency that imposed a wrongful action.

This is indicated by the Administrative Adjudication Act that says in Article 1 “The purpose of this Act is to restore the rights or interests of the citizens that were violated by the unlawful or unfair treatment from an administrative agency or by the exercise or non-exercise of a public authority, and also to lay the foundation for a proper implementation of administration, through administrative adjudication procedures.”

2. Administrative Appeals Committee

Overview

Administrative appeals committees are designed to review and decide upon the appeals filed for administrative adjudication. At the time when the Administrative Appeals was enacted, the administrative appeals committees made only preliminary decisions, while resolution agencies laid down final judgments. In February 2008, however, when the Administrative Appeals Act was revised and resolution agencies were abolished, the administrative appeals committees were given final judgement rights as well as preliminary decision rights, which made the committees become truer to their names.

The Administrative Appeals Act demands that the administrative adjudication committee should be independent from administrative agencies for a fair and objective decision. The Act also stipulates that four out of seven standing committee members (minimum five out of nine members in case of the Central Administrative Adjudication Committee) should be civilians, not public officials, such as professors, lawyers, or other experts.

Types of administrative appeals committees

Types of the administrative appeals committees include the Central Administrative Appeals Committee that is established under the Anti-Corruption and Civil Rights Commission (ACRC), 16 Metropolitan and Provincial Administrative Appeals Committees that are set up in metropolitan cities and provinces, and the rest adjudication committees.

< Jurisdiction of the two main administrative adjudication committees >

	Central Committee	Metropolitan & Provincial Committee
Jurisdiction	- Central administrative agencies and their subsidiary organizations - Mayor of Special and Metropolitan Cities, and provincial governors	District heads, mayors of non-metropolitan cities, country heads

(1) Central Administrative Appeals Committee

(a) Jurisdiction

The Central Administrative Appeals Committee (CAAC) was set up under the ACRC with the aim to review and decide upon the measures or nonfeasance by the following agencies:



- Heads of national administrative agencies or their subsidiary offices (except those that are subject to set up an administrative adjudication committee governing themselves)
- Mayors of special and metropolitan cities, and provincial governors
- Superintendents and councils of special and metropolitan cities and provinces
- Administrative agencies that are co-founded by the central or local governments or public corporations pursuant to the Local Government Act, such as a federation of local governments

(b) Composition of committee

The CAAC is composed of not more than 50 members including one chairperson (the vice chairman of the ACRC), out of which standing members should not exceed four.

(c) Operation of meetings

The meetings of the CAAC shall have a total of nine members including the chairperson, two standing members, and six non-standing members who are designated by the chairperson for each meeting. The CAAC makes a decision through majority votes cast by the members present that should be at least a majority of the whole members.

The CAAC has a sub-committee consisting of four members that is aimed to review and decide upon the administrative measures imposed over driver's license issues pursuant to the Road Traffic Act, and an expert committee with five members that pre-reviews the cases designated by the chairperson.

(2) Metropolitan & Provincial Administrative Adjudication Committees (MPAAC)

(a) Jurisdiction

An administrative appeals committee is set up under the responsibility of the majors of special or metropolitan cities or provincial governors, and has the same nature with the CAAC.

(b) Composition of committee

The MPAAC consists of not more than 30 members including one chairperson (mayor of special or metropolitan city or provincial governor).

(c) Operation of meetings

The meetings of the MPAAC shall be attended by nine members including the eight designated by the chairperson for each meeting, or seven members including six designated by the chairperson for each meeting when demanded by the ordinance of the concerned local government. When nine members attend the meeting, a minimum of five, whereas when seven members attend the meeting, then a minimum of four members should be non-standing civilian members.

(3) Other administrative appeals committees

A separate administrative appeals committee should be established for "special local administrative agencies" that belong to the Board of Audit and Inspection, the National Intelligence Service, or the Supreme Prosecutors' Office (excluding those whose immediate superior or governing body is a central administrative agency), or for the National Assembly Secretariat, the National Court Administration, the Constitutional Court Secretariat, the National Election Commission Secretariat, the Anti-Corruption and Civil Rights Commission, the Truth and Reconciliation Commission, and other administrative agencies designated by the Presidential Decree for their independence and uniqueness.

Chapter 2

Major Accomplishments in 2010

1. Central Administrative Appeals Committee

Status of the complaints received and processed

In 2010, a total of 31,021 complaints were received, out of which 30,473 were handled and 548 cases were carried for-

ward. By processing result, 4,990 cases were accepted (including those partially accepted), 24,321 were dismissed, and 1,162 were denied, indicating a 16.4% acceptance rate.

By complaint type, 3,368 were general cases, 2,654 were related to the reward for patriots or veterans, and 24,999 were driver's license related, indicating that the driver's license related cases account for 80.6% of the total cases received during 2010.

< Status of the complaints received and processed >

(Unit: No. of cases)

Year	Number of cases received	Number of cases reviewed and resolved				Acceptance rate (%)	Withdrawn & transferred
		Total	Accepted	Dismissed	Denied		
2008	24,190	23,142	3,462	18,840	840	15.0	1,275
2009	26,941	24,938	3,779	20,290	869	15.2	1,053
2010	31,021	30,473	4,990	24,321	1,162	16.4	1,002

Types of complaints

The complaints filed with the CAAC are to complain of the unlawful or unfair action or nonfeasance by various administrative agencies such as a national administrative agency and its subsidiary offices, special or municipal city governments, provincial governments, educational offices, or municipal councils, etc.

Those complaints can be largely divided into three categories: one is related to the administrative actions on a driver's license made by the head of either local or national policy agency pursuant to the Road Traffic Act; the second group is related to the actions made by the local branch of the Patriots and Veterans Affairs Agency pursuant to the pertinent laws such as the Act on Privileges and Support for Patriots and Veterans; and lastly the general complaints that fall into neither of the above two categories are filed against the actions executed by the head of a national or metropolitan administrative agency.

<Types of complaints filed with the CAAC>

Adjudication cases	
General cases	All complaints excluding those related to reward for patriots & veterans and to driver's license
Cases on reward for patriots and veterans	Cases against the actions made pursuant to the Act on Privileges and Support for Patriots and Veterans and other similar laws
Cases on driver's license	Cases against the actions imposed under the Road Traffic Act

The complaints lodged with the CAAC in 2010 are composed of 24,999 driver's license related ones (80.6%), 2,654 cases on reward for patriots and veterans (8.6%), and 3,368 general complaints (10.8%).

<Number of complaints received and processed by type >

Category	General complaints		Complaints on reward for patriots and veterans		Complaints related to driver's license	
	received	handled	received	handled	received	handled
2009	2,852	2,062	2,666	2,691	24,054	22,708
2010	3,368	3,425	2,654	2,495	24,999	24,553
Change	516 [18.1%]	1,363 [66.1%]	△12 [△0.5%]	△196 [△7.3%]	945 [3.9%]	1,845 [8.1%]

Resolution time

The Administrative Adjudication Act, Article 45 stipulates that an administrative adjudication case should be resolved within 60 days from the date when the complaint was received by either the adjudication agency or the responsible administration agency, or within 90 days if inevitable, subject to the adjudication committee chairman's decision.

Out of the 30,473 cases handled in 2010, 18,176 cases (59.6%) were resolved within 60 days while 6,392 cases (21.0%) were

closed between 61 days and 90 days, suggesting that 80.6% of the total cases were processed within the statutory time limit. The rest 5,905 cases (19.4%) were resolved after 90 days and they are divided into 'general cases' and 'patriot reward cases.' The number of the cases that are resolved past 90 days is rising every year at 3,370 (14.6%) in 2008, 5,175 (18.8%) in 2009, and 5,905 (19.4%) in 2010, and the cases are also divided into 'general cases' and 'patriot reward cases.'

< Case handling time by year >

Category	Total number of cases handled	Average resolution time (in days)	Number of cases handled		Number of cases handled past time limit
			Within 60 days	Within 61~90 days	Past 90 days
2009	27,461	74.2	16,966(61.8%)	5,320(19.4%)	5,175(18.8%)
2010	30,473	79.3	18,176(59.6%)	6,392(21.0%)	5,905(19.4%)
Difference	3,012	5.1	1,210	1,072	730

Online administrative adjudication

The online administrative adjudication system recorded the highest utilization rate in 2010 since its inception as 13.0% of total complaints were submitted online and 94.5% of them were responded to online. By complaint type, 10.3% of driver's license related complaints were filed online, and 100% of them were responded online, indicating that all administration agencies related to driver's license are using this system. On the

other hand, 25.0% of "patriot reward cases" were submitted online with 49.6% of them responded online, while 23.9% of "general cases" were filed online with 49.6% online response rate. As for the driver's license related cases, which account for the biggest portion of the total complaints, all the interactions between the adjudication committee and the responsible administration agencies are done online, which are viewed as contributing greatly to shortening the resolution time and enhancing procedural transparency.

< Online adjudication system utilization status >

(Unit: cases)

Type of complaint	Number of cases filed	Cases filed online		Online response	
		Count	Proportion (%)	Count	Proportion (%)
Driver's license	24,999	2,567	10.3	24,999	100
Patriot reward	2,654	664	25.0	2,644	99.6
General	3,368	806	23.9	1,670	49.6
Sum	31,021	4,037	13.0	29,313	94.5

Oral account

The Administrative Appeals Act guarantees the complainant's right to making an oral account for his or her complaint, by stipulating that a complainant's request for an oral account should be allowed when it is deemed that a decision cannot be made only with the review of a written account.

In 2010, 585 applications were submitted for oral account, 367 of which, or 62.7%, were accepted. This is about 2.6 percentage point increase from the 60.1% of 2009 when 412 out of 685 applications were accepted. This trend is deemed desirable in that a complainant is given a higher chance to present his or her side of the story in the review process.

Suspension of execution

Once the adjudication committee decides upon suspension of execution over an administrative measure against which a complaint was lodged, the execution or continuation of the measure should be suspended until the committee makes a conclusion on its review, after which the suspension of execution decision loses its effectiveness.

The number of applications for suspension of execution received during 2010 declined by 304 from 1,919 in 2009 to 1,615. The acceptance rate for the applications also fell by 1.3 percentage points from 125 (6.6%) to 81 (5.3%).

In addition, the number of suspension of execution cases that were determined solely by the committee for the interest of the complaint who did not ask for such suspension also dropped from 24 in 2009 to 14 in 2010.

2. Municipal and Provincial Administrative Appeals Committee

Status of the complaints received and processed

The number of the complaints received and resolved by the sixteen Municipal and Provincial Administrative Appeals Committees (MPAAC) in 2009 are 16% higher than 2008 at 5,483 and 4,890 respectively, which are the highest level within the last 10 years. Such an upward trend is expected to continue in the future as it is deemed to have been attributed to the growing public interest in administrative adjudication and heightened awareness in people's rights.

Main types of complaints

Complaints related to the construction and transportation area, and health and welfare are the most representative cases filed with the MPAAC. In 2009, the combined number of the two types of the complaints was 3,412 – 1,208 (24.7%) for the construction & transportation and 2,204 (45.1%) for the health and welfare – accounting for 69.8% of the total complaints.

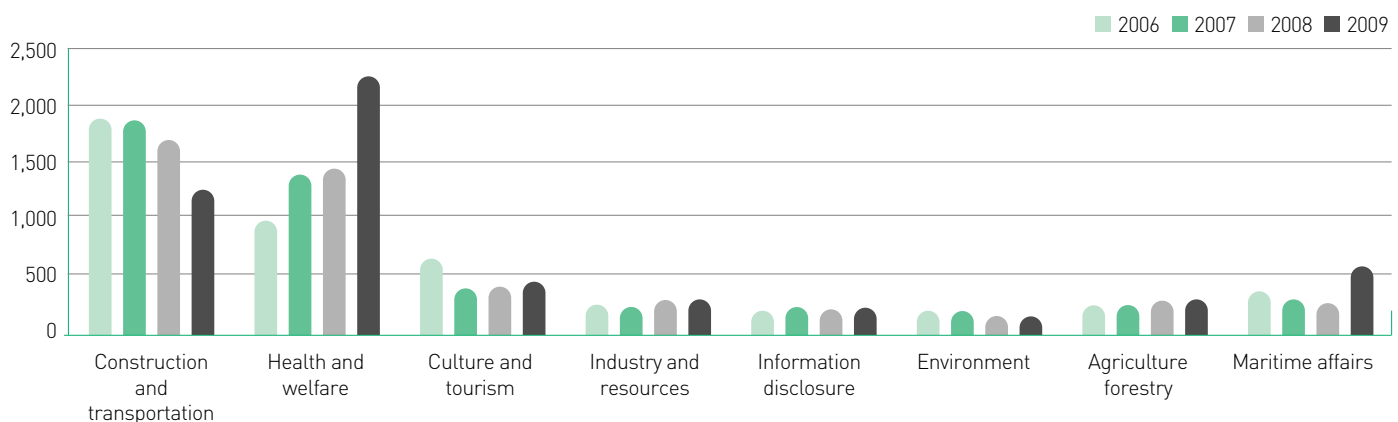
Acceptance rate

The average acceptance rate for the cases processed in 2009 is 36.1%, with Daegu showing the highest acceptance rate (65.5%) while Seoul the lowest acceptance rate (20.1%). A study into the acceptance rates over the recent three years reveals that each MPAAC has a tendency to maintain a certain acceptance rate for their jurisdiction.

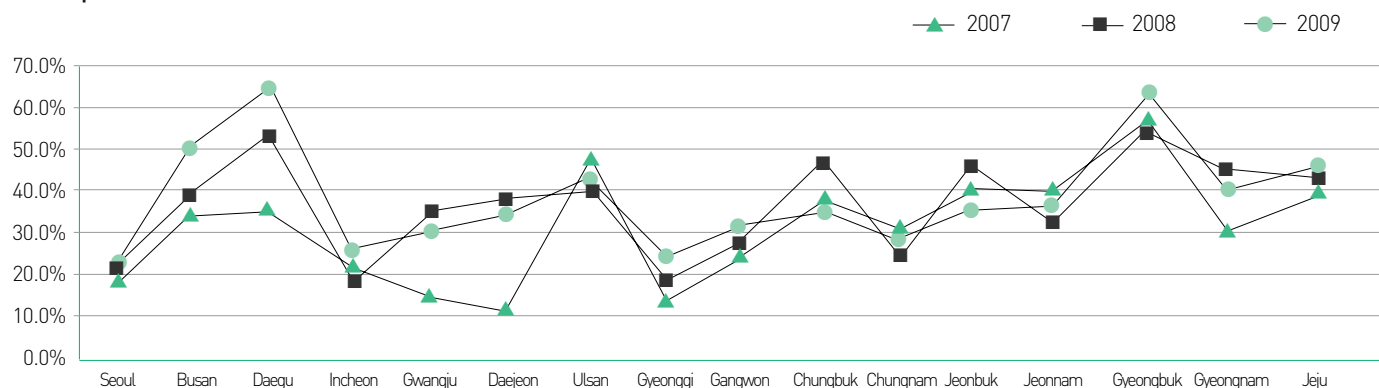
The average acceptance rate of 2009 is 36.1%, but is 8.8% when excluding the partially accepted cases, and shows only a small variance between different MPAACs.

Partial acceptance is common in the complaints related to health & welfare, culture & tourism, and industry & resources. In most cases, partial acceptance is not granted so much for an unlawful or unfair administrative action as for lawful actions aimed to mitigate their severity considering the complainant's unique circumstances. Decisions on partial acceptance vary case by case depending on the circumstances of the concerned city or province.

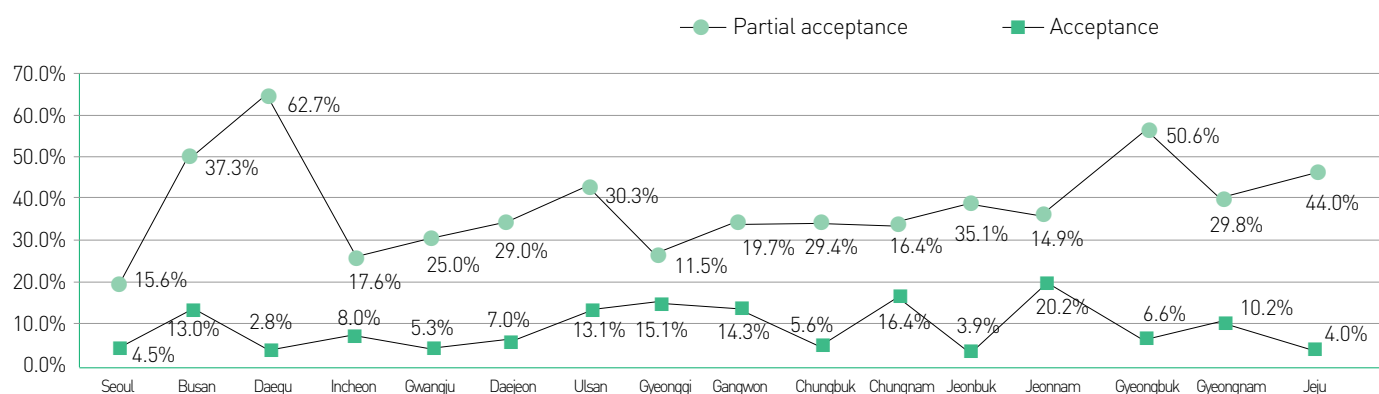
<Major types of the complaints received within recent 4 years>



< Acceptance rates from 2007 to 2009 >



< Acceptance vs. partial acceptance >



Resolution time

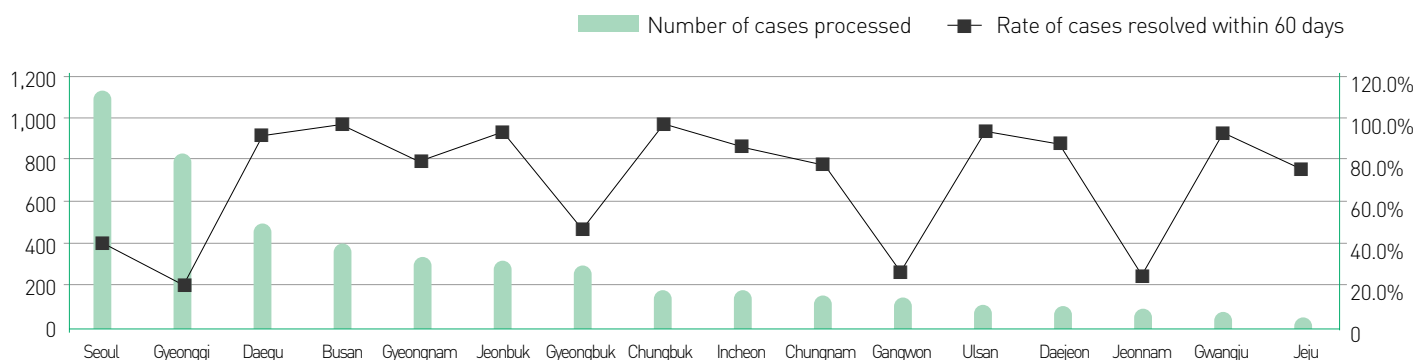
87% of the complaints are resolved within the predefined resolution time limit, 60.3% of which are resolved within 60 days while 26.7% between 61 and 90 days. The more complaints lodged for a region, the more delays are witnessed until resolution. The portions of the cases of Seoul and Gyeonggi Province that are resolved within 60 days were lower than those of other cities or provinces, while Gangwon and South Jeolla Provinces showed lower portions of the cases handled within 60 days despite the moderate number of the total complaints filed.

Oral account

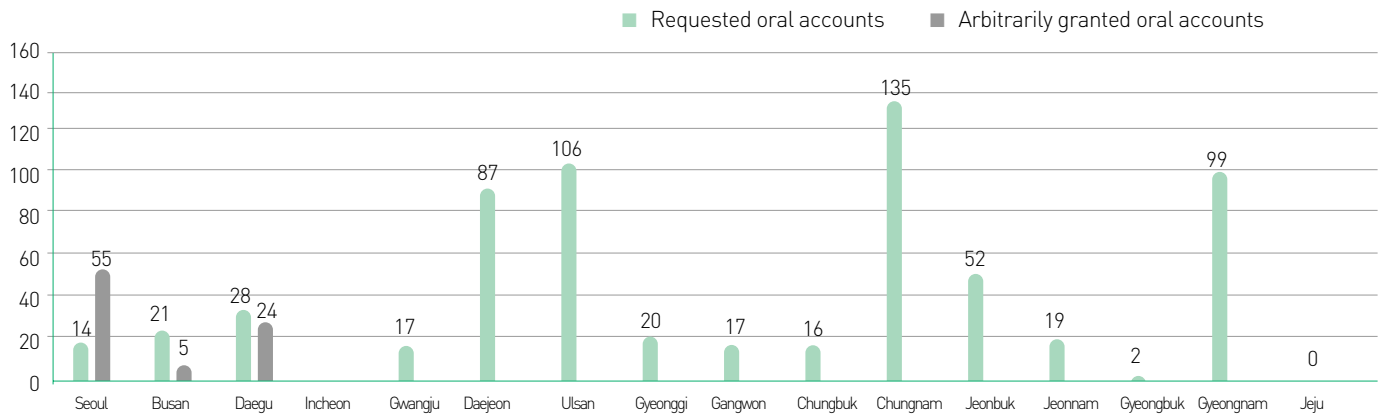
The average rate of allowing an application for oral account is 93.5%, indicating that most of the applications are accepted. This also means that the complainants are, in general, guaranteed an opportunity to give testimony.

Meanwhile, the number of the oral accounts allowed by the committee without being requested by the complainant was 84 in total, with 55 in Seoul, 5 in Busan, and 47 in Daegu.

< Number of cases processed in 2009 and portion resolved within 60 days >



<Number of oral accounts requested vs. arbitrarily granted>



Suspension of execution

Out of 2,705 complaints that led to suspension of execution in 2009, 2,123 cases, or 78.5%, were accepted. However, no suspension of execution was decided without being asked by the complainant. It may be necessary to increase the committee's arbitrary decision of suspension of execution in order to ensure the effectiveness of the committee's conclusion and to better protect the rights of a complainant.

Composition of MPAAC

As for the profession of the members of 16 MPAACs, lawyers accounted for the biggest portion at 37.7%, followed by incumbent public servants (27.6%), professors (22.2%), and former public servants (10.0%).

The portion of non-standing civilian members such as lawyers and professors is 59.9%, relatively lower than 94% of the CAAC.

Administrative litigation

Out of the 4,890 complaints handled in 2009, 3,124 cases were not accepted, out of which 880 cases (28.1%) were not agreed by the complainant and brought to court. Out of 1,055 total cases that were turned into litigation (including those carried forward), 536 cases were closed (rulings were confirmed for 200 of them, litigations were withdrawn for 335 cases). Out of the 200 litigations for which a final ruling was confirmed, 39 cases (19.5%) were ruled in favor of the plaintiff.

However, considering the high number of the outstanding cases that are waiting for final rulings, it is hard to view the 19.5% as representing a definitive winning rate.

The types of complaints that turned into litigation show a similar distribution as those of complaints, with 359 (35.0%) for construction & transportation, 330 (32.2%) for food and sanitation, 104 (10.1%) for culture & tourism, and 58 (5.7%) for industry & resources.

< Complaints handled and litigations derived from complaints in 2009 >

Received	Processed	Accepted	Not accepted	Litigations	Litigation rate
5,483	4,890	1,766	3,124	880	28.1%

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